REDE D'OR

Investment Thesis



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Head: Pedro Bennecke

Healthcare Overview

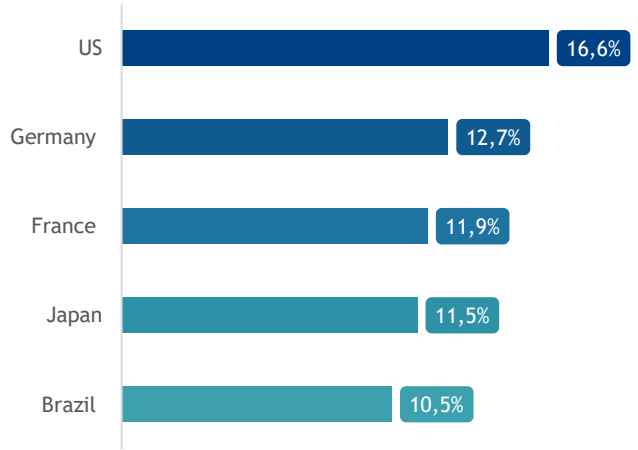
Healthcare is one of the **largest economy sectors**, with an $11.34 trillion total addressable market. The sector is **acyclic**, counts with an **inelastic demand**, and it is driven by two main factors: an **aging and rising population**.

I. Large and Constant TAM

$11.34 trillion

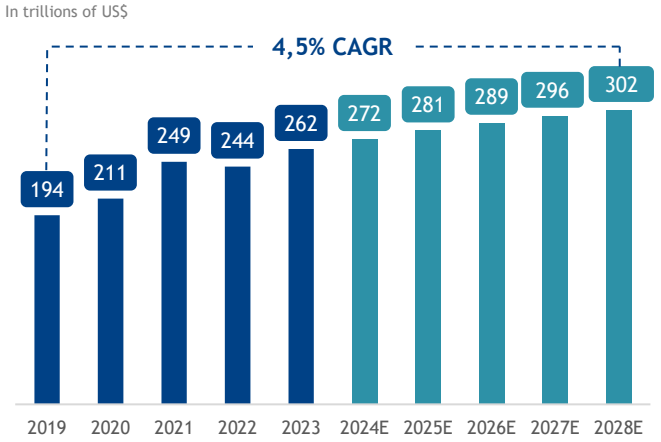
- Operators: Insurances
- Providers: Hospital Services
- Providers: Labs and Diagnosis
- Industry

Healthcare Expenditure as a Percentage of GDP in Selected Countries in 2022

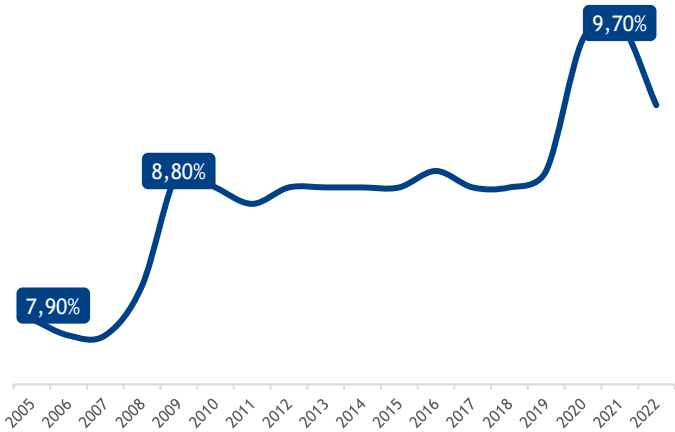


II. Rising Global Investments

Global Amount Spent on R&D by Pharma Industry

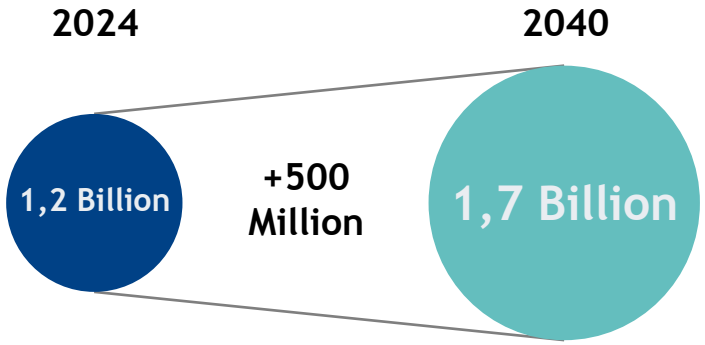


Historical Average Share of Global GPD Spent on Healthcare

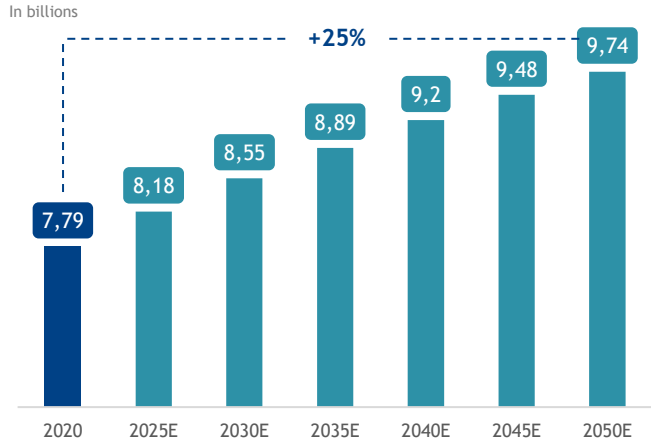


III. Main Global Healthcare Drivers

1. Forecasted Amount of **60+ Years Old's** in the World



2. Historical and Forecasted **Amount of People** on Earth



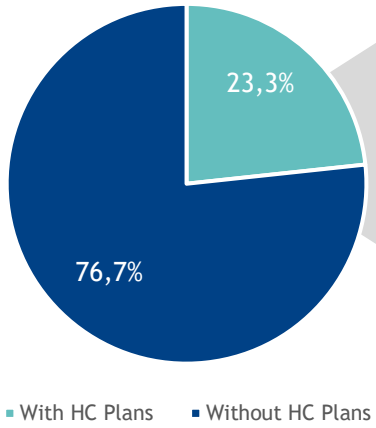
Source: Dynamic Pro Research, OCDE, Statista

Brazil Healthcare Overview

Insurances have **low penetration**, 23,3%, due to a **high social inequality**. All other 76,7% ate attended by **SUS**, the Brazilian public healthcare system. However, public has **low quality**, counting with **less beds and investments** than private, which has 1/3 of its patients.

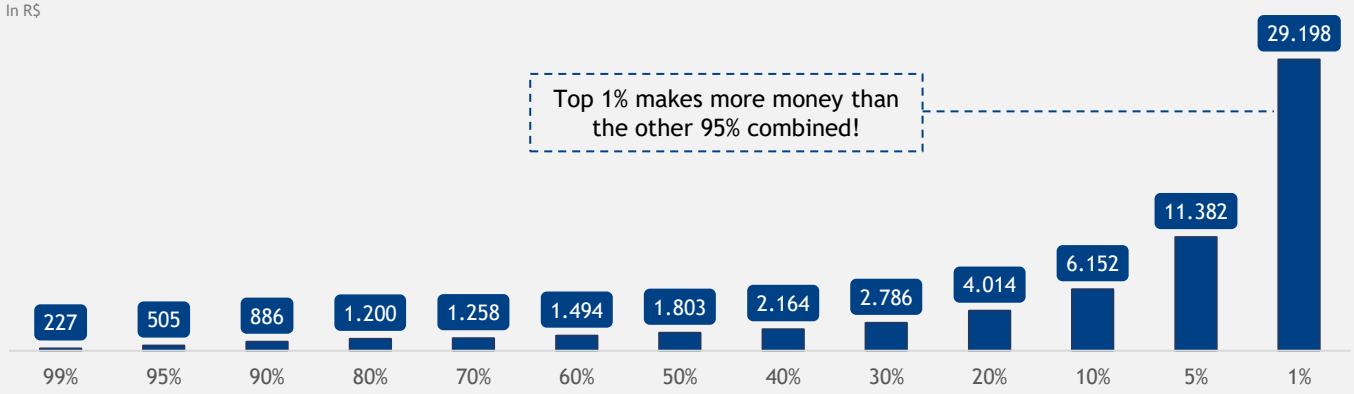
I. Insurances' Low Penetration

Share of Brazilian Population With a HC Plan



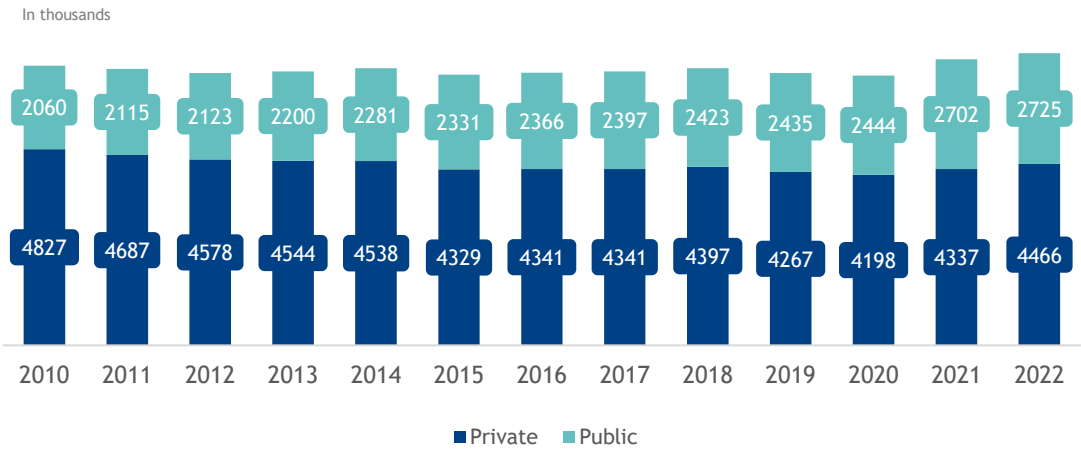
II. Brazil as an Extremely Unequal Country

Monthly Income per Share of the Brazilian Population



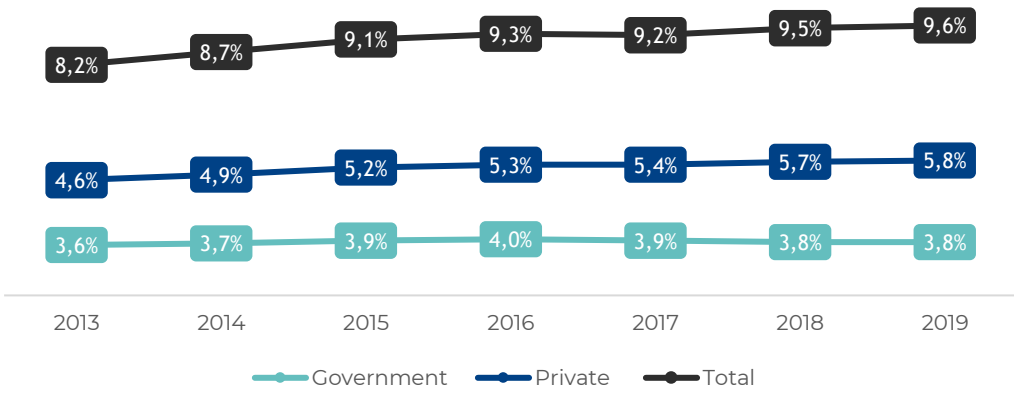
III. More than 60% of all Brazilian Beds are in Private System

Total Brazilian Hospital Beds Divided in Public and Private



More Investments Made in Private than in Public

Brazilian Historical Investments in Public and Private Healthcare Systems



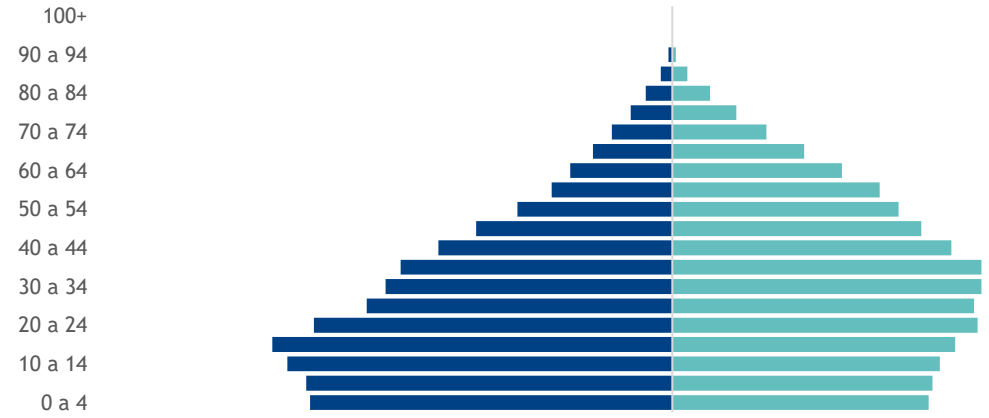
Source: XP Expert, Statista

Brazil Healthcare Overview

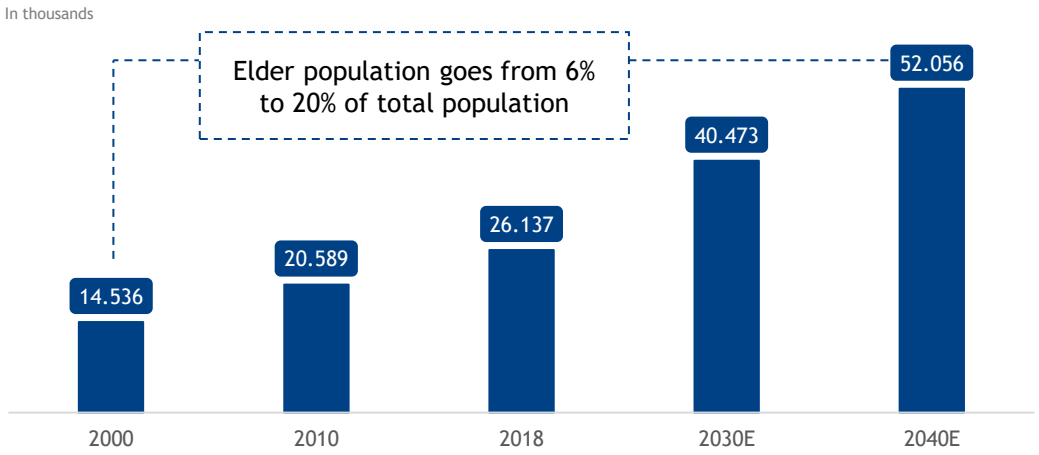
Despite of a growing population, Brazil has also got an aging one, in high growth rate when compared to other countries. Brazil's healthcare sector is also characterized by its high volume of mergers & acquisitions.

I. Aging Brazilian Population

Brazilian Aging Pyramid in 2000 and 2022

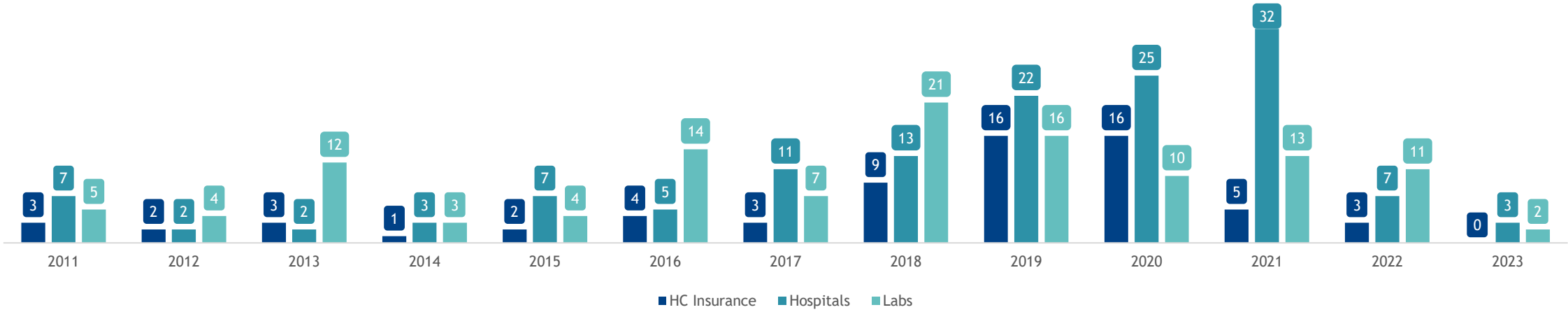


Historical and Forecasted Number of 60+ Years Old's in Brazil



II. Sector Marked by Quantity of M&As

Number of M&As in the Brazilian Healthcare Sector per Year

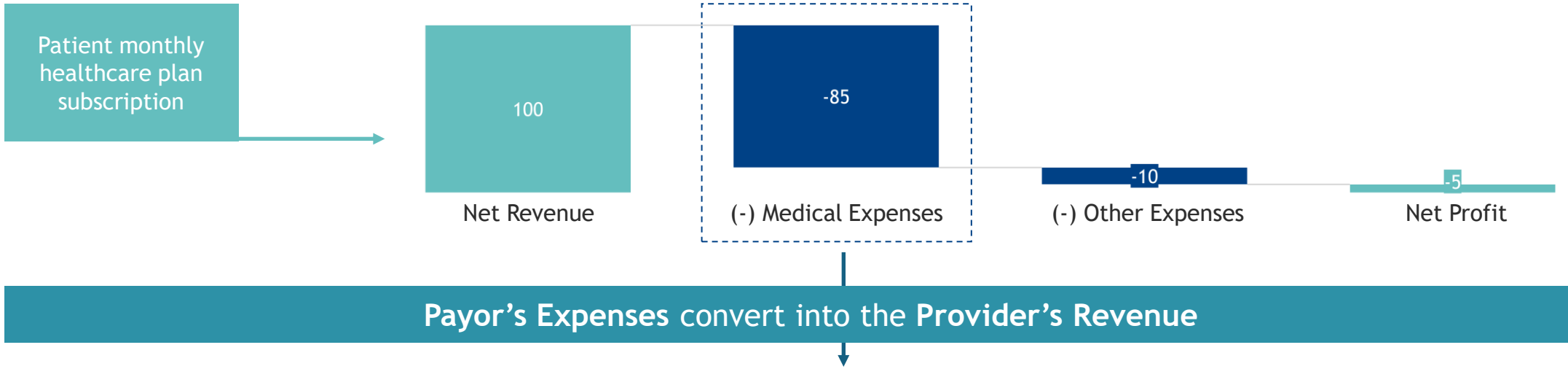


Source: BTG Pactual, IBGE, Statista

Private Healthcare

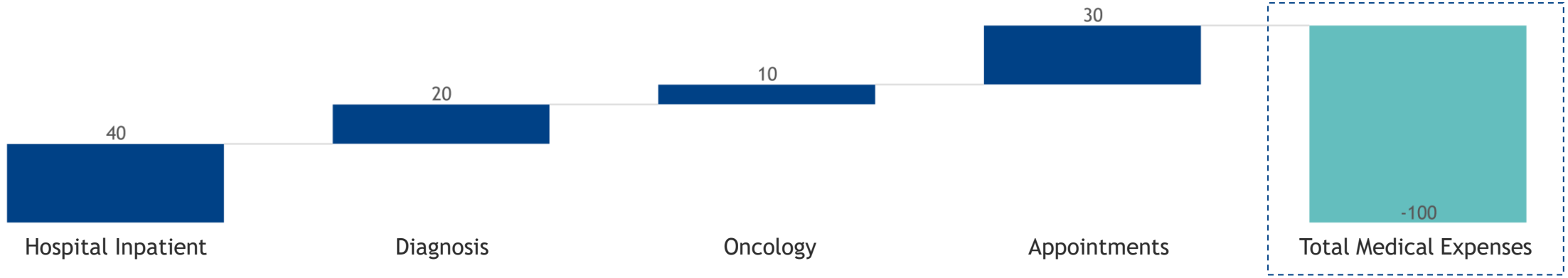
To understand the Brazilian private healthcare system, its important to comprehend the relationship between insurances and hospitals. Providers and operators are strongly bonded, once the operator's expenses are the provider's revenue!

1. P&L of Private Healthcare Plan Operators (Payors)



Payor's Expenses convert into the **Provider's Revenue**

2. P&L of Private Healthcare Hospitals (Providers)

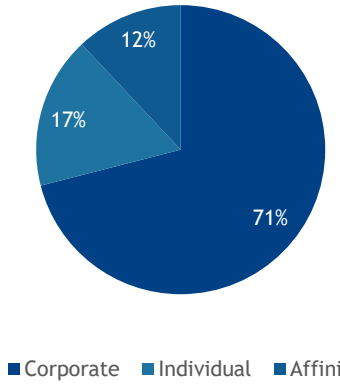


Brazil's Insurances Overview

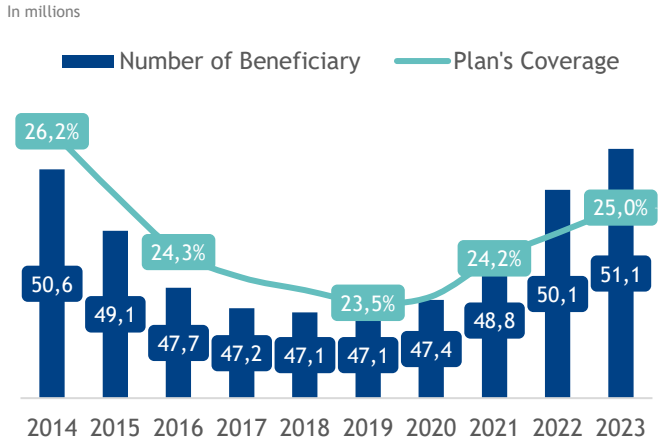
Healthcare plans are divided in **two main types**: Individual and Corporate/Affinity. Since the **majority is corporate**, the sector is strongly **bonded to the macroeconomic scenario**. Unimed is the **largest** peer, but Bradesco, Hapvida and Sul América are the **richest**.

I. Consolidated Sector

Healthcare Plans Type's Share in Brazil

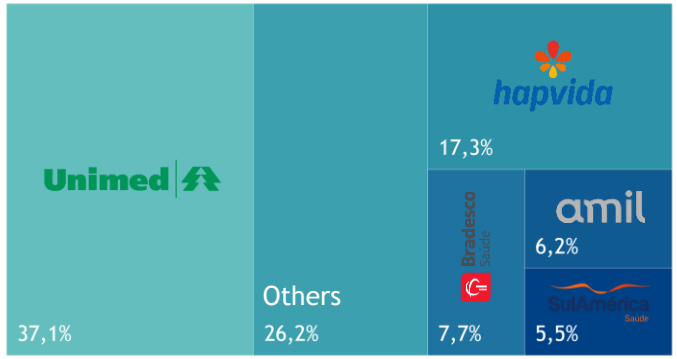


Historical Brazilian Beneficiaries and Healthcare Plans National Coverage

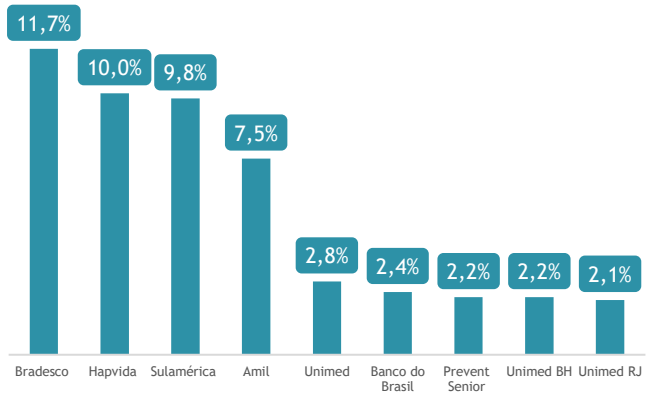


II. Strong Players

Marketshare by Number of beneficiaries

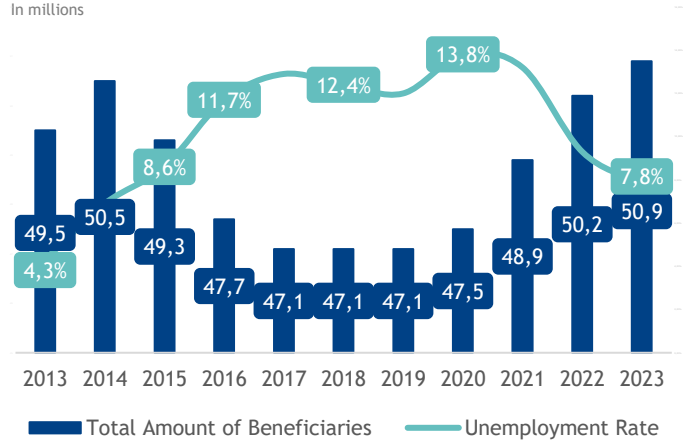


Insurances Sector Companies Marketshare by Net Revenue

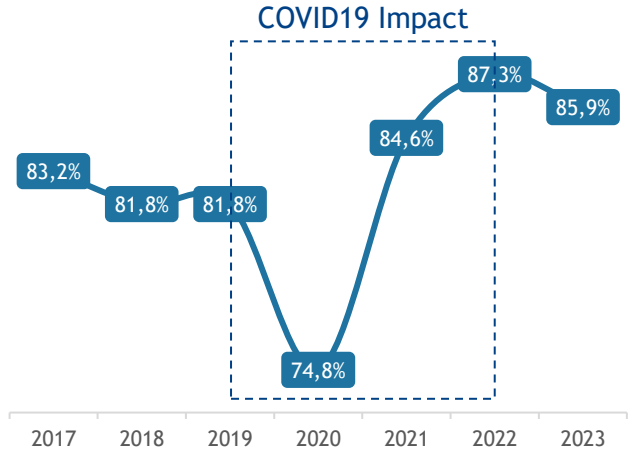


III. Highly Impacted by Macro Scenario

Historical Beneficiaries and Unemployment Rate



Historical Sector's MLR (Medical Loss Ratio)

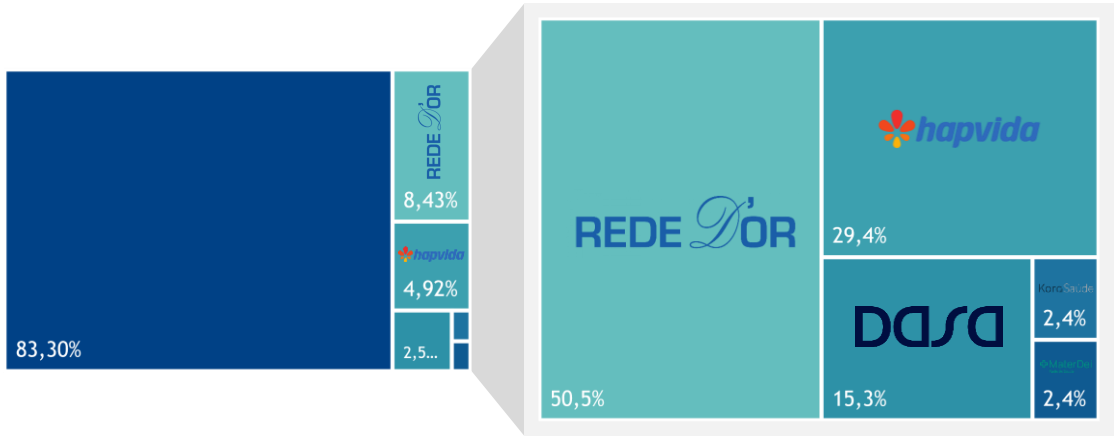


Brazil's Private Hospitals Overview

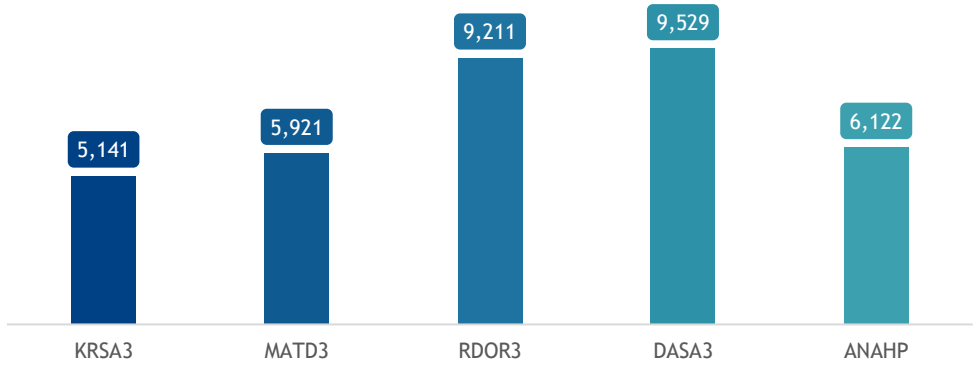
The Brazilian private hospitals sector is highly spread, with only 10% of marketshare in the big players hands, indicating a consolidation tendency. The sector is acyclic but its in recovery from pandemics impacts, counting with five main players.

I. Big Players

Listed in B3 Companies Marketshare General and Isolated by Revenue

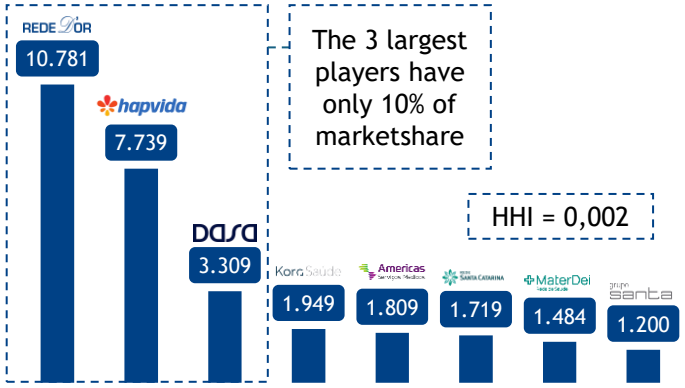


Peers Daily Average Ticket in 2023

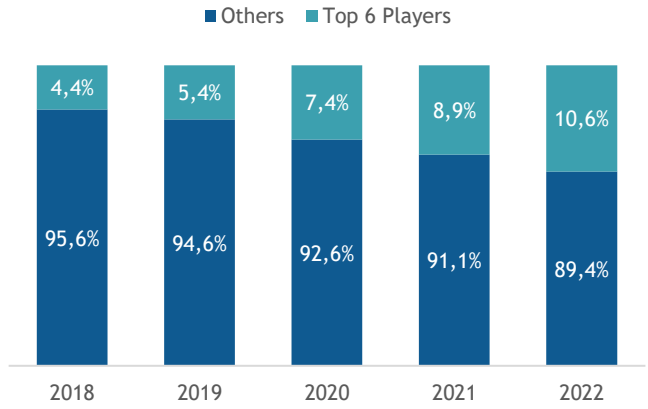


II. Highly Spread Sector

Companies Number of Beds in 2023

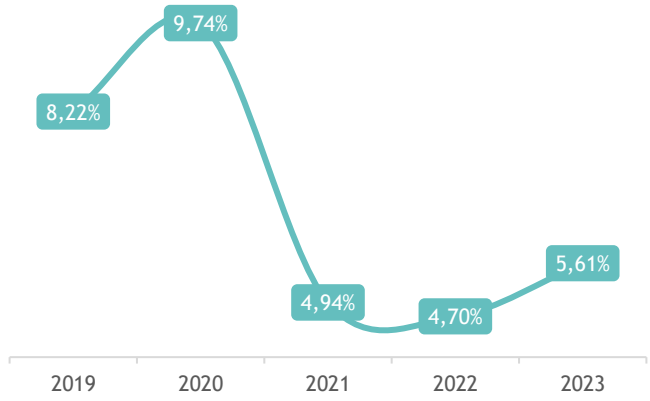


Private Companies Marketshare by Number of Beds



III. Pandemic Impacts

Sector's Historical Average ROIC



Rede D'Or Overview

Rede D'Or is the **largest hospital service provider in Brazil**, with more than **70 hospitals** across 13 states. Also, it has more than **50 oncology labs** in different regions.

About the company

- Offers **hospital services**
- More than 50 **oncology clinics**
- More than 11000 **hospital beds**

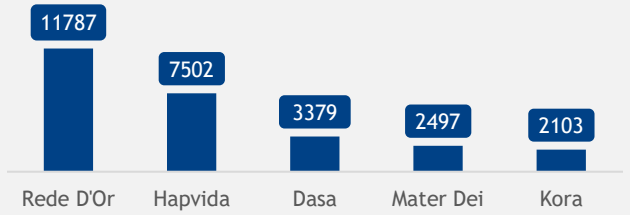
I. Spread National Presence

Rede D'Or's Operating Brazilian States



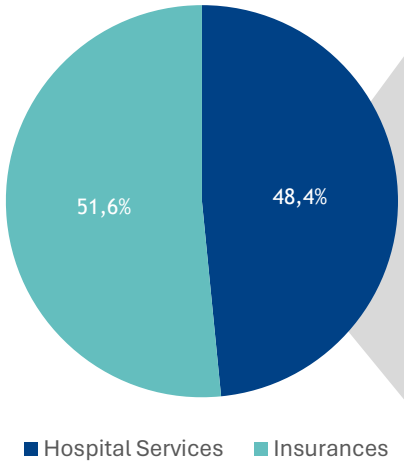
II. Largest Company in the Sector

Hospital Beds per Company in 2023



III. Half-half revenue

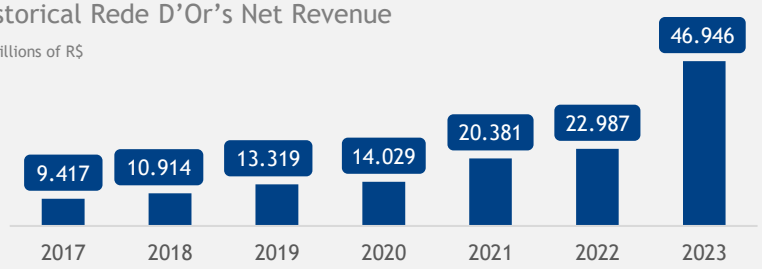
Rede D'Or's 2023 Revenue Composition



IV. Solid Historical Growth

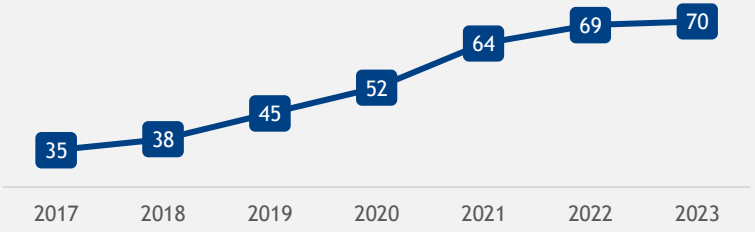
Historical Rede D'Or's Net Revenue

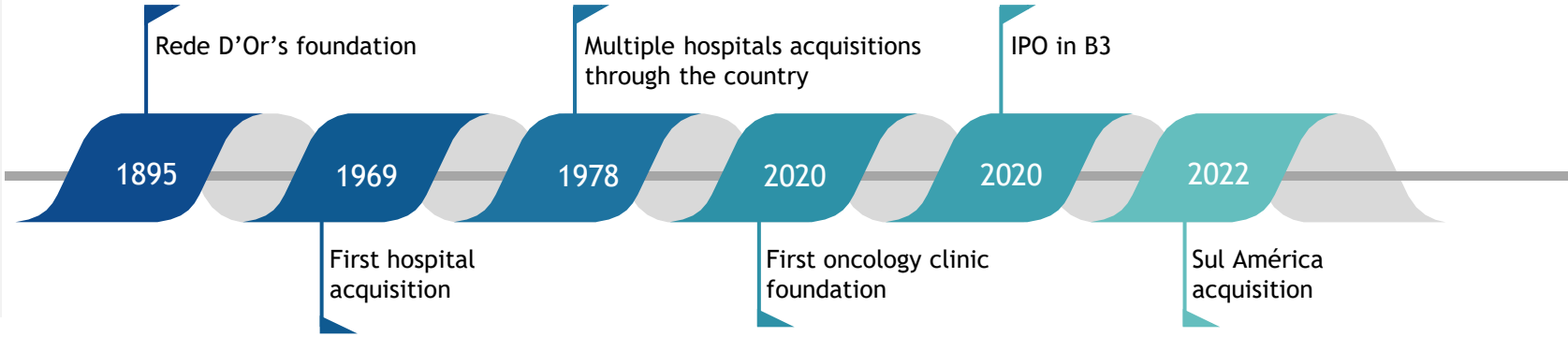
In millions of R$



V. Rapid Growth Rate

Historical Rede D'Or's Number of Hospitals





Source: RI

SulAmérica Overview

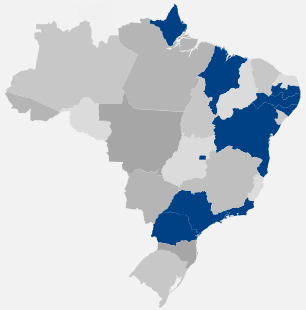
With 129 years of market, Sul América is one of the largest Brazilian operators. Its revenue comes mainly from health and dental plans. SULA is the most expensive insurance in Brazil and also one of the most penetrated ones.

About the company

- Health care and dental plans
- Life insurance and private pension
- Asset management

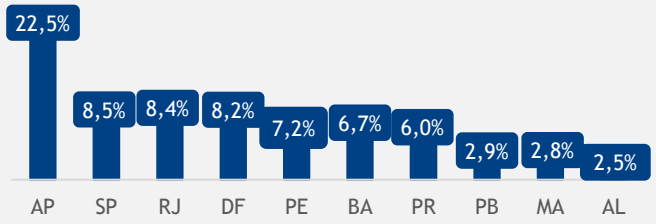
I. Spread National Presence

Sul América's Operating Brazilian States



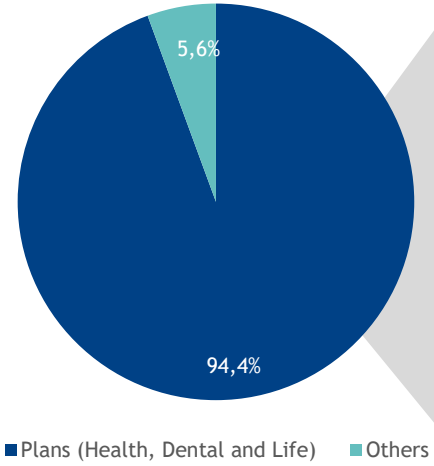
II. High Penetration

Sul América's Marketshare per Operating State



III. Sustained by Plans

Sul América's 2023 Revenue Composition



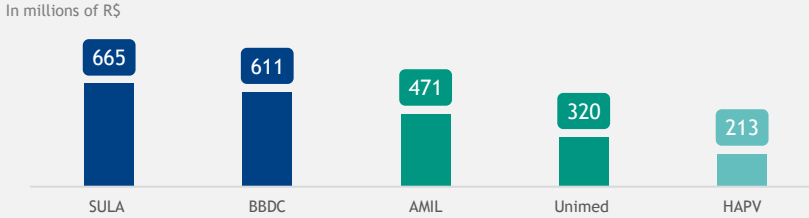
IV. Solid Historical Growth

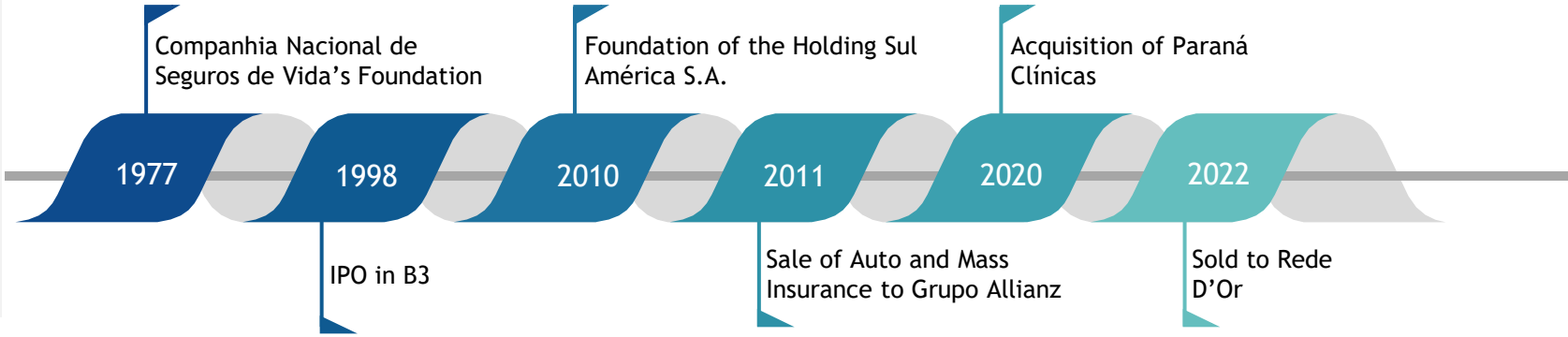
Historical Rede D'Or's Net Revenue



V. Most Expensive of the Sector

Sector's Monthly Average Ticket in 2023



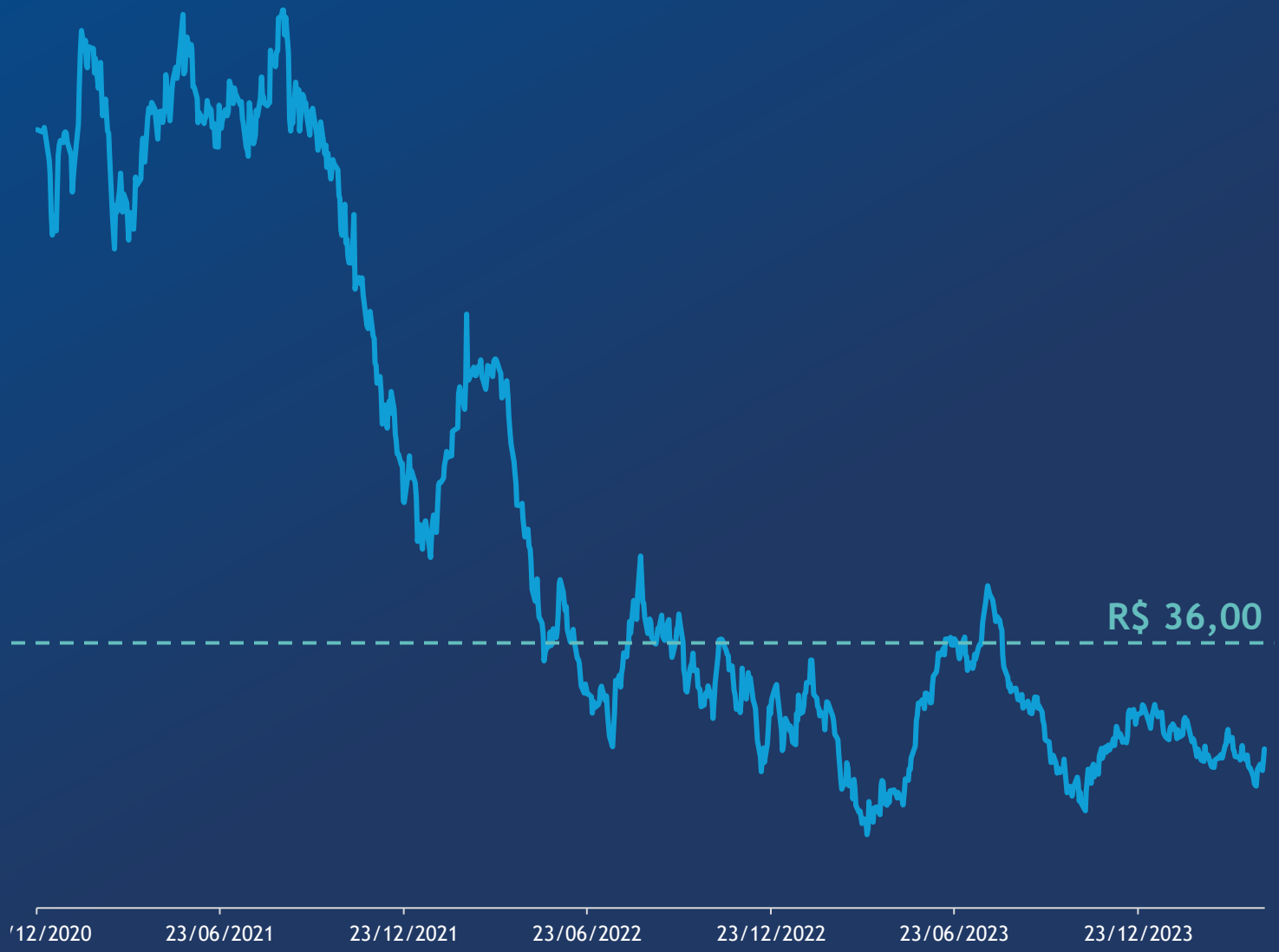


Source: RI

RDOR3 - HOLD

Recommendation based on the DCF Valuation and on the 3-year IRR

REDE D'OR



DCF
18,8%

IRR
19,4%

Current
Price
R$30,33

Investment Thesis

REDE D'OR

I

Rede D'Or is By Far The Best Player in the Healthcare Sector

Rede D'Or is the best in the sector, and that is due to better margins, better client's satisfaction and better returns for the investors.

II

Strong Revenue Growth

Rede D'Or and SulAmérica will present better results in the future as the sector recovers from the current crisis, increasing margins in both operations.

III

DCF Valuation reveals a Hold position

After doing Rede D'Or's valuation, through the DCF method, we stand in a HOLD position. We obtained an 19,4% IRR with an 15,6% Ke, besides of a 18,8% upside.

Investment Thesis

REDE D'OR

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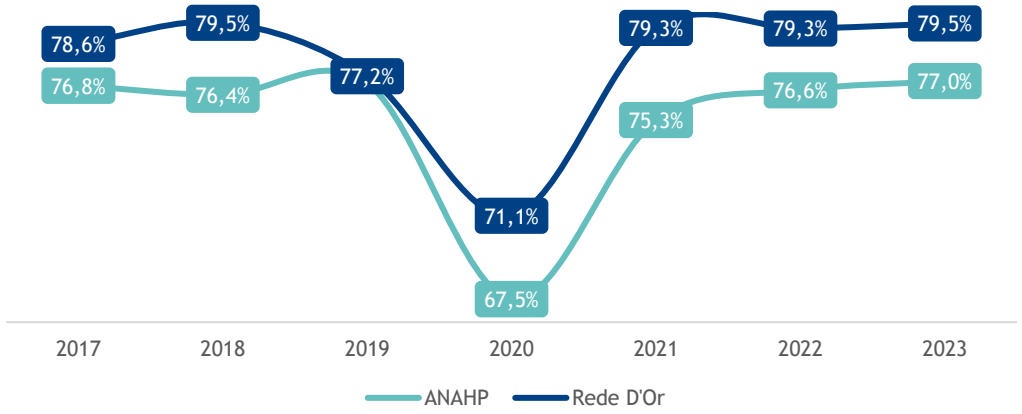
After doing Rede D'Or's valuation, through the DCF method, we stand in a HOLD position. We obtained an 19,4% IRR with an 15,6% Ke, besides of a 18,8% upside.

Best Indicators in the Healthcare Sector

We believe that Rede D'Or is by far **the best hospital services provider in Brazil**. The fact that **they have the best indicators** in every possible aspect shows it!

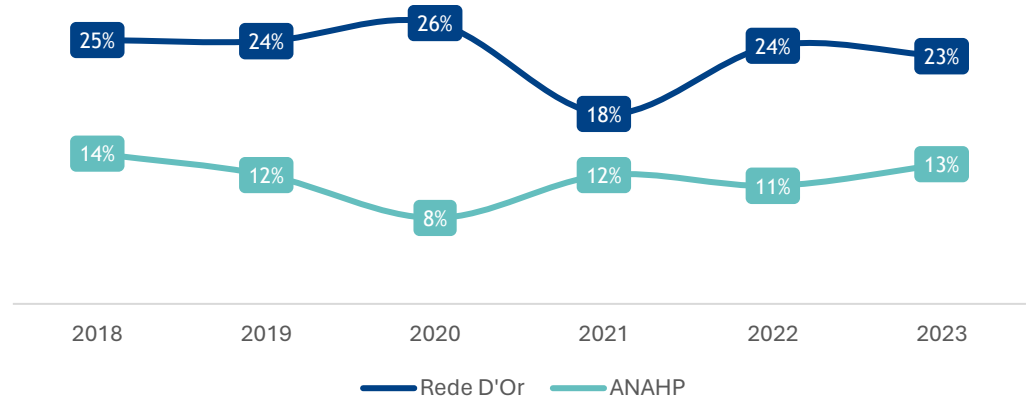
I. Occupancy Rate

Rede D'Or has always managed to **attract more beneficiaries** than the average hospital.



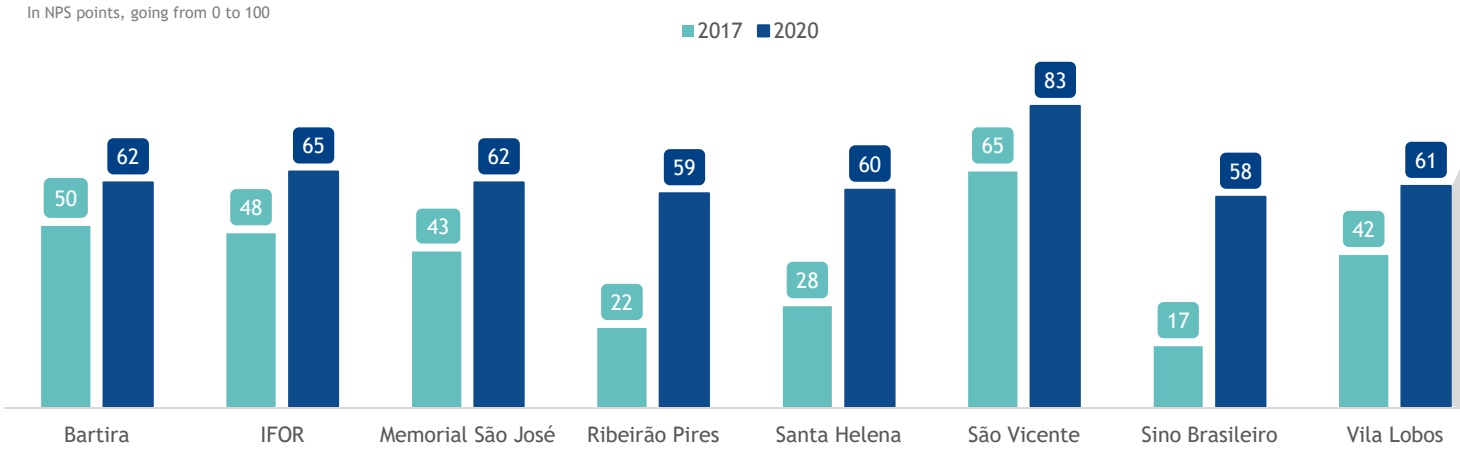
II. EBITDA Margin

Rede D'Or EBITDA Margin is **almost twice the average**, indicating an efficient operation!



III. Different hospitals' NPS before and after Rede D'Or acquired them

After Rede D'Or's acquisitions, NPS **increased on average 87,5%**, showing the satisfaction of the beneficiaries.



Private Luxury Hospitals in São Paulo's NPS

VILA NOVA STAR REDE D'OR	COPA STAR REDE D'OR
94	92

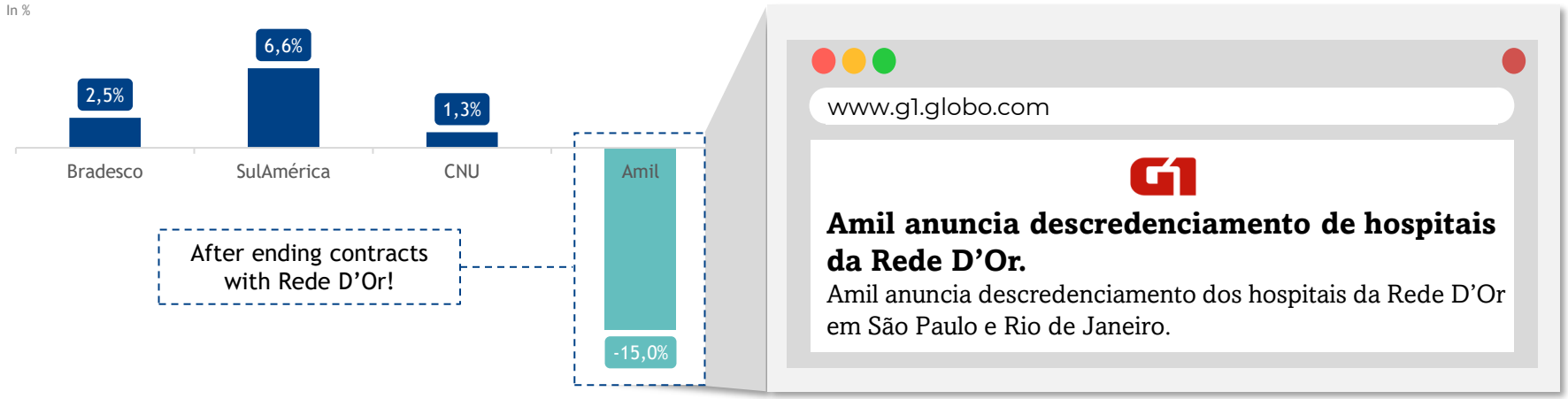
ALBERT EINSTEIN HOSPITAL ISRAELITA	HOSPITAL SÍRIO-LIBANÊS
86	90

High Bargain Power with Insurances

Rede D'Or is the **beneficiaries' favorite hospital services provider**, which gives the corporation a **high bargain power with insurances**, evidenced by high price readjustments.

I. Beneficiaries Base of Healthcare Insurances (2017-2019)

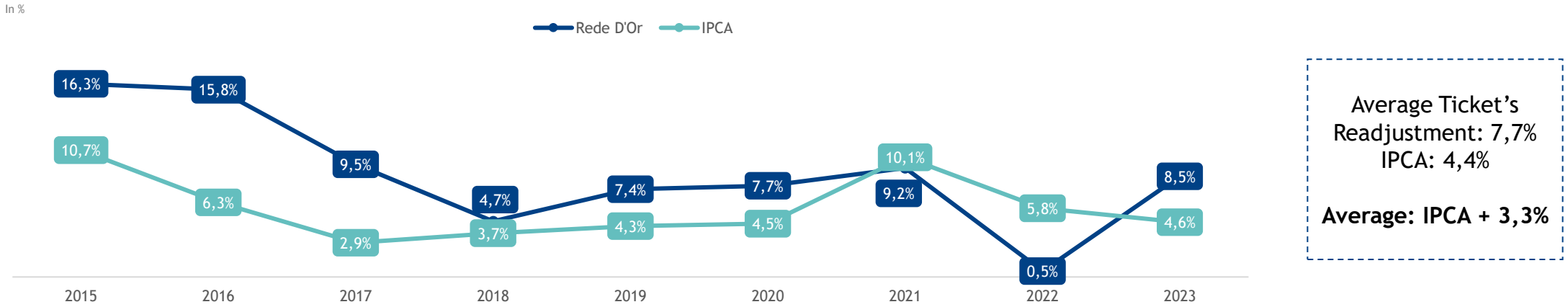
After Amil **ended their contracts** with Rede D'Or, they lost a **huge part** of their beneficiaries base



Beneficiaries insist on having Rede D'Or **guaranteed** in their healthcare plan

II. Rede D'Or's Price Readjustment vs IPCA

Due to Rede D'Or's **high bargain power**, they have always managed to **readjust prices above inflation**!



Average Ticket's Readjustment: 7,7%
IPCA: 4,4%

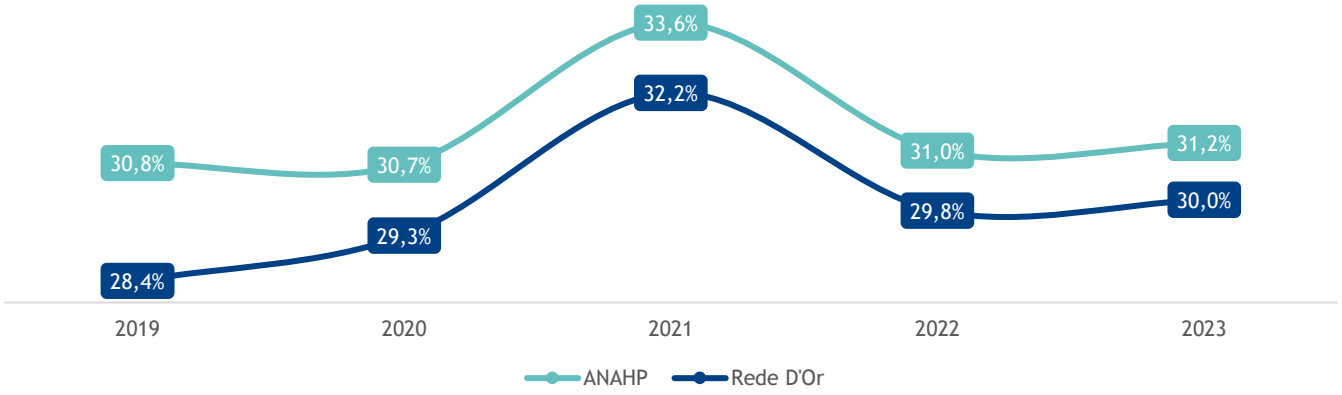
Average: IPCA + 3,3%

High Bargain Power with Suppliers

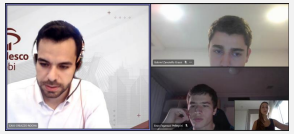
Rede D'Or is the **largest hospital services provider in Brazil**, with more than 70 hospitals in 13 different states. This mean they can **negotiate better prices** with suppliers!

I. Materials and Medicine as a % of COGS

Rede D'Or can **dilute better** its Mat and Med costs than the sector



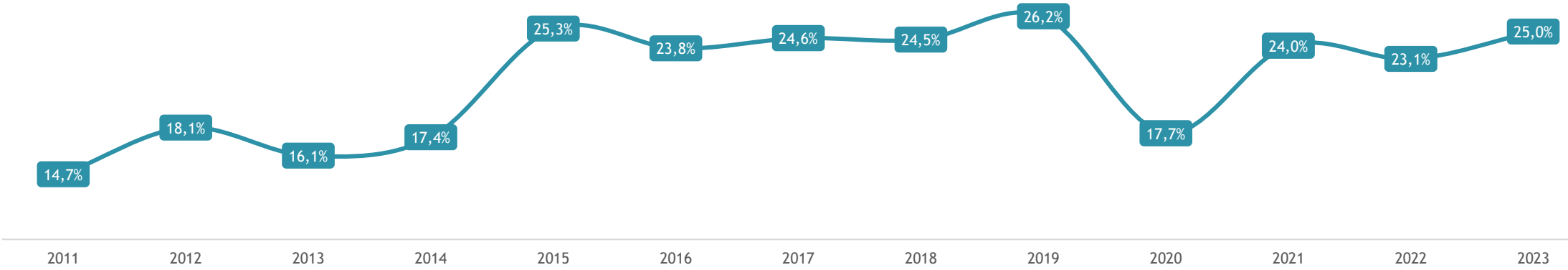
Caio Rocha, Bradesco BBI HC Analyst



"Due to Rede D'Or's expansion plan, we can't see margins improving as **greenfields pressure them**. But if they didn't have this bargain power with suppliers, margins **were supposed to be lower**.

Historical Rede D'Or's EBITDA Margin

The margin has **always presented growth**, even with the expansion plan, indicating **dilution of costs** and **scale economics**



“Best” Management in the Sector

Rede D’Or has the most **experienced management** in the healthcare sector, with the founder of the company, Jorge Moll Filho, **still being the chairman**.

I. High Quality Executives

The company has got a **long-time team**, evidencing **loyalty and efficiency**



Jorge Moll Filho, Founder and Board President
Neurosurgeon and Cardiologist

Paulo Moll, CEO
CEO since 2002





Otávio Lazcano, CFO and IR Director
Rede D’Or since 2015

I. Experienced and Diverse Board

Healthcare

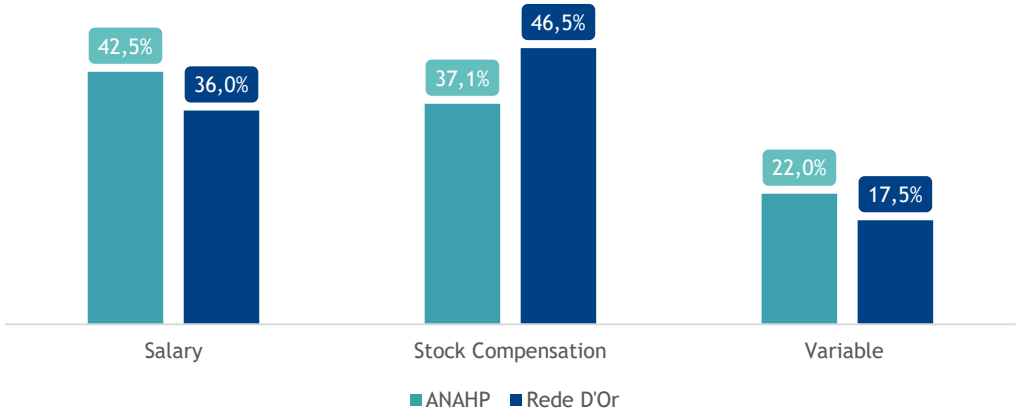
Oswaldo Cruz Instituto Social
bradesco saúde
anahp

Finance

btg pactual
EY Building a better working world
CHASE

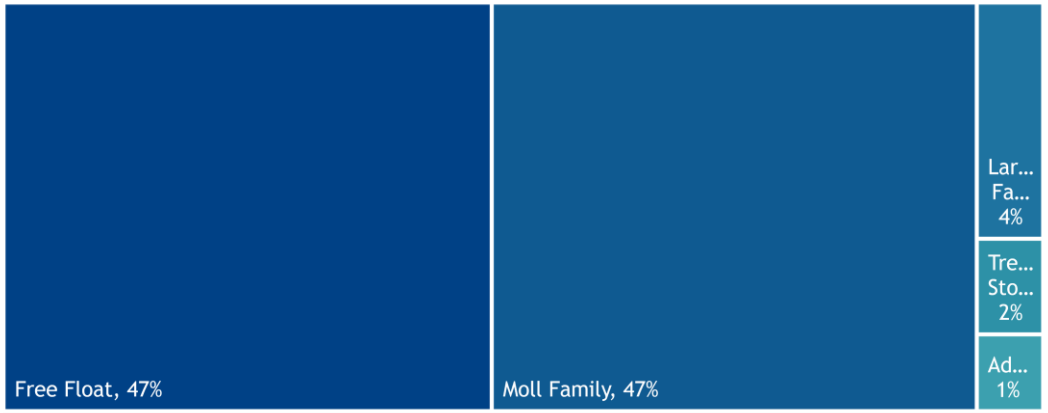
II. Rede D’Or’s Management Compensation x Sector’s

Management has **similar interest to the shareholders’**, due to compensation



III. Shareholding Composition

The **Moll family has 47% of all shares**, so stock performance matters to them



Smart Expansion Strategy

Instead of associating every hospital with the Rede D'Or name, the Company **buys the most local famous hospital company** to create familiarity with the beneficiaries, **skipping the maturation process** most hospitals go through.



I. Remarkable Brands

Rede D'Or has got a **unique expansion strategy**, has been showing positive results

> Instead of buying a hospital and changing its brand to Rede'Or, the company buys the most known local brand and uses that attract more patients.

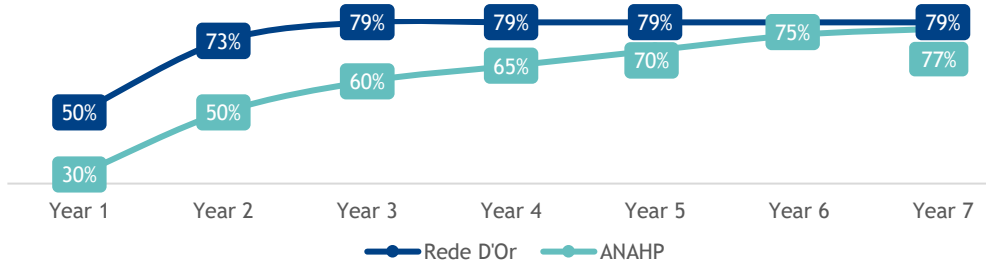
II. Years to Achieve Maturation (Rede D'Or x ANAHP)

Due to its **power of brand**, Rede D'Or maturates its beds in **half of the sector's time**



III. Years to Achieve Maximum Occupancy Rate (Rede D'Or x ANAHP)

Rede D'Or has a **higher utilization of occupancy capacity** than the sector

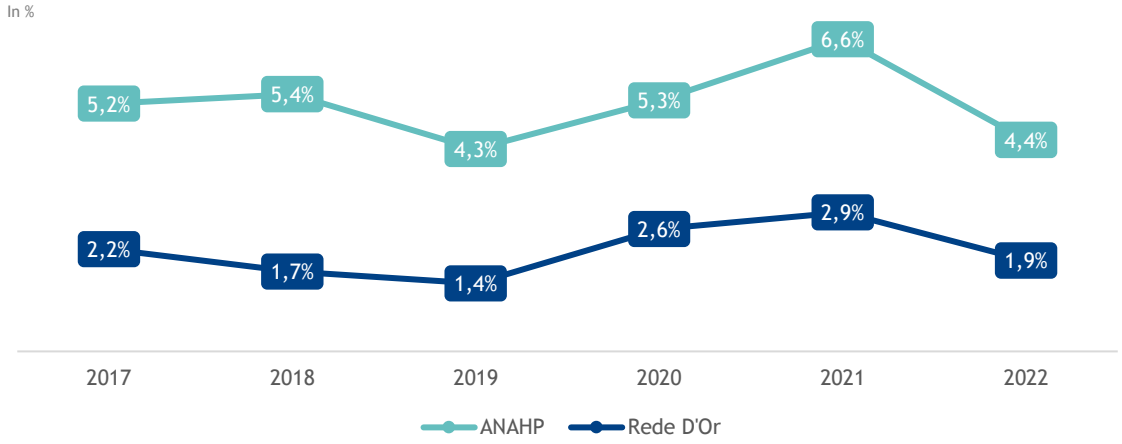


Exceptional Medical Perfomance

The more efficient a hospital is in medical procedures, the **cheaper it is** for the healthcare insurances, **creating a mutual benefic situation** for the provider and the operator.

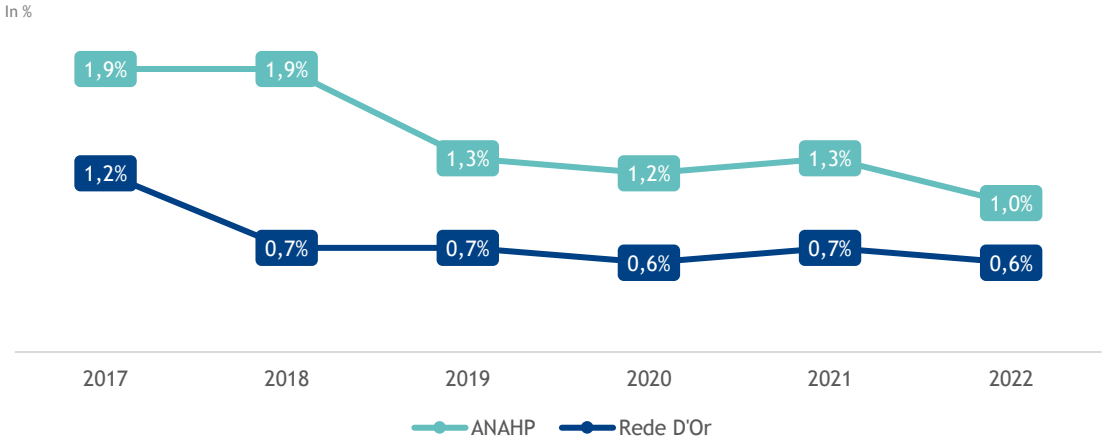
I. Ventilator Associated Pneumonia (Rede D'Or vs ANAHP)

Rede D'Or is **safer** when it comes to **emergency procedures**.



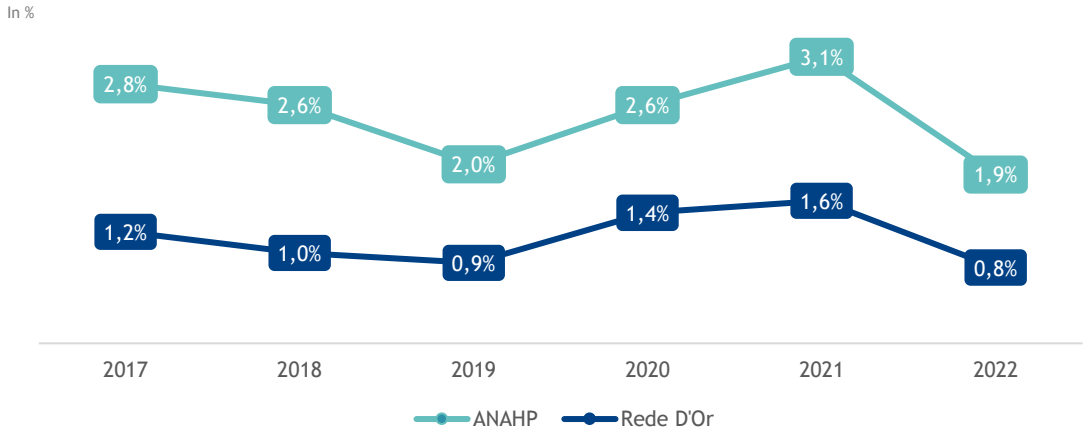
II. Catheter-Associated Urinary Tract Infection (Rede D'Or vs ANAHP)

CAUTI is a **post op problem**, and RDOR has a **lower rate than the sector**



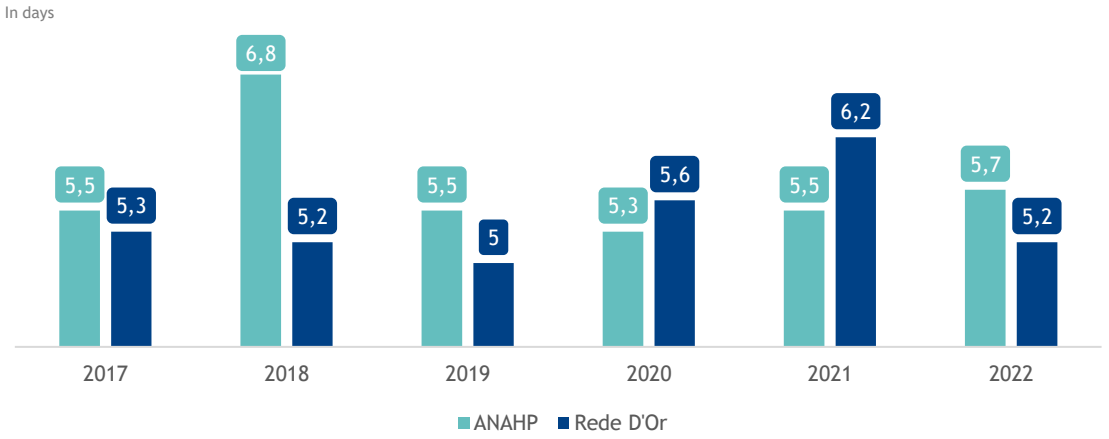
III. Catheter-Related Blood Stream Infection (Rede D'Or vs ANAHP)

CRBSI is a **lethal post op complication**, evidencing **Rede D'Or's safety**



IV. Time spent in ICU (Rede D'Or vs ANAHP)

The less time a person spends in ICU, the **cheaper** it is for the **healthcare insurances**

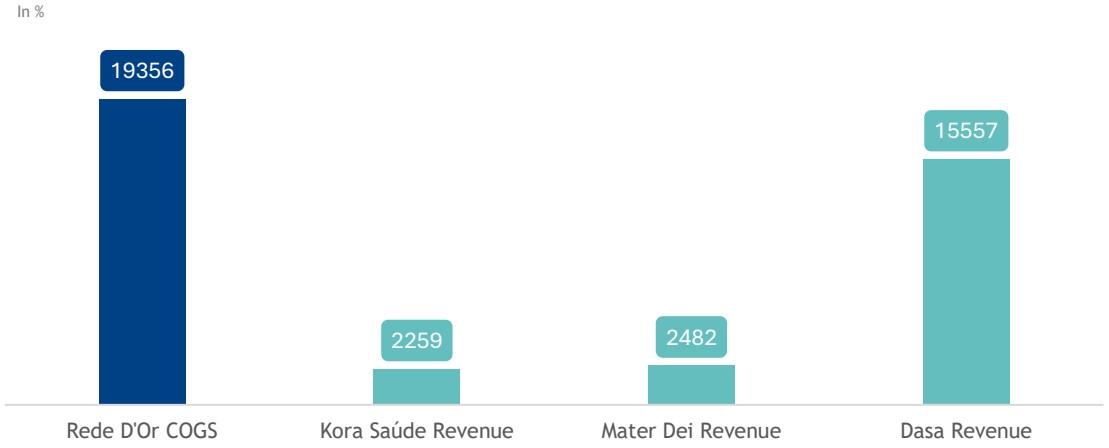


How Does Rede D'Or Keep Those Impecable Indicators?

Rede D'Or has the best medical indicators in the healthcare sector due to its large investment in new medical technologies and for attracting the best doctors in Brazil.

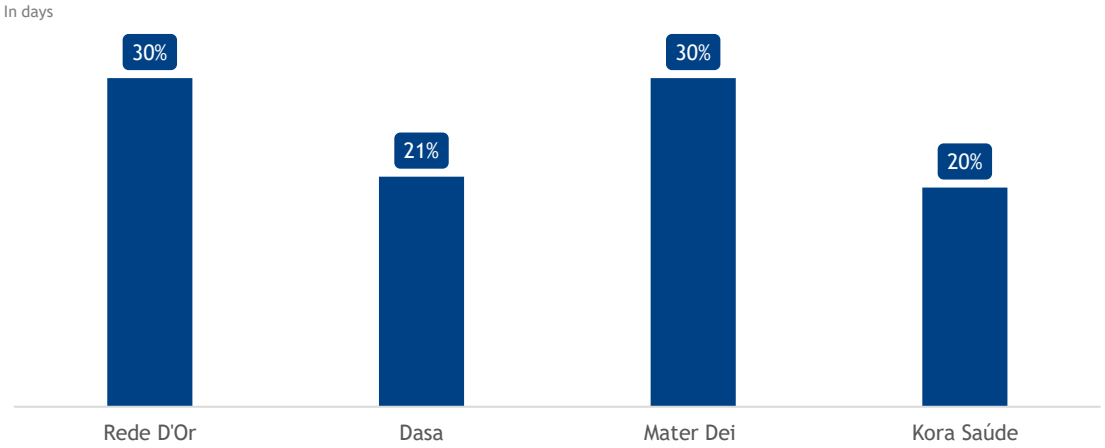
I. Rede D'Or COGS vs Other players Revenue

Rede D'Or's COGS is bigger than others players revenue!



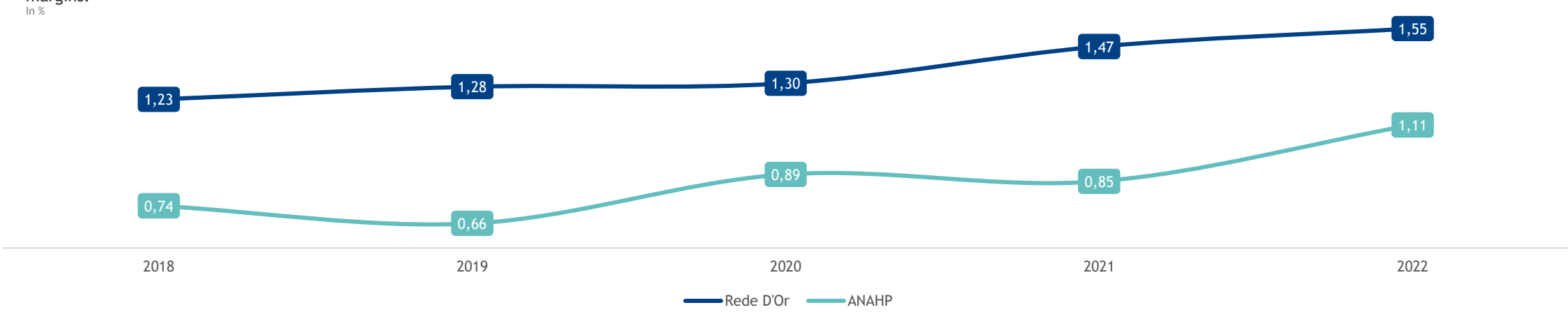
II. Better Margins than peers

Even spending more than Peers, Rede D'Or still manages to keep better operational margins



III. COGS / Hospital Bed

Rede D'Or spends more per hospital beds, giving better quality to the pacientes and still has better margins.



Sul América's Great Management

The company has got a **long-time, experienced and diverse management**, with a great part of their **salaries based on shares**. The board is also diverse and with a wide range of knowledge

I. Sul América's Long Date Executives



Ricardo Santos, CEO and RI Director
In Sul América since 2015, CEO since 2021

Reinaldo Lopes, Vice President
In Sul América since 2002, Vice President since 2022

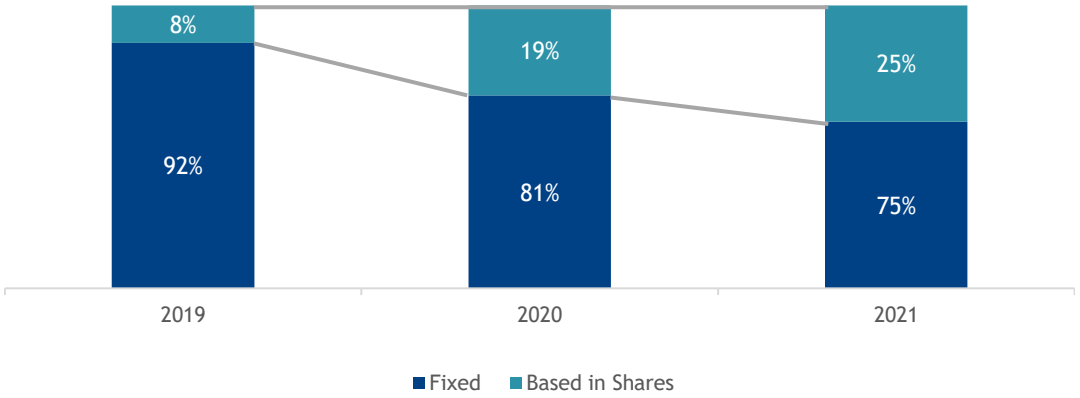




Fernanda Dantas, Director
In Sul América since 2012, Director since 2022

II. Historical Executives Income Composition

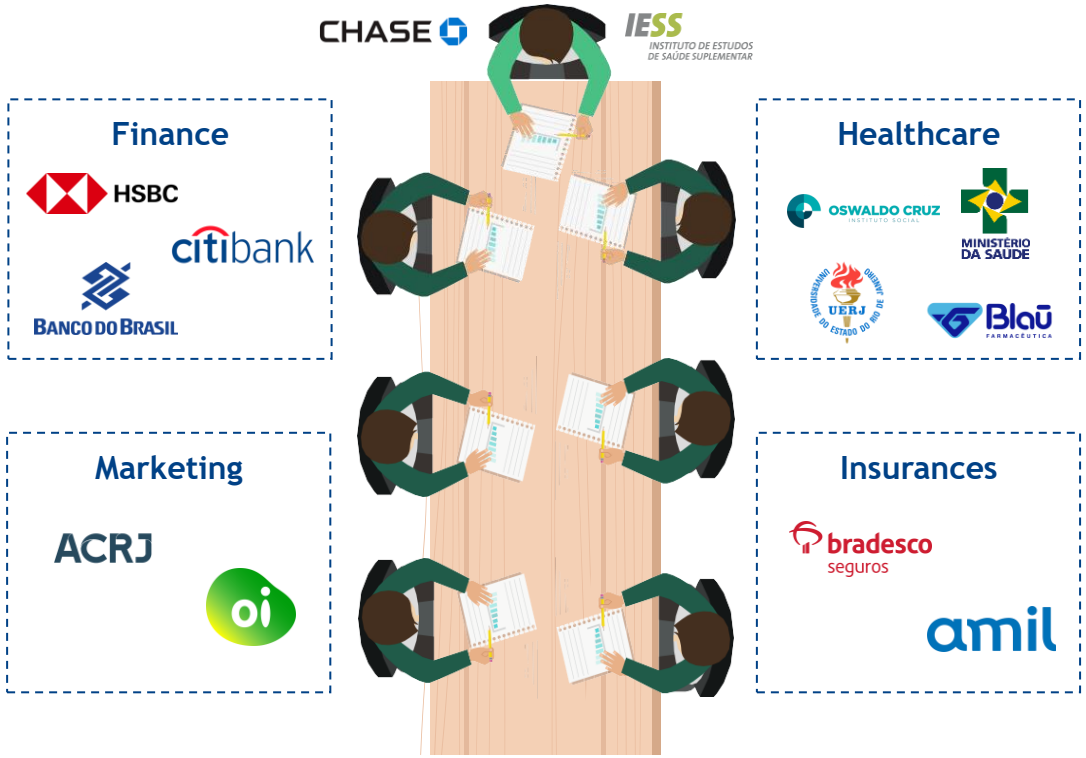
Executives are **depending more in shares**, which **stimulates their work**



III. Strong, Experienced and Diverse Board

Sul América's board is composed by **complementary skills**, which combined, may lead to **great results**

Patrick Larragoiti
Sul América's Ex CEO (from 1998 to 2010)

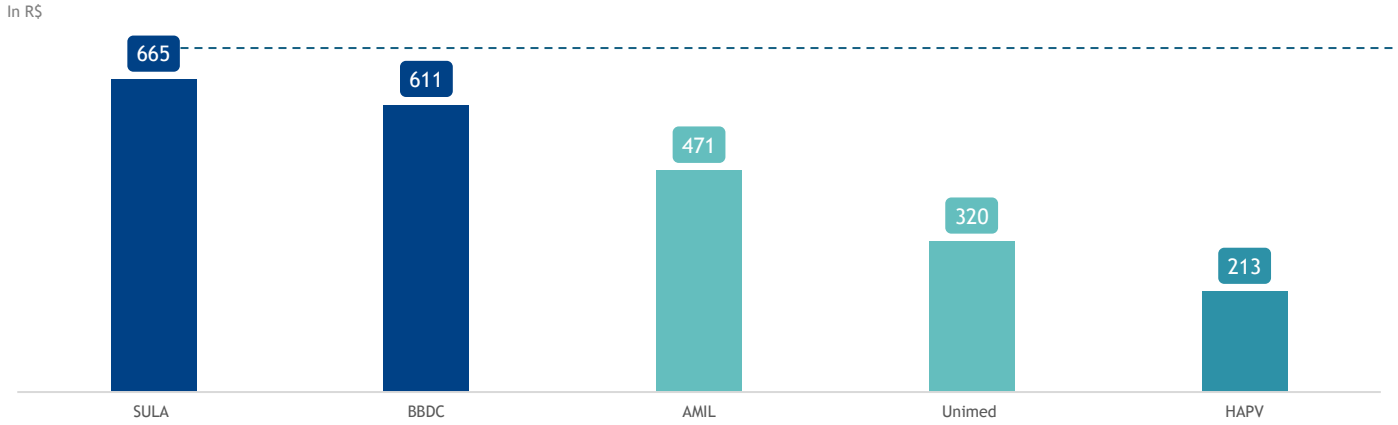


Sul América's Low Vulnerability

One of the most positive aspects of the company is its **low vulnerability to the macroeconomic scenario**, due to its **high net worth individuals base of clients**. Meanwhile Brazil looses beneficiaries, Sul América has always increased their base.

I. Sector's Peers Monthly Average Ticket

Sul América has the **highest average ticket** in the sector

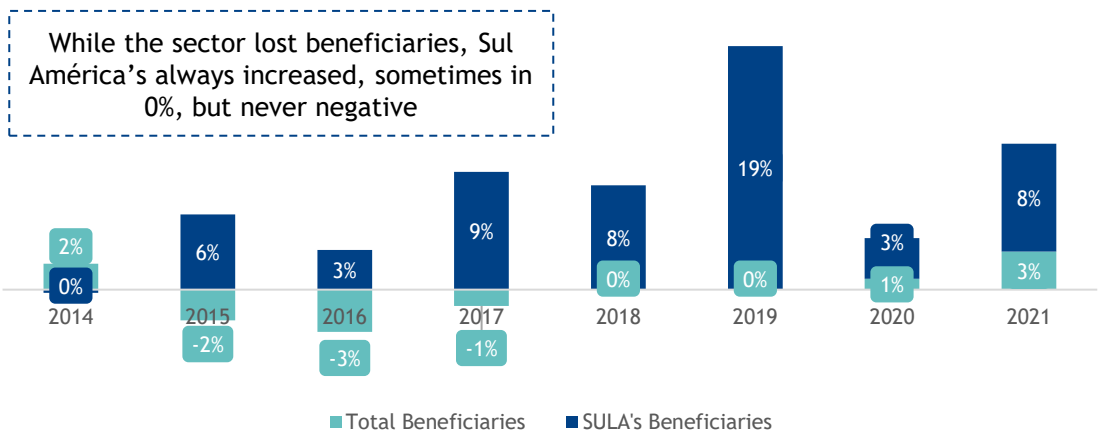


Sul América's base of beneficiaries is composed by **high net worth individuals**, so the company is **less vulnerable to economic crisis**

II. Variation on Number of Beneficiaries in Brazil x in Sul América

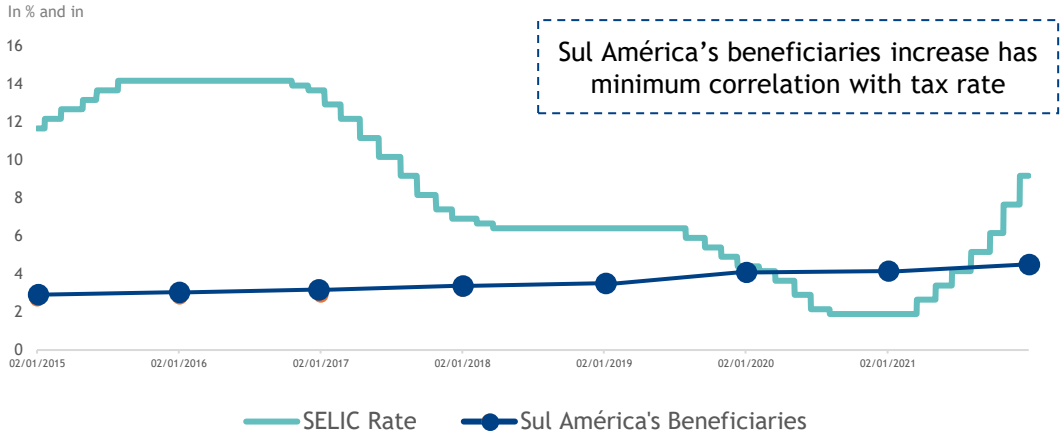
Variation on Number of Beneficiaries in Brazil x in Sul América

While the sector lost beneficiaries, Sul América's always increased, sometimes in 0%, but never negative



Historical Sul América's Beneficiaries x SELIC Rate

Sul América's beneficiaries increase has minimum correlation with tax rate



Investment Thesis

REDE D'OR

I

Rede D'Or is By Far The Best Player in the Healthcare Sector

Rede D'Or is the best in the sector, and that is due to better margins, better client's satisfaction and better returns for the investors.

II

Strong Revenue Growth

Rede D'Or and SulAmérica will present better results in the future as the sector recovers from the current crisis, increasing margins in both operations.

III

DCF Valuation reveals a Hold position

After doing Rede D'Or's valuation, through the DCF method, we stand in a HOLD position. We obtained an 19,4% IRR with an 15,6% Ke, besides of a 18,8% upside.

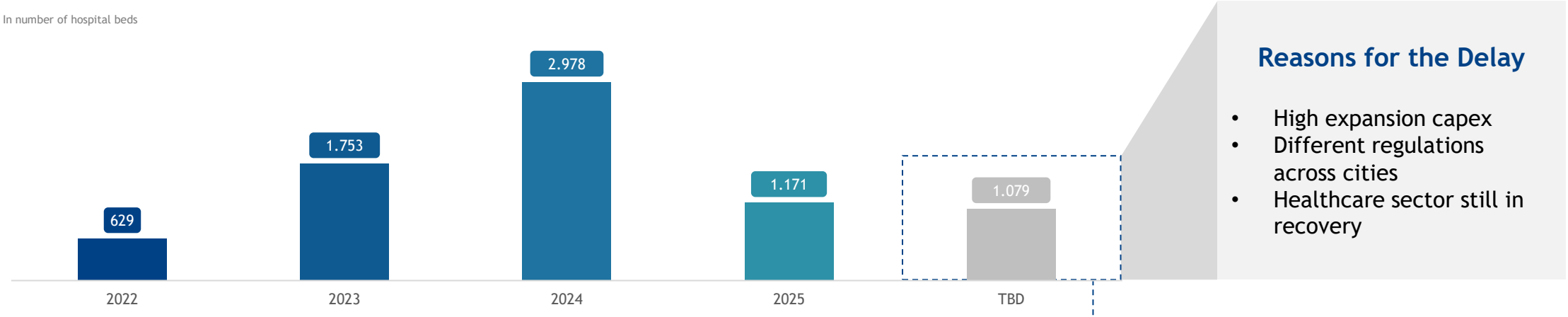
Postponed Expansion Plan

Due to various reasons, Rede D'Or is **delaying its expansion plan**, adding more hospital beds to the original one, but **further in time**. Loads of projecs don't even have a defined date.

I. Massive delay on the Plan from 2021 to 2023

Initial Plan Announced in 2021

In number of hospital beds



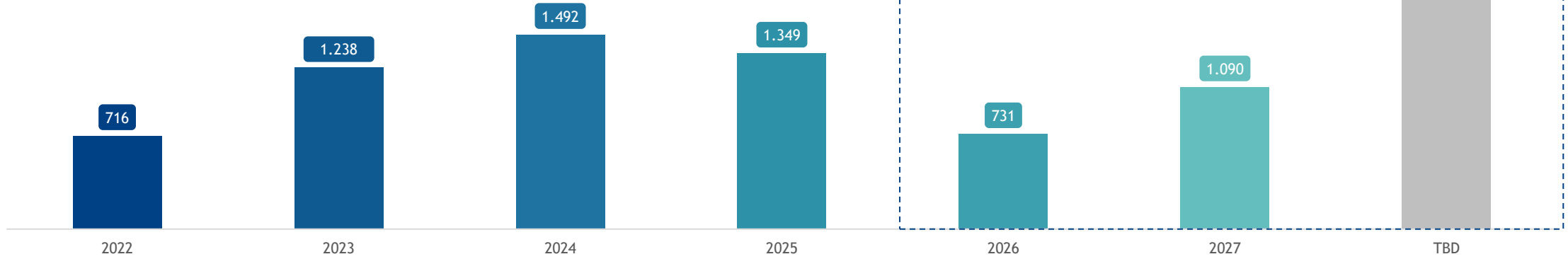
Reasons for the Delay

- High expansion capex
- Different regulations across cities
- Healthcare sector still in recovery

+ 2.588 Postponed Beds

New Plan Announced in 2023

In number of hospital beds

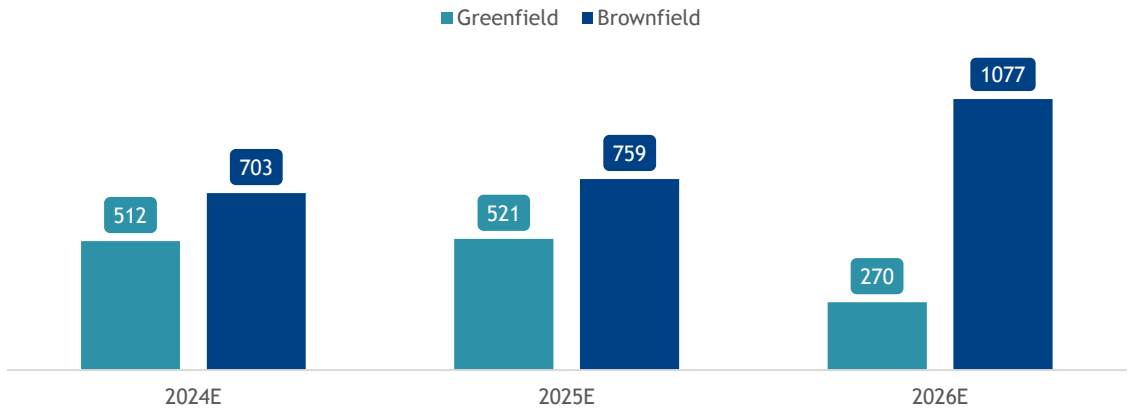


Premises: Hospitals

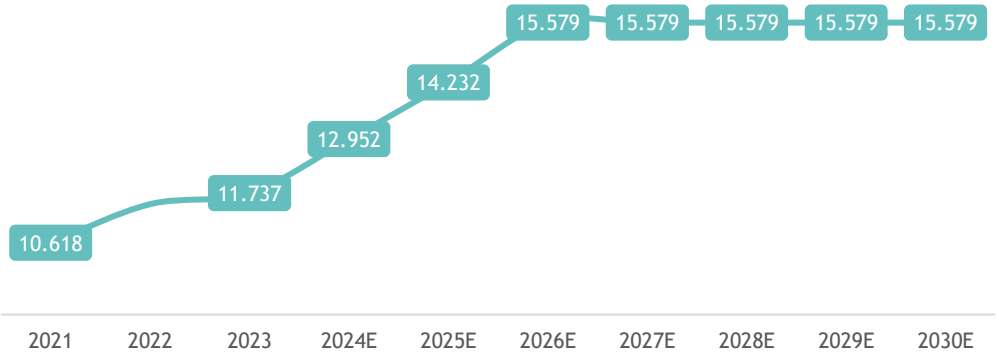
As Rede D'Or keeps delaying its expansion plan, **we are not considering in the revenue build up the hospital beds supposed to open after 2026**, because there is a high chance that they will be postponed again.

I. Projected Hospital Beds

Considered Expansion Plan Hospital Beds to the Revenue Build Up



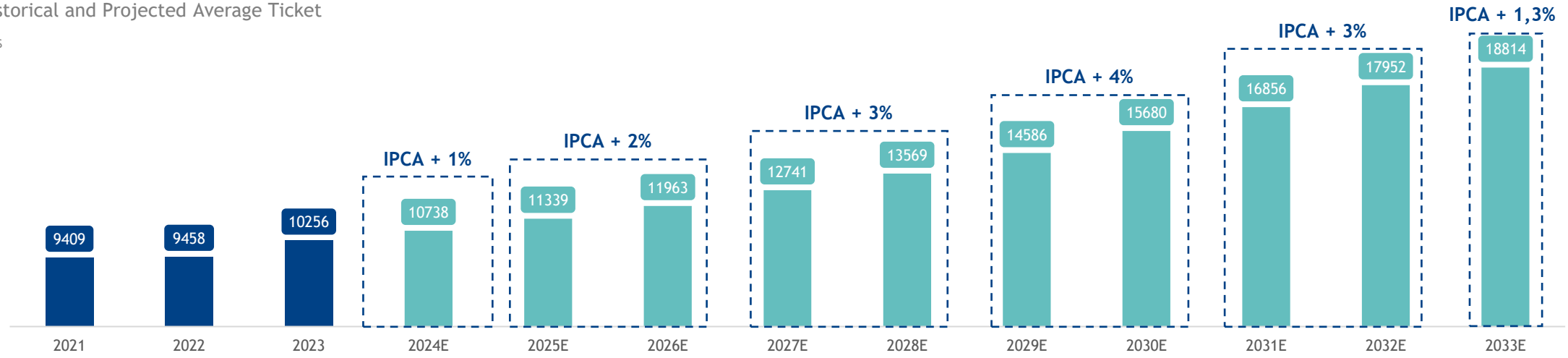
After 2026, our projections of total hospital beds stays flat.



II. Readjustment Guidance in the Average Ticket Projection

Historical and Projected Average Ticket

In R$

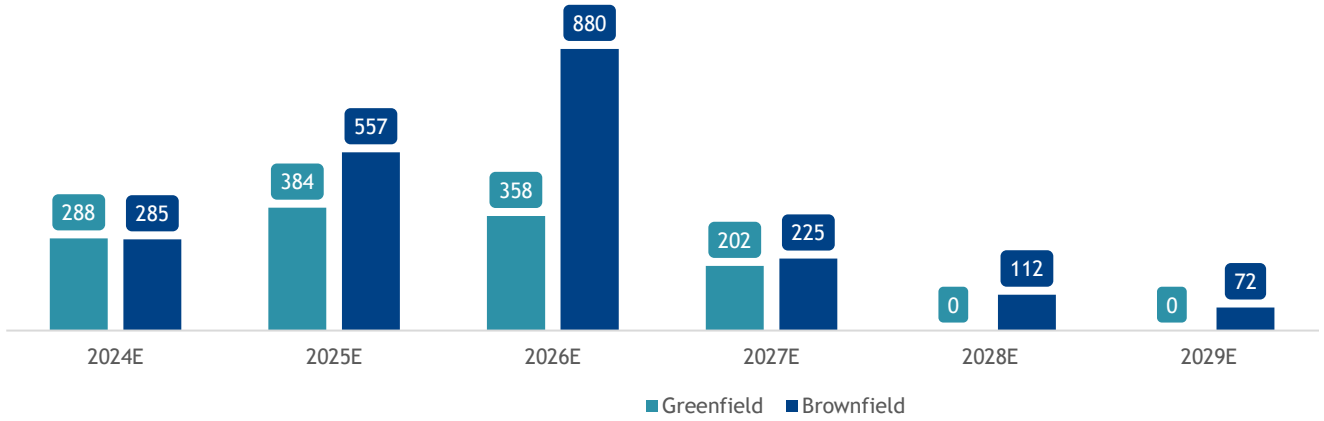


Premises: Hospitals

Hospital beds usually take some time to be accredited after the hospital is open for business. Brownfields and greenfields tend to mature in the similar rates as seen in the past.

I. Maturation Process Considering Premises

Projected Rede D'Or's New Maturated Beds per Year



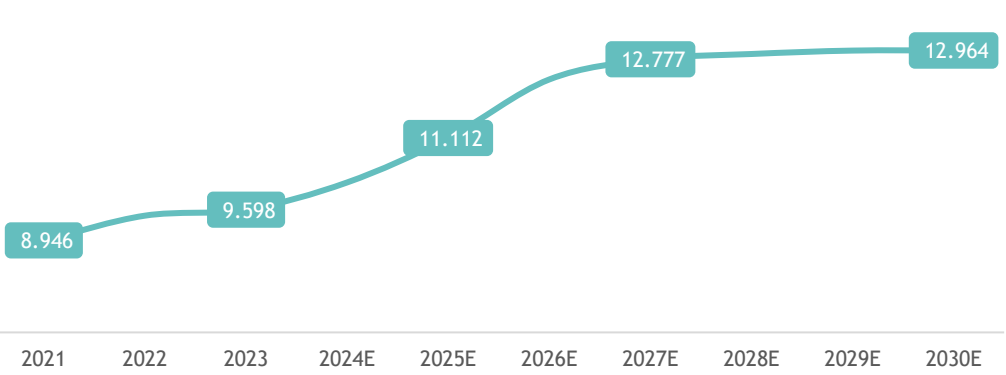
Maturation Process

IR guidelines states that **80 hospital beds** are accredited per year per hospital.

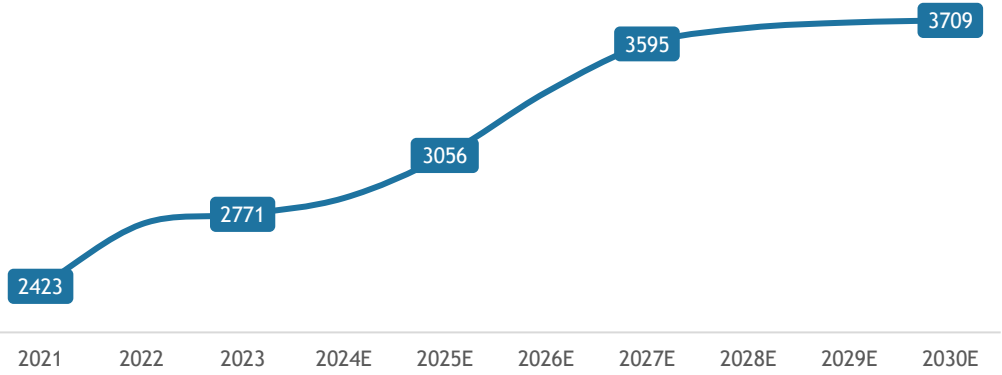
We are considering **approximately 70 accreditations** per year per hospital.

II.

Projected Operational Beds (Accredited by Insurances)



Projected Patients per Year



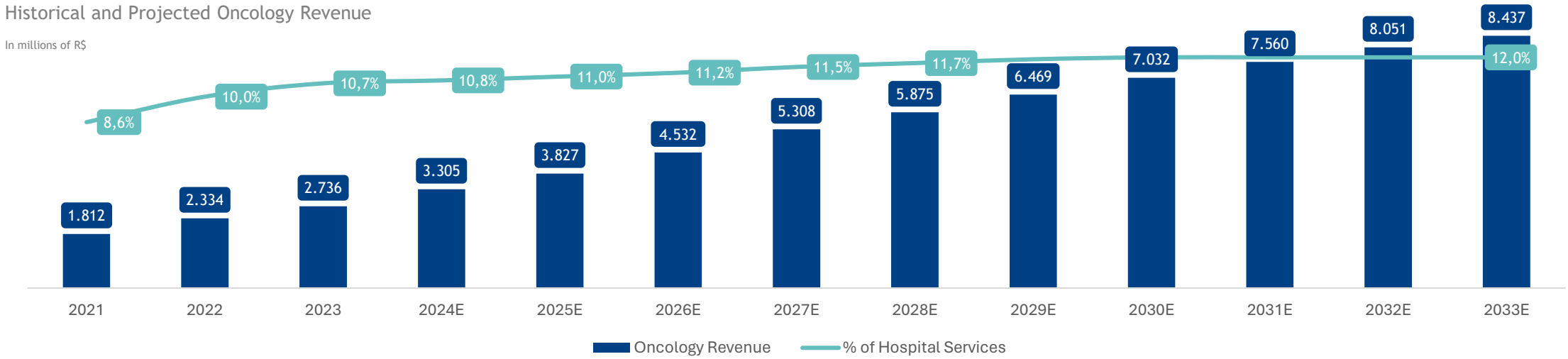
Premises: Oncology

It is forecasted that **cancer incidence will grow in Brazil**, which **we believe will increase the revenue in the oncology segment** through the next years.

I. Oncology is not Rede D'Or's focus, but continues to grow

Historical and Projected Oncology Revenue

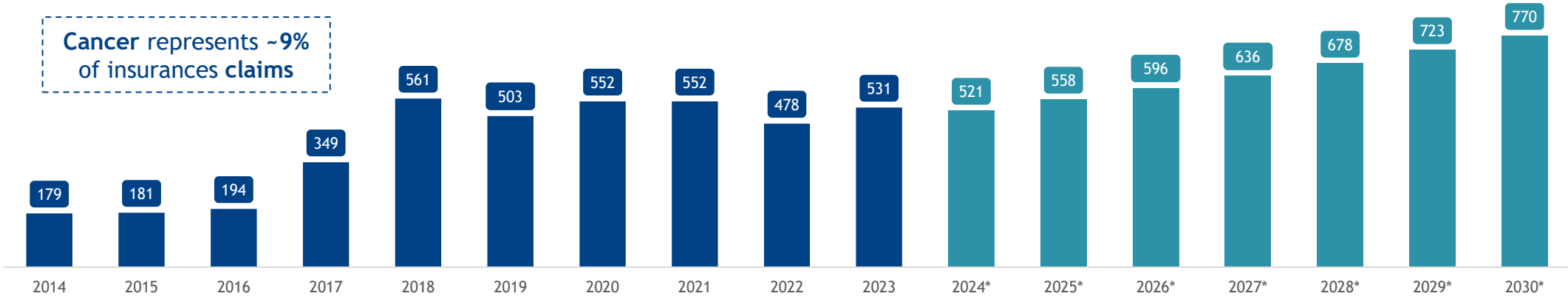
In millions of R$



II. Cancer cases in a rise

Forecasted Cancer Incidence in Brazil

In thousands



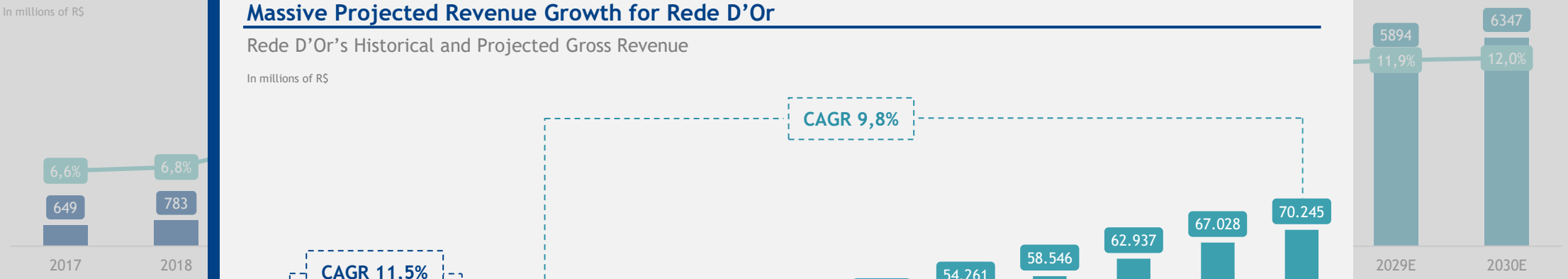
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In millions of R$

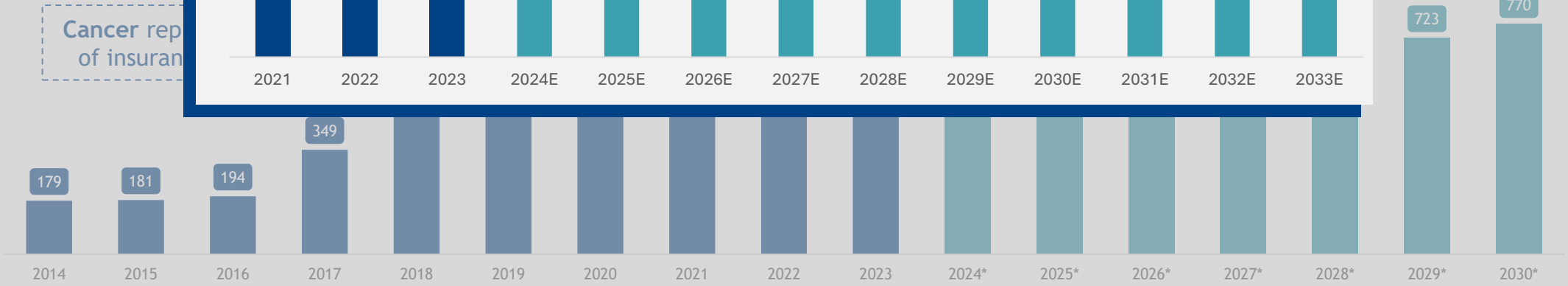


II. Cancer cases in a

Forecasted Cancer Incid

In thousands

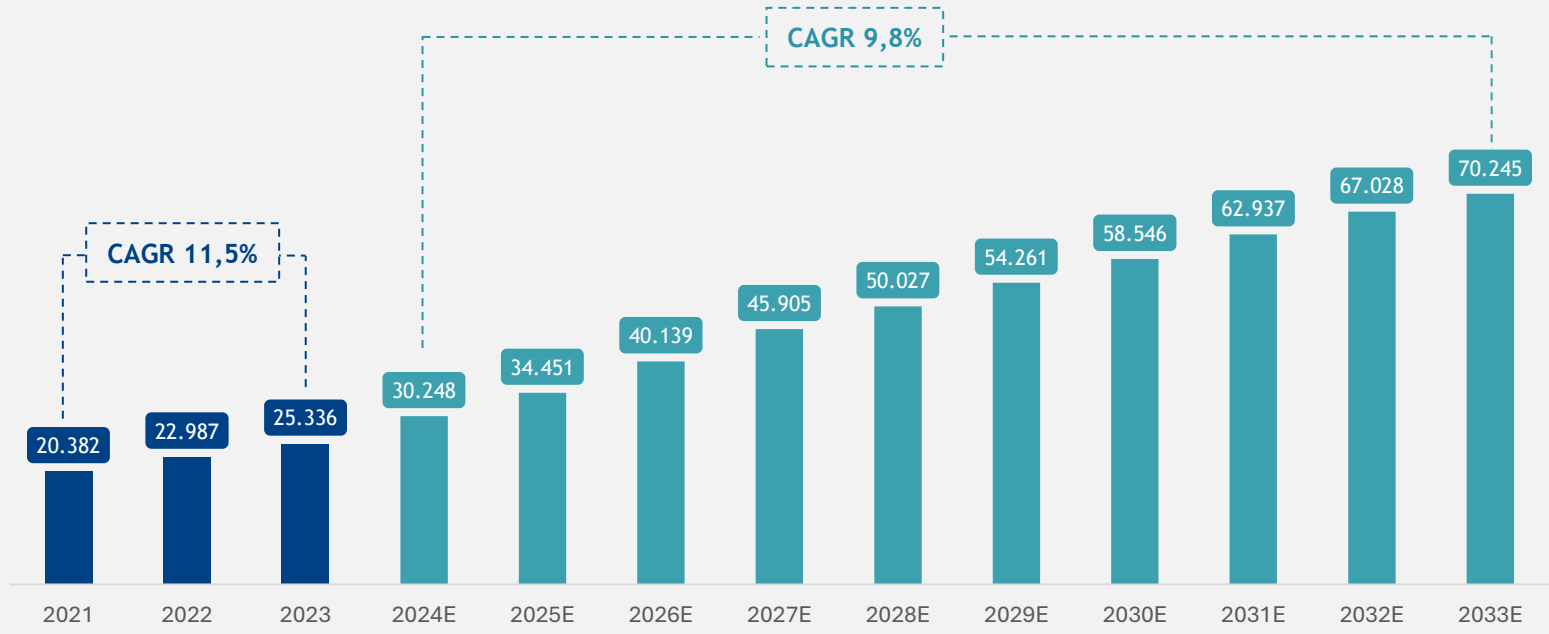
Cancer rep
of insuran



Massive Projected Revenue Growth for Rede D'Or

Rede D'Or's Historical and Projected Gross Revenue

In millions of R$

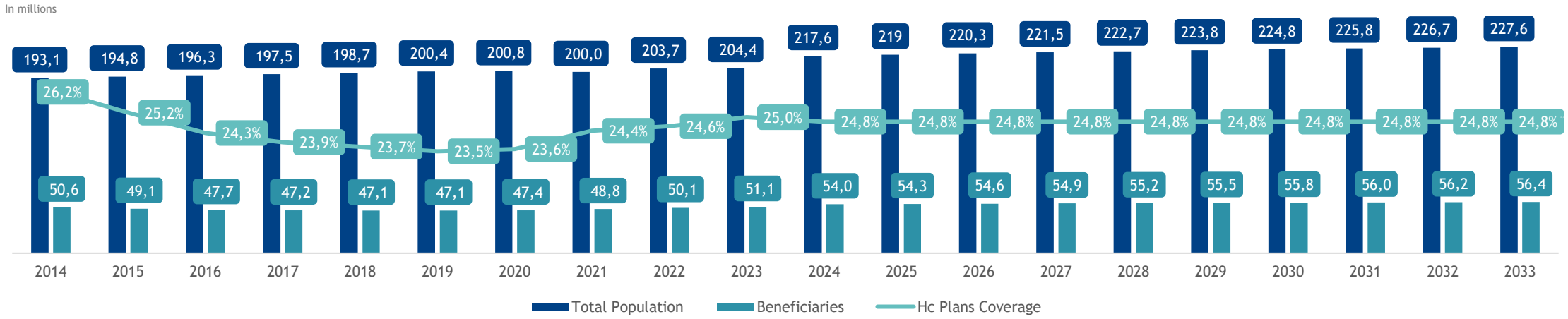


Premises: Number of Beneficiaries

Our first premiss to build up Sul América's Revenue was the number of beneficiaries. We considered a forecasted unemployment rate, of 7,9%, and a constant marketshare, of 5,5%.

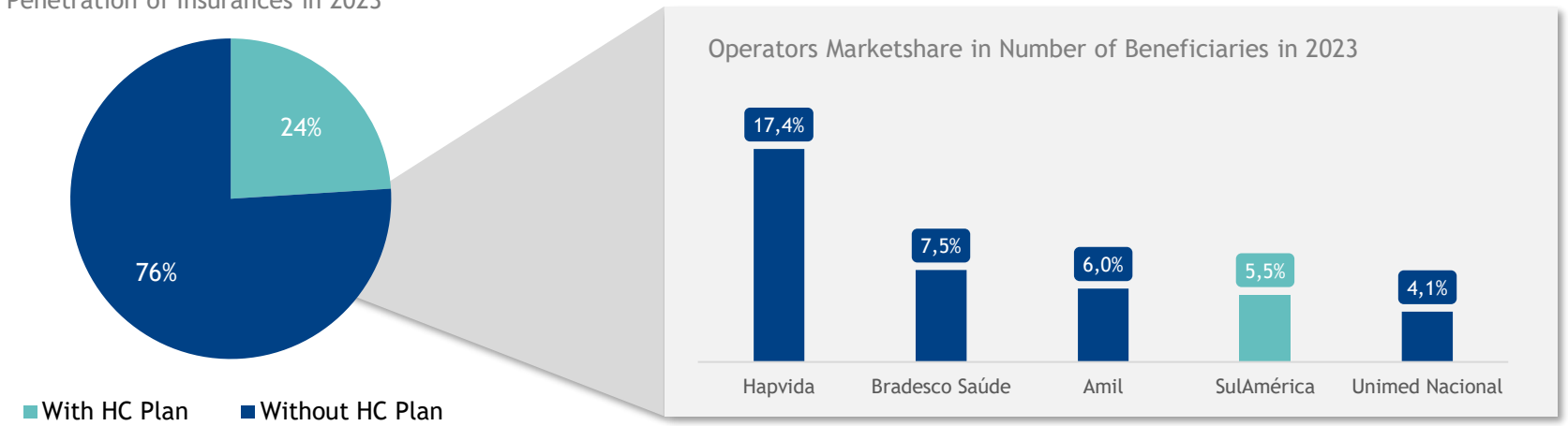
I. Historical and Projected Brazilian Population, Beneficiaries and HC Plans Coverage

Historical and Projected Brazilian Beneficiaries x Brazilian Unemployment Rate



II. Projected a Constant Marketshare

Penetration of Insurances in 2023



First Premiss

- Total beneficiaries' growth based on a constant 24,8% HC plans penetration
- Constant SULA's 5,5% marketshare in number of beneficiaries

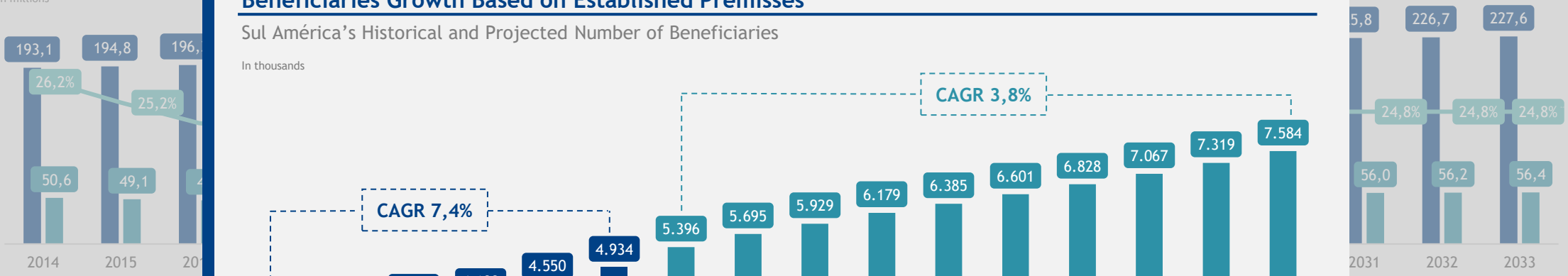
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I. Historical and Projected Brazilian Population, Beneficiaries and HC Plans Coverage

Historical and Projected Brazilian Beneficiaries x Brazilian Unemployment Rate

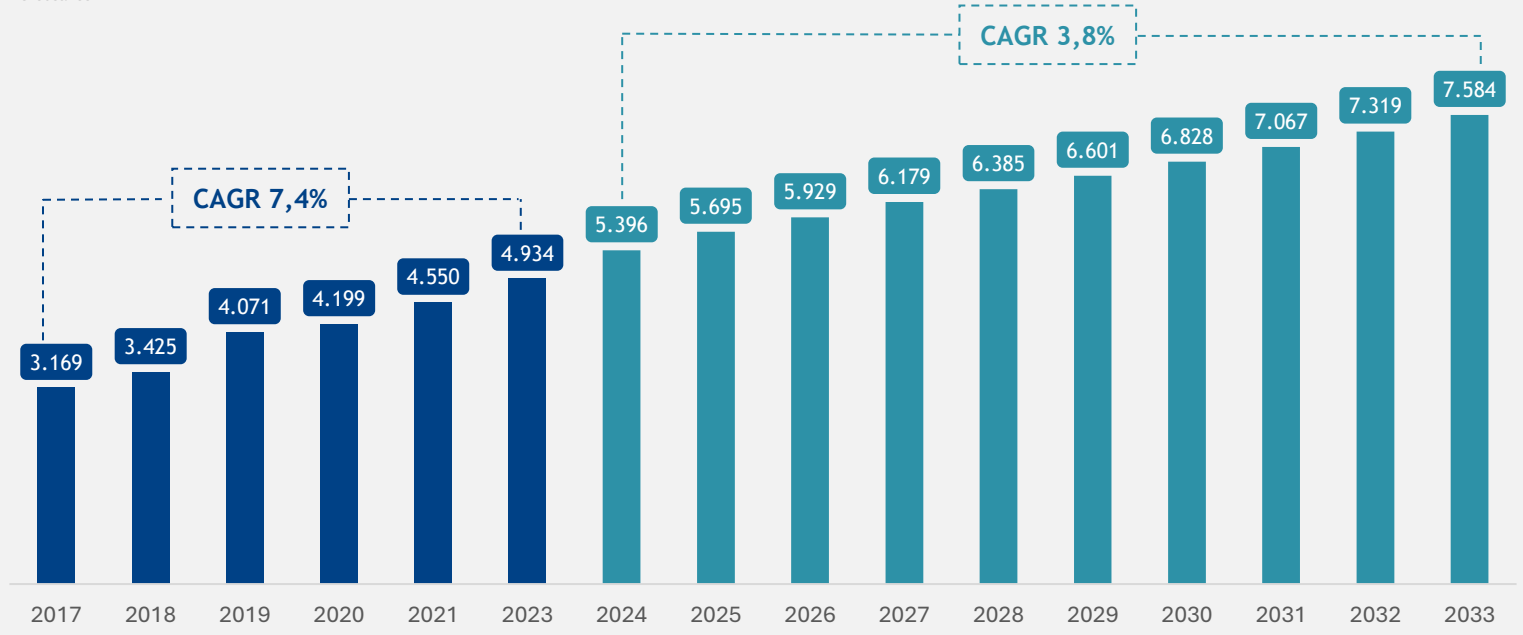
In millions



Beneficiaries Growth Based on Established Premisses

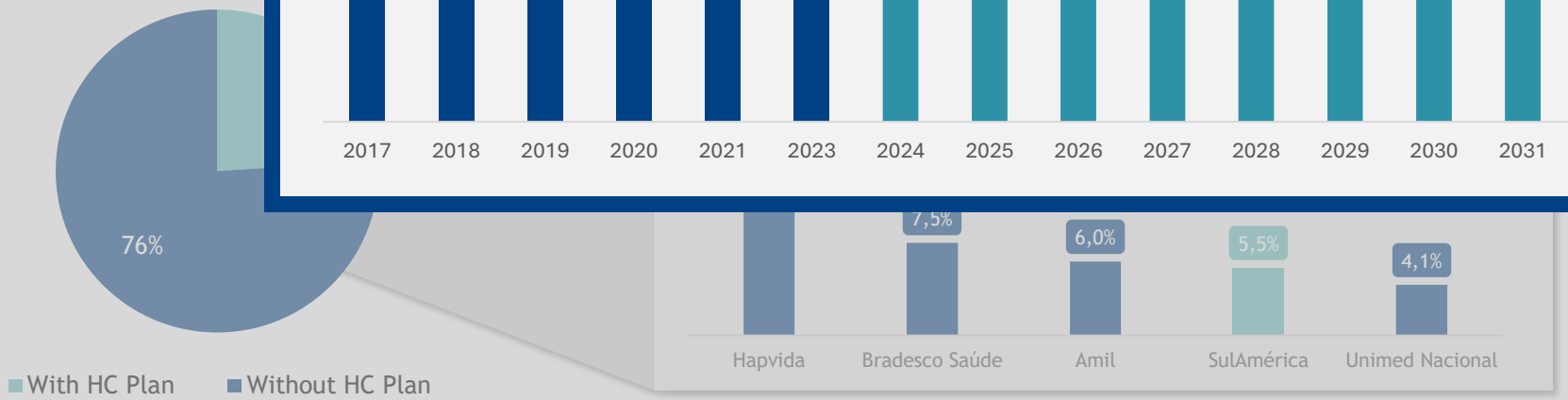
Sul América's Historical and Projected Number of Beneficiaries

In thousands



II. Projected a Cons

Penetration of Insurance



rst Premiss

beneficiaries' growth on a constant 24,8% plans penetration

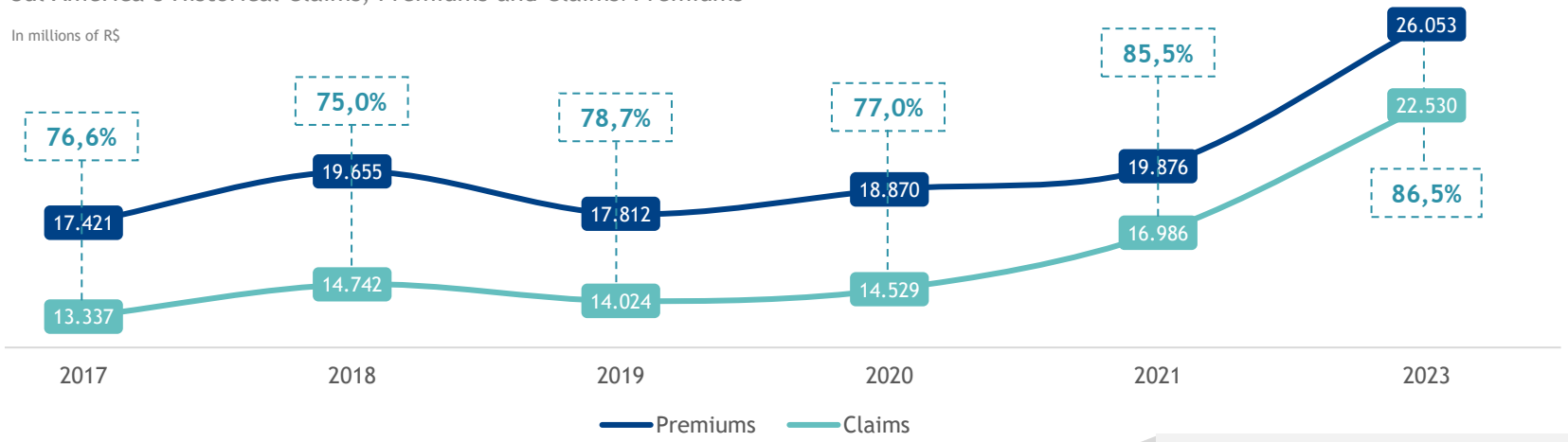
- Constant SULA's 5,5% marketshare in number of beneficiaries

Premises: Claims/Premiums

Our second premiss was that claims/premiums will **converge to 81%.** It will get lower since **claims growing rate will decrease** and **premiums growing rate will increase**. Tends to a **stabilization**, but never go back to pre pandemic levels.

I. Pre-pandemic Stability x Pandemic Chaos

Sul América's Historical Claims, Premiums and Claims/Premiums

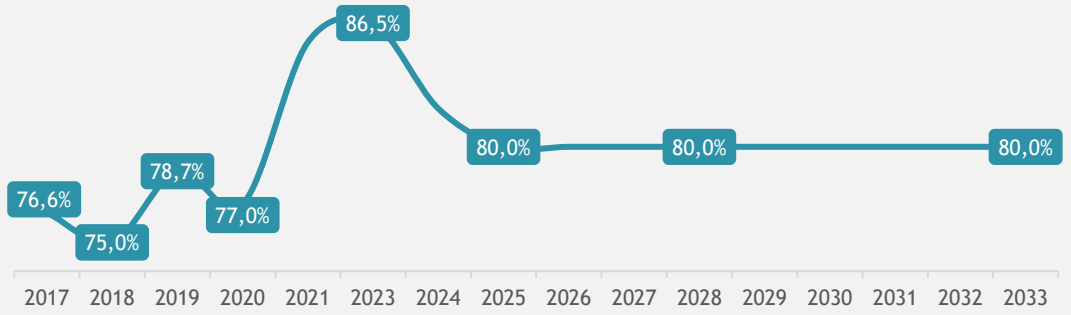


Second Premiss

- Return to **pre-pandemic stability**, but **never to the same numbers**, once costs and sector dynamics have changed.

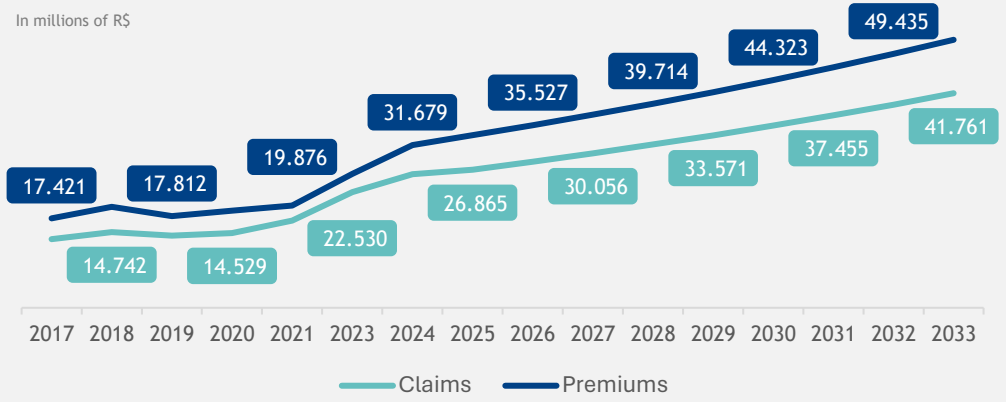
II. Projected Sul América's Claims/Premiums

The company **will recover stability**, but never like pre-pandemics



III. Projected Claims and Premiums

Sul América's **margins will get better** due to a **higher spread**



Premises: Claims/Premiums

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I. Pre-pandemic Stability x Pandemic Chaos

Sul América's Historical C

In millions of R$

76,6%

17.421

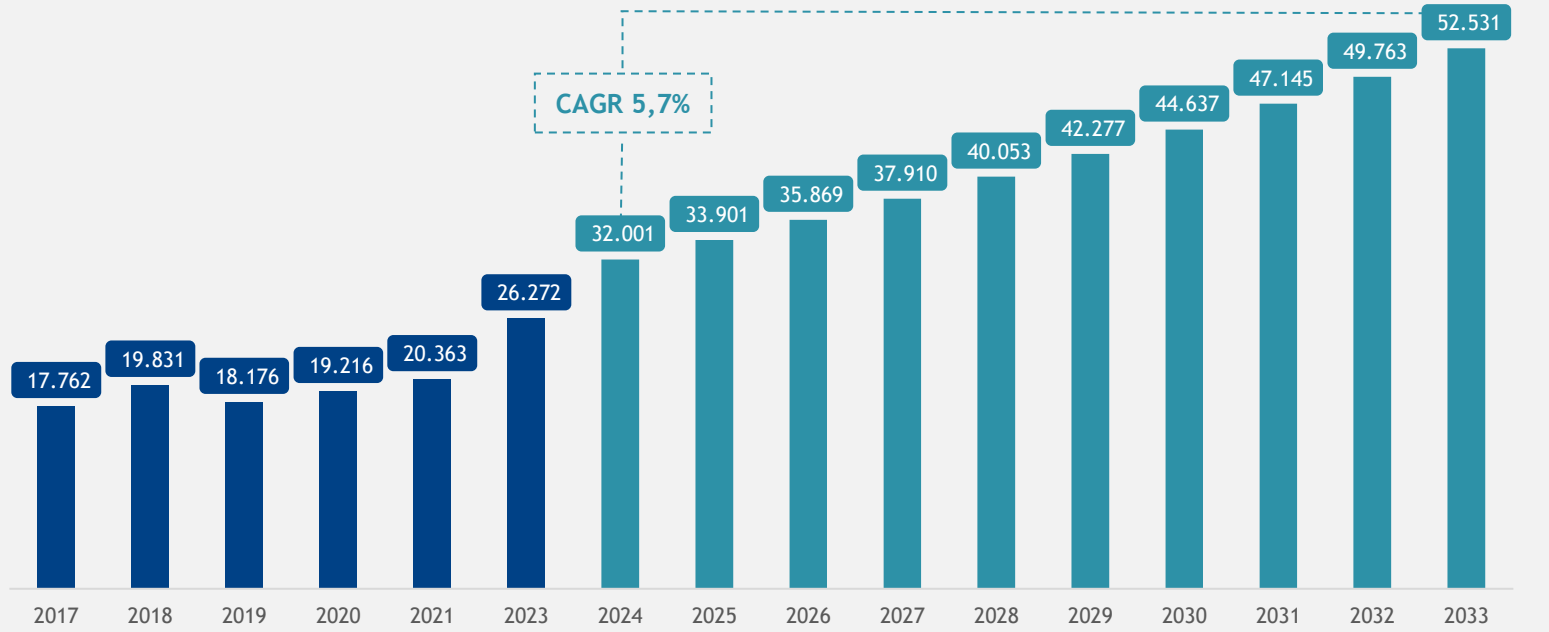
13.337

2017

Massive Projected Revenue Growth for Sul América

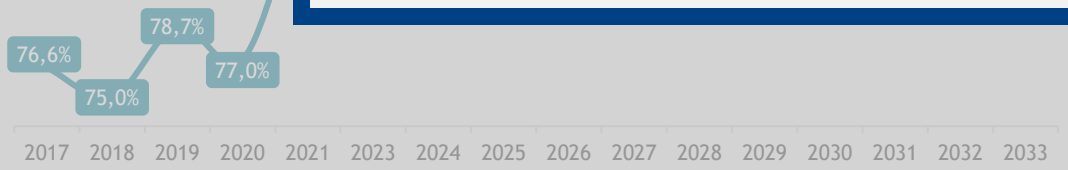
Sul América's Historical and Projected Gross Revenue

In millions of R$



II. Projected Sul Am

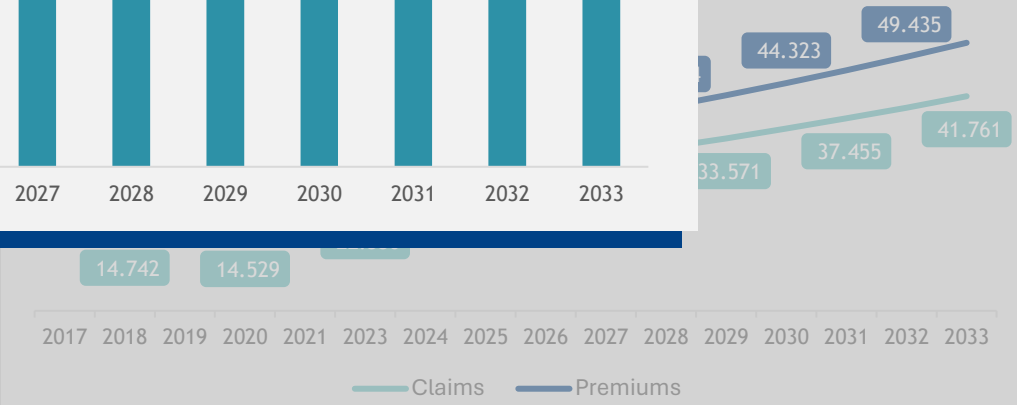
The company will recov



cond Premiss

urn to **pre-pandemic** ability, but **never to same numbers**, once costs and sector amics have changed.

pread

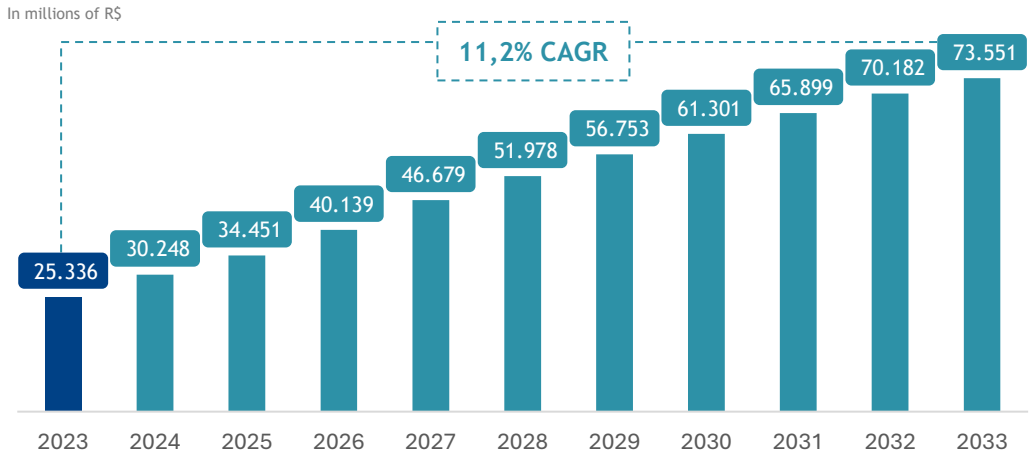


Consolidated Revenue

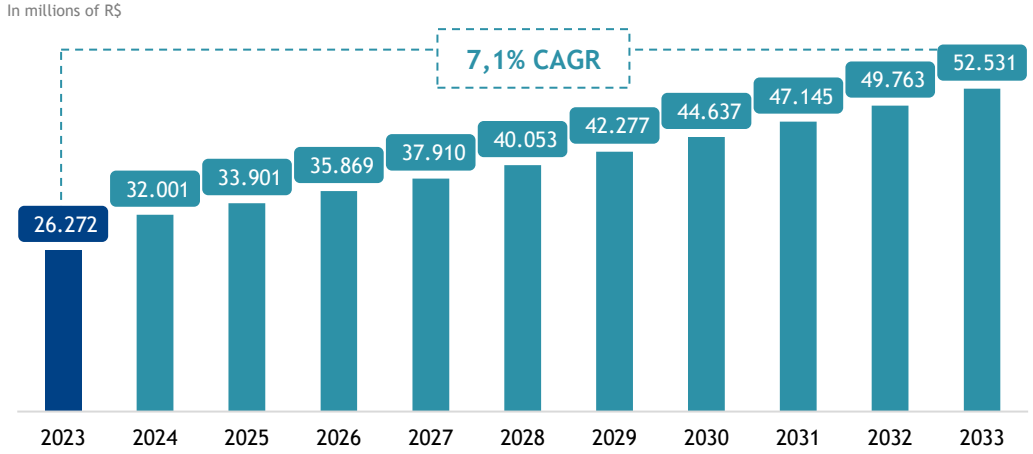
After premising and building up both companies' revenue, the next step is to **put them together**. Rede D'Or, counting with Sul América, is projected to have a **8,3% CAGR growing revenue**!

Ì. Separated Net Revenues

Rede D'Or's Historical and Projected Revenue

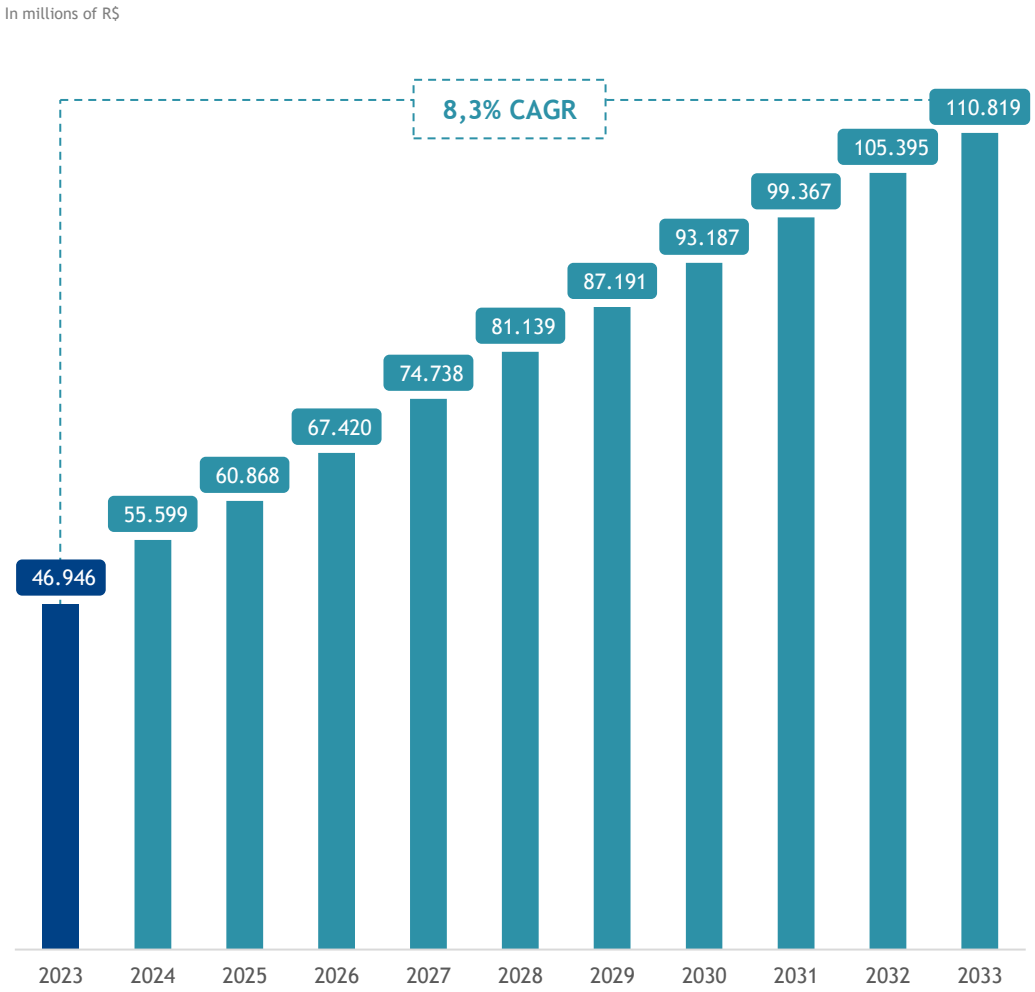


Sul América's Historical and Projected Revenue



II. Consolidated Net Revenue

Consolidated Rede D'Or's Historical and Projected Gross Revenue



Investment Thesis

REDE D'OR

I

Rede D'Or is By Far The Best Player in the Healthcare Sector

Rede D'Or is the best in the sector, and that is due to better margins, better client's satisfaction and better returns for the investors.

II

Strong Revenue Growth

Rede D'Or and SulAmérica will present better results in the future as the sector recovers from the current crisis, increasing margins in both operations.

III

DCF Valuation reveals a Hold position

After doing Rede D'Or's valuation, through the DCF method, we stand in a HOLD position. We obtained an 19,4% IRR with an 15,6% Ke, besides of a 18,8% upside.

Projected Scenarios

In our Base x Bull x Bear Scenarios, we change the Expansions Plan Scenarios. In the Base, Expansion Plan goes until 2026, in the Bull, until 2028, and Bear until 2025.

REDE D'OR

Bear Scenario

Target Price: R$34,43

Upside: 14,4%

Expansion Plan is considered until **2025**!

Base Scenario

Target Price: R$36,00

Upside: 18,8%

Expansion Plan is considered until **2026**!

Bull Scenario

Target Price: R$38,00

Upside: 25,2%

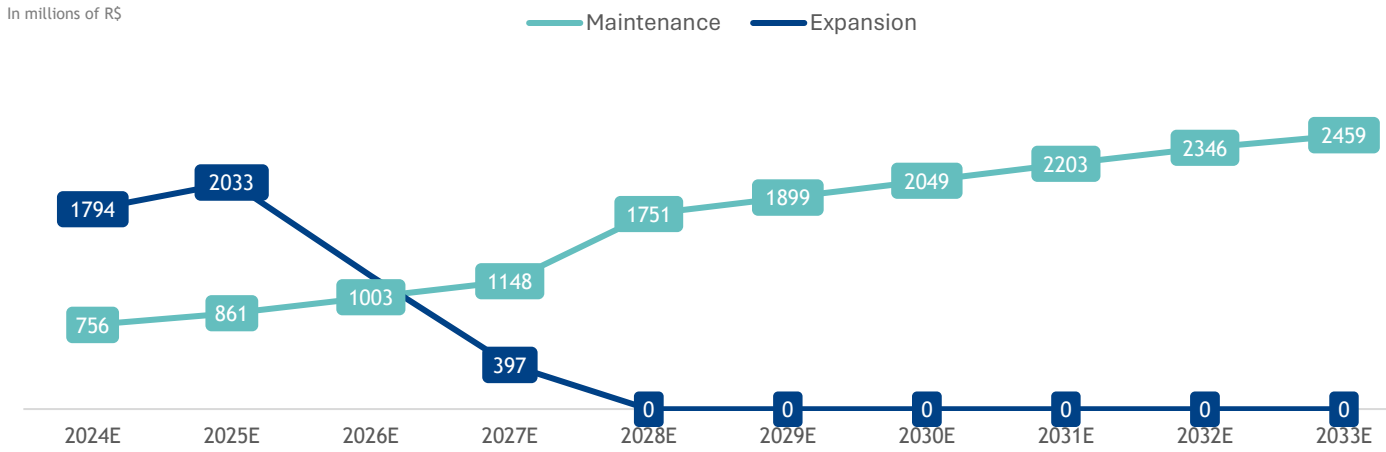
Expansion Plan is considered until 2028!

Roots to FCFF

Before diving into FCFF, its important to analyze its variables: Capex, D&A and Variation on Working Capital. With that factors projected, the result is an increasing FCFF, with a 51,6% CAGR.

I. Capital Expenditures

Projected Expansion and Maintenance CAPEX

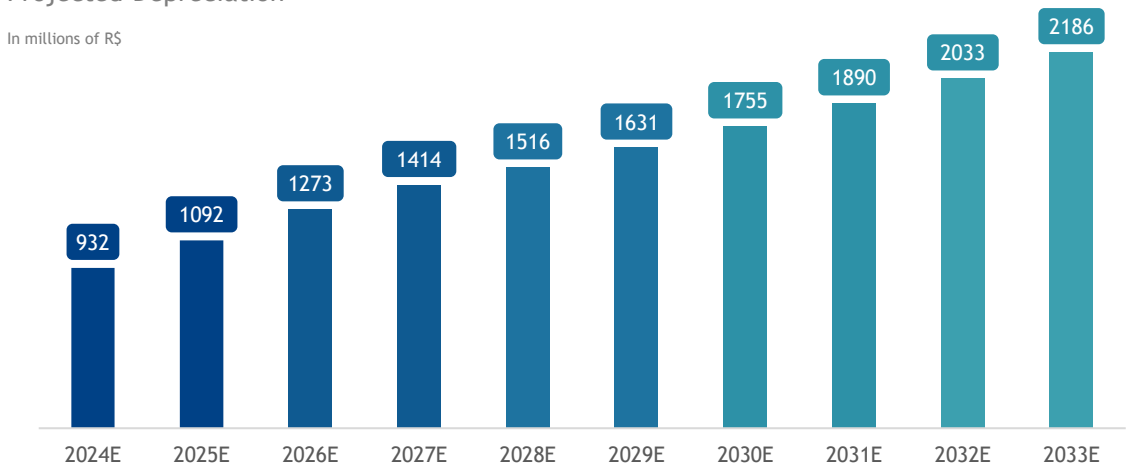


CAPEX Projection

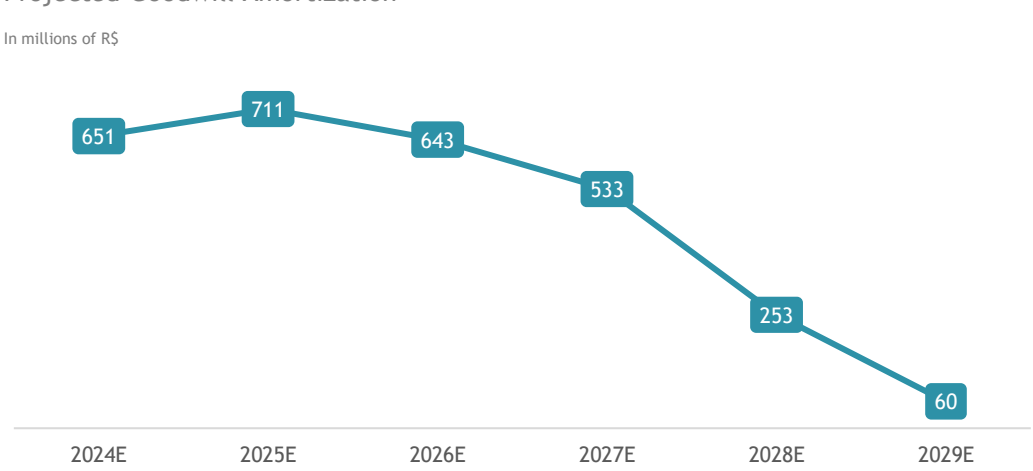
- Expansion CAPEX was projected just during the **expansion phase**, as there are no acquisitions forecasted.
- Maintenance CAPEX is **2,5% of Rede D'Or's Net Revenue and 3,5% after 2028.**

II. Depreciation and Amortization

Projected Depreciation



Projected Goodwill Amortization

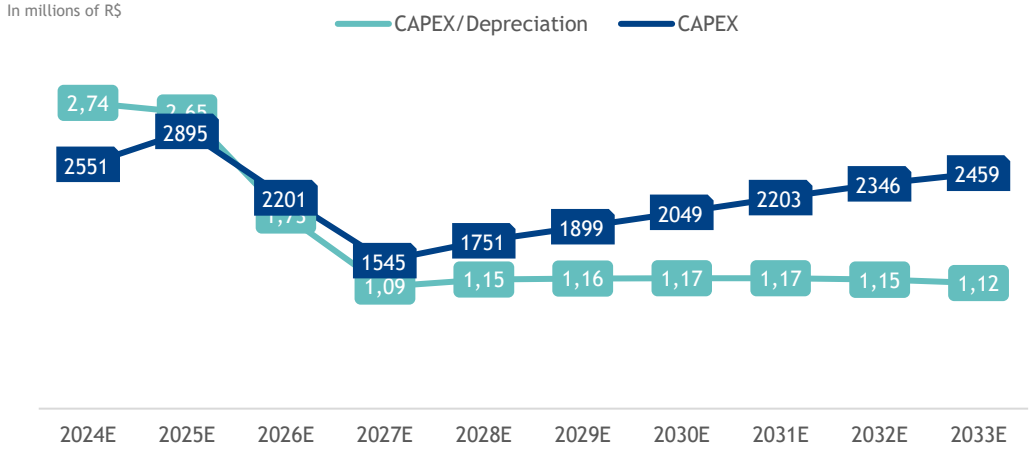


Roots to FCFF

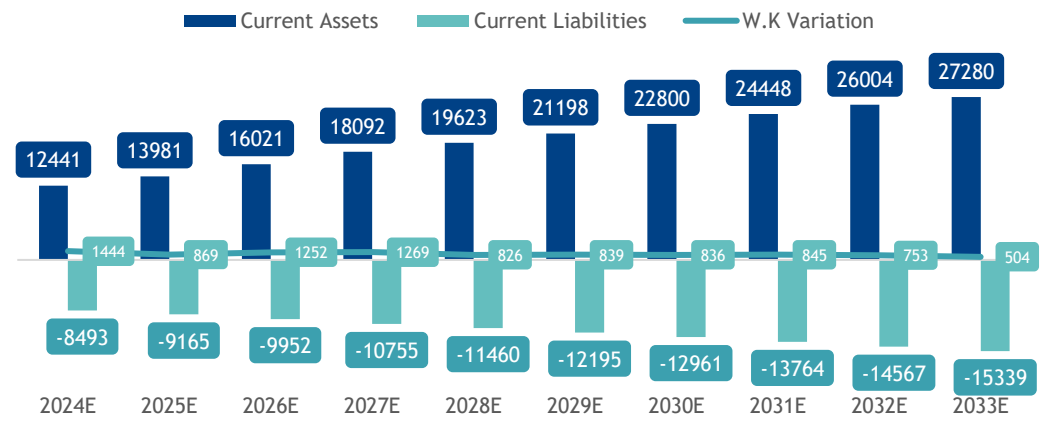
Before diving into FCFF, its important to analyze its variables: Capex, D&A and Variation on Working Capital. With that factors projected, the result is an increasing FCFF, with a 51,6% CAGR.

I. Capex, Depreciation, Amortization and Working Capital

Projected Capex and Capex/Depreciation

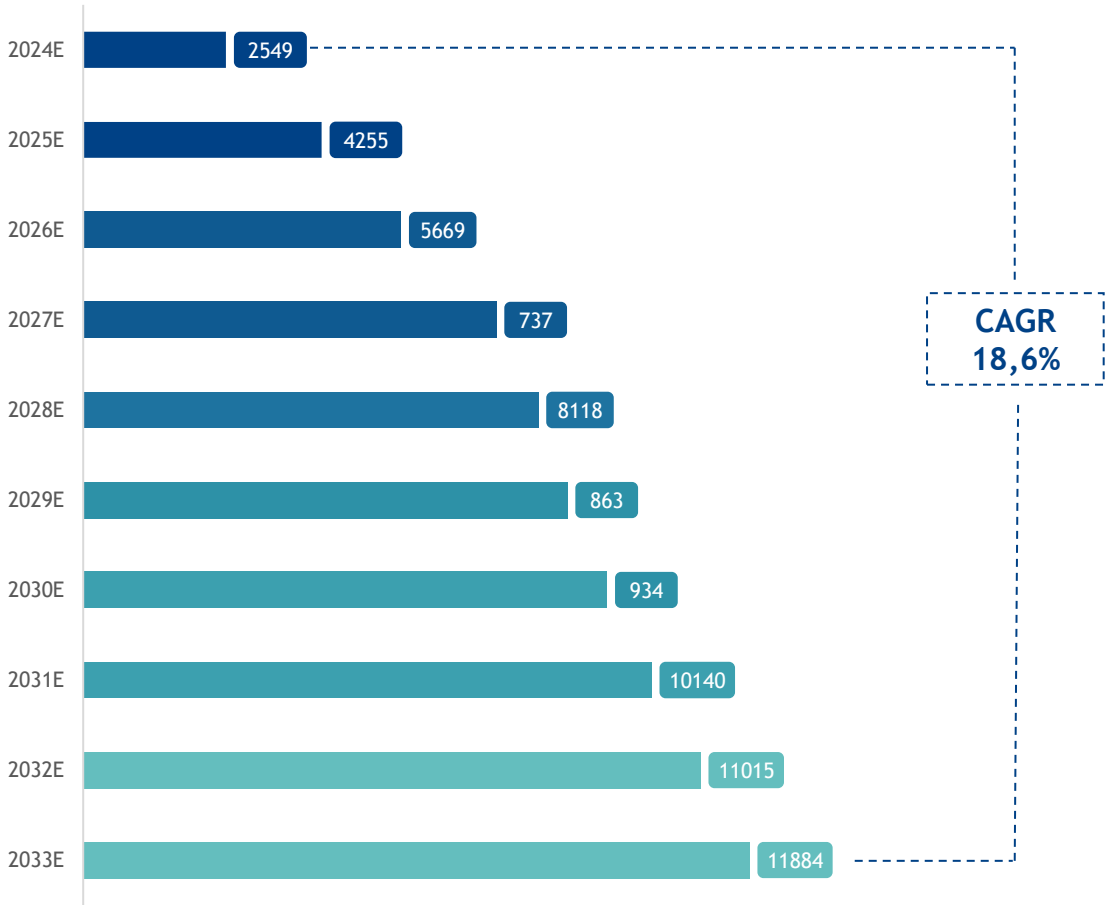


Variation on Working Capital and Current Operating Assets/Liabilities



II. Finally, Free Cash Flow to Firm

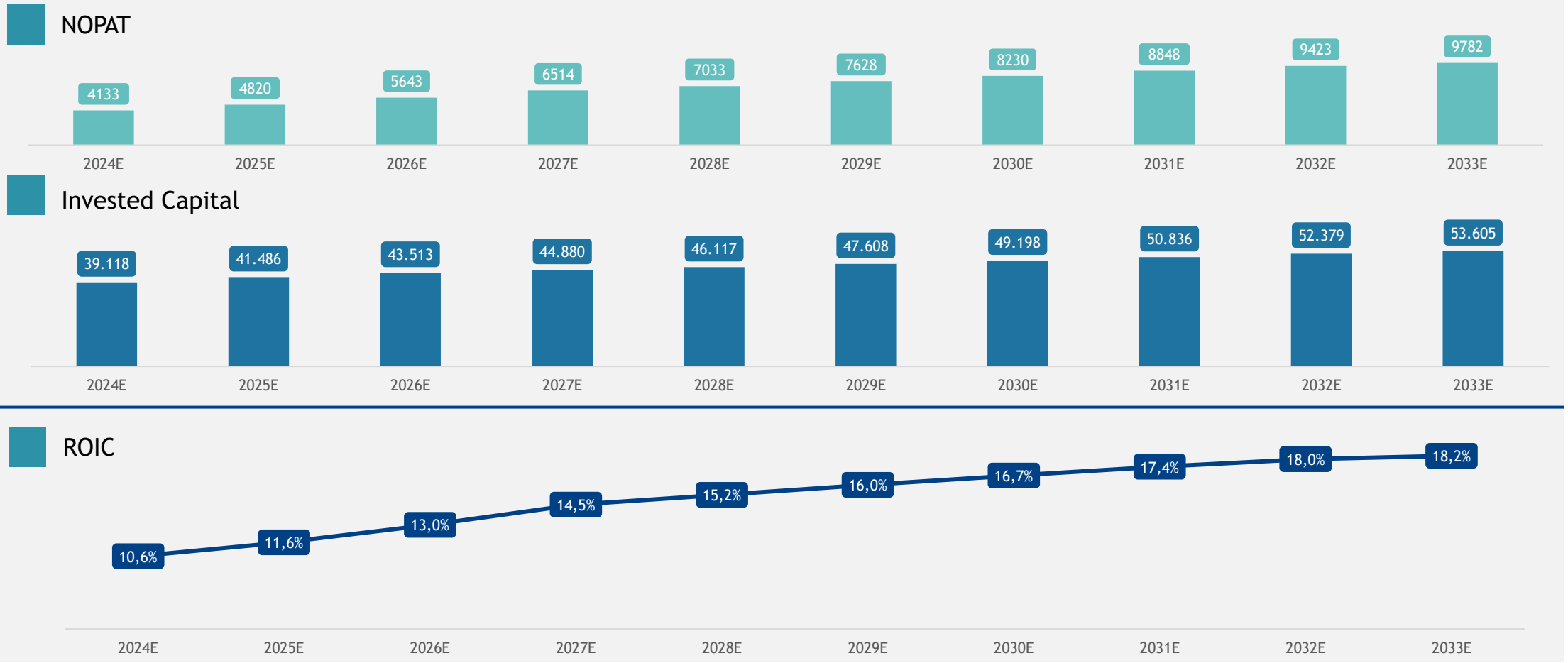
Projected Rede D'Or's FCFF



ROIC Breakdown

ROIC was calculated using only Rede D'Or's NOPAT, PP&E, Intangibles, Net Working Capital and Operational Cash.

ROIC



Rede D'Or's Value Generation

With all this good results, development of the expansion plan and Sul América's recovery, the company will stop destroying value and start generating it, in a high rate

I. WACC Breakdown

Ke	15,65%
Kd	7,48%
Tax Rate	34%
E/(D+E)	66,1%
D/(D+E)	33,9%
WACC	**12,02%**

10,55% (Risk Free Brazil) + 1,13 (Beta - RDOR vs Bovespa) × 4,6% (Risk Premium) = 15,65% (Ke)

Equity Value: R$82.023,6

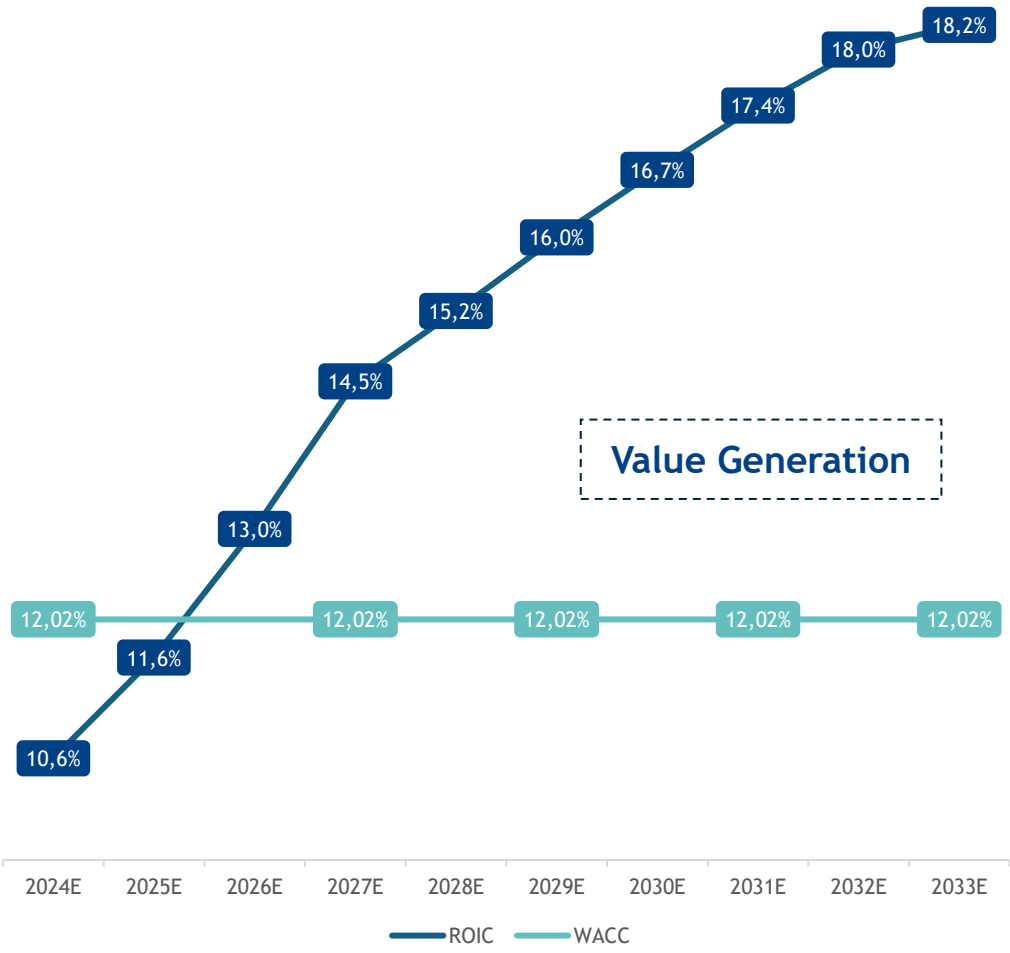
CDI + 1,7% = 7,49% Kd (Free of taxes)

Last Debenture issued by Rede D'Or, in May 2024.

Gross Debt: R$34.585,9

II. Spread ROIC x WACC

Rede D'Or will generate value in the next years

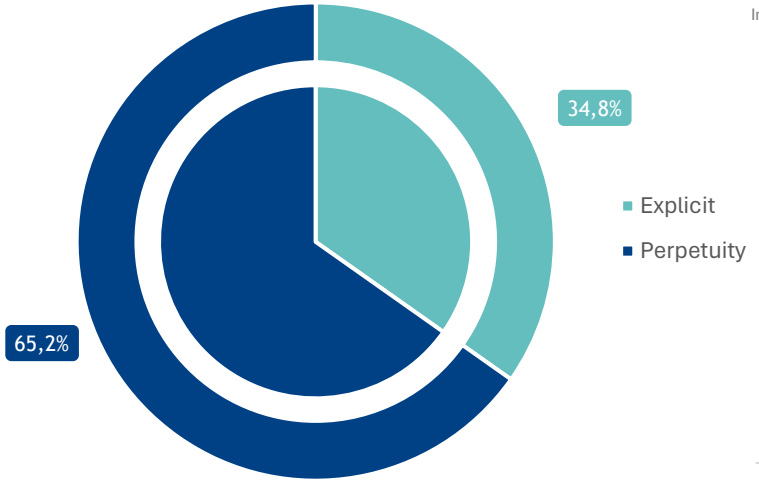


Finding Rede D'Or's Value

After bringing FCFF to present value, the **enterprise value** is obtained. **37% of its value is in the explicit cash flows** and all the **rest is in perpetuity**. Subtracting debt and adding cash, it is obtained an **R$ 80 billion equity value**!

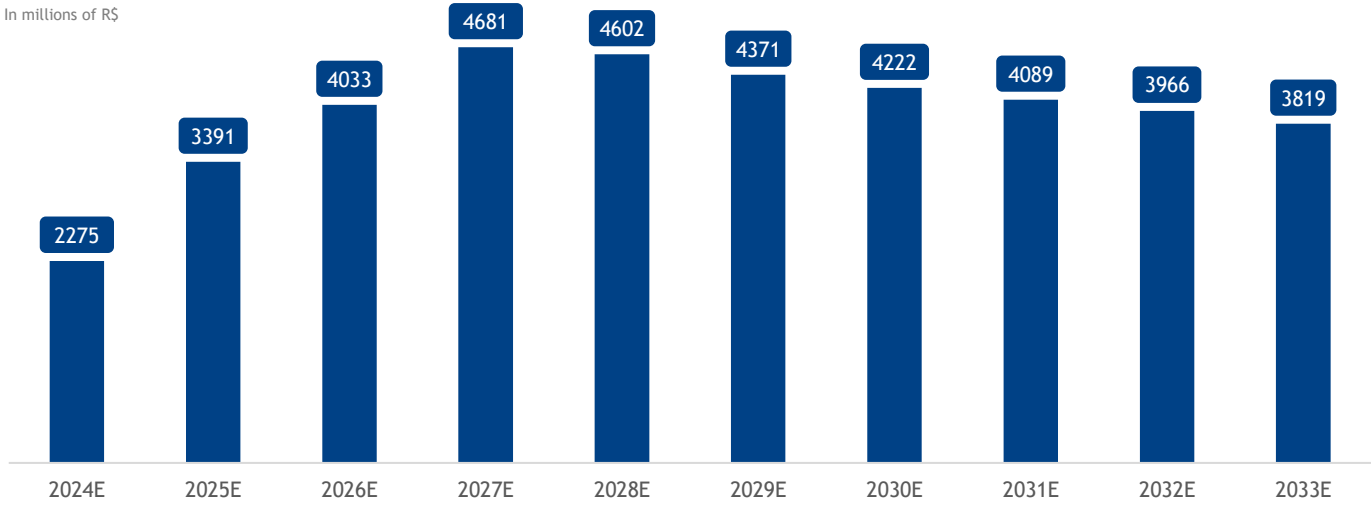
Breakdown Enterprise Value

The Enterprise Value is **mostly in perpetuity**, 63%



FCFF in Present Value

This FCFFs were **brought to present value** by a formula involving **WACC** as the **discount rate**



Equity Value

Enterprise Value		Debt		Cash		Technical Provision		Equity Value
R$ 99 bi	−	**R$ 34 bi**	+	**R$ 31 bi**	−	**R$ 14 bi**	=	**R$ 82 bi**

Investment Analysis

Even though in the worst-case scenarios there is still an upside, our base upside is of 21%. The enterprise value is R$91bi and the equity value is R$72bi. The target price is R$31,45.

Sensibility Table - Stock Price per WACC and g

In the worst scenario, stock price is still above the current one

WACC \ g	5,1%	5,2%	5,3%	5,4%	5,5%
11,42%	39,67	40,17	40,69	41,22	41,77
11,72%	37,33	37,78	38,23	38,71	39,19
12,02%	35,20	35,60	36,00	36,42	36,86
12,32%	33,25	33,60	33,97	34,34	34,73
12,62%	31,45	31,77	32,10	32,43	32,78

Sensibility Table - IRR per P/E and Net Margin

In the worst scenario, there is still an 17,4% IRR

WACC \ g	5,1%	5,2%	5,3%	5,4%	5,5%
11,42%	30,7%	32,3%	34,0%	35,8%	37,6%
11,72%	23,0%	24,4%	25,9%	27,5%	29,1%
12,02%	15,9%	17,2%	18,6%	20,0%	21,4%
12,32%	9,5%	10,7%	11,9%	13,1%	14,4%
12,62%	3,6%	4,6%	5,7%	6,8%	8,0%

DCF Valuation

Enterprise Value

Enterprise Value = R$ 99 bi

(-) Net Debt = 16bi

Equity Value = R$ 82 bi

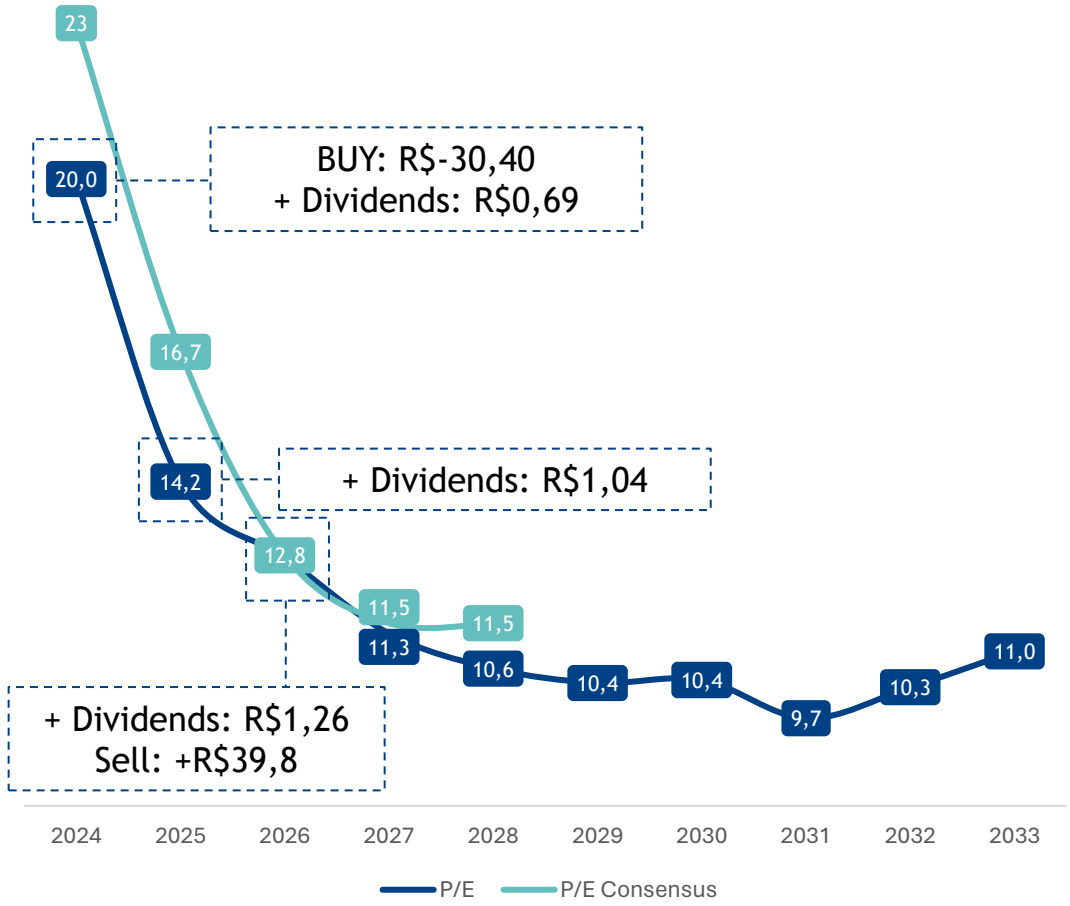
Target Price: R$ 36,00
Upside: 18,6%

Multiples and TIR

We projected our tir based on Rede D'Or **historical data of dividends distribution**. With that, the IRR is biger than the Cost of Equity, meaning there is value generation for the next years.

I. P/E Forward

The multiple obtained by the model is similar to the consensus



Sensibility Table - IRR by P/E and Net margin

In the worst scenario, there is still a 13,7% IRR

Net Margin \ Multiples	12,2	12,5	12,8	13,1	13,4
10,0%	13,7%	15,0%	16,3%	17,6%	18,9%
10,3%	15,3%	16,7%	18,0%	19,3%	20,6%
10,6%	16,9%	18,3%	19,6%	20,9%	22,3%
10,9%	18,5%	19,8%	21,2%	22,6%	23,9%
11,2%	20,0%	21,4%	22,8%	24,2%	25,5%

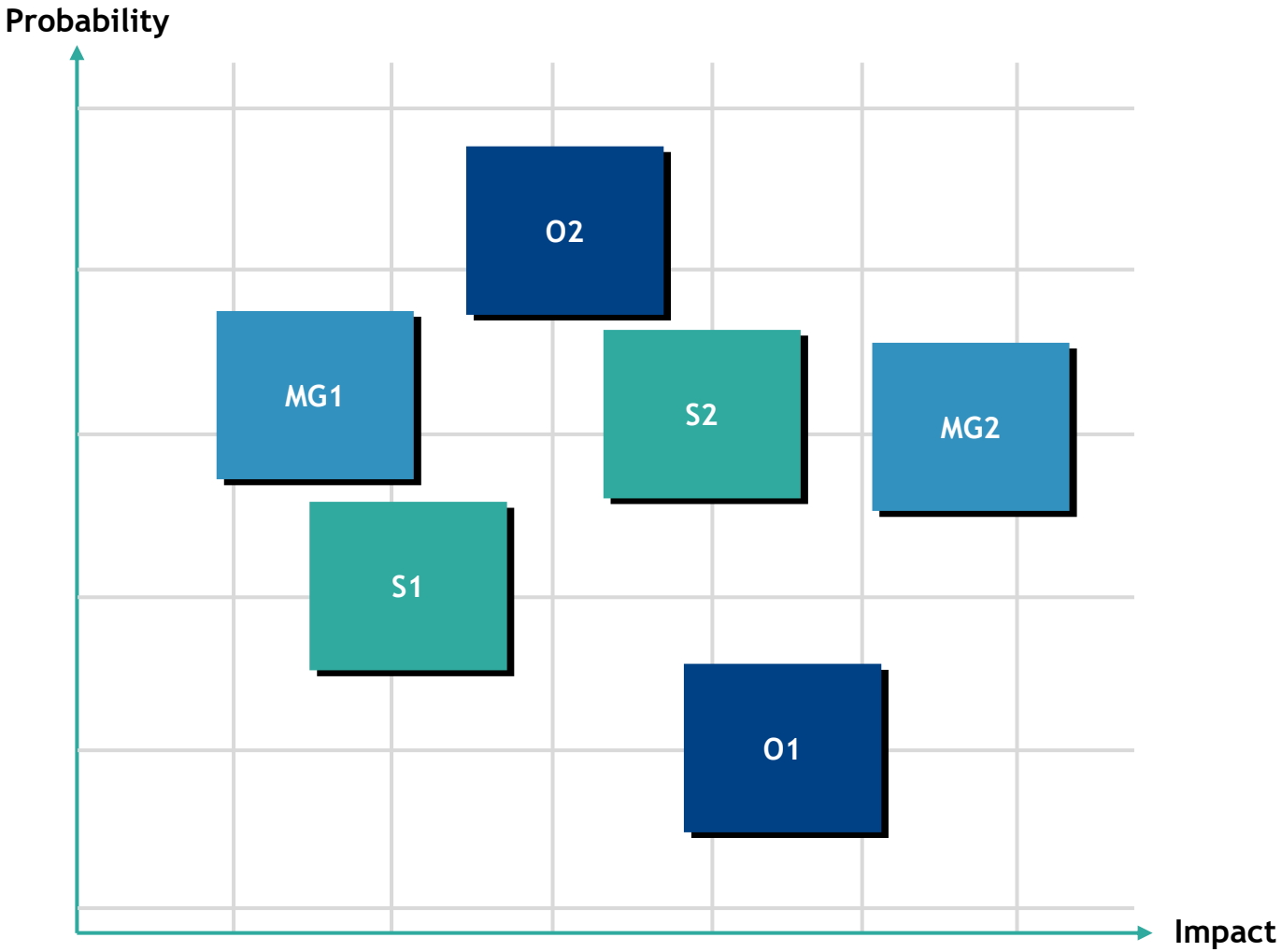
IRR 19,4% > Ke 15,6%!

Main risks

Rede D'Or is a company operating in **different healthcare segments**. This means they are subject to a variety of **risks and problems** that can have an **huge impact** in the company's operation.

Those are the risks that should be Rede D'Or's main concerns

They vary from **operational risks** all the way to **governamental regulations** and **macro factors**.



Operational Risks

O1 - Retaliation from Bradesco Saúde

O2 - Expansion plan might take longer

Sectorial Risks

S1 - HC Operators Verticalization

S2 - De-Accreditation

Macro and Governamental Risks

MG1 - Governamental Regulations

MG2 - High Unemployment Rate

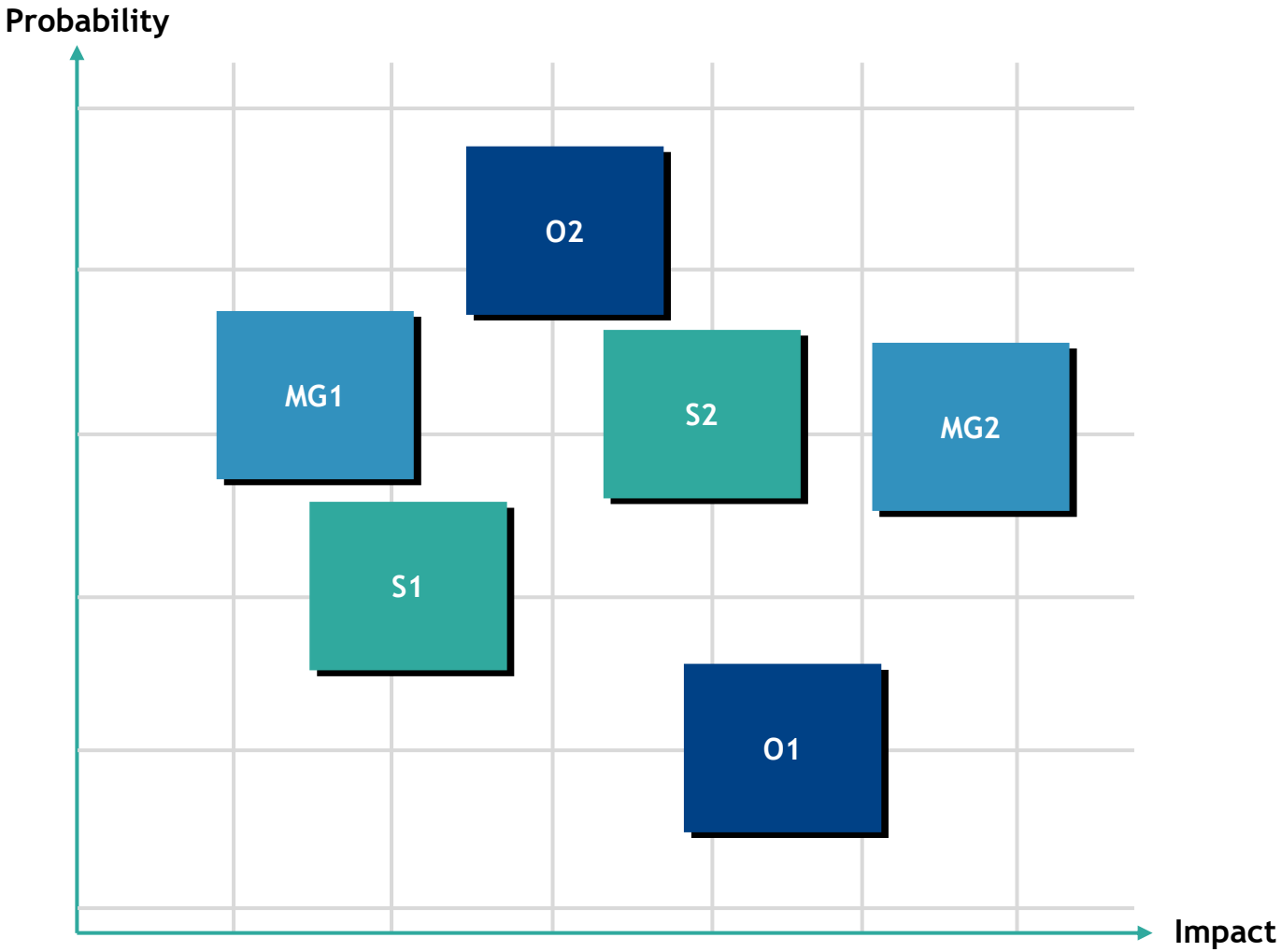
Source: Rede D'Or RI, BofA

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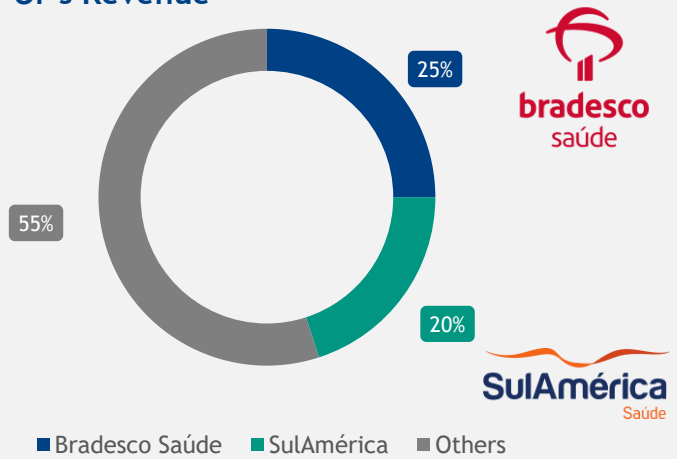


Operational Risks

O1 - Retaliation from Bradesco Saúde

As there is too much revenue concentration from Bradeco Saúde, if they retaliate, this could put Rede D'Or in serious problems.

Rede D'Or's Revenue



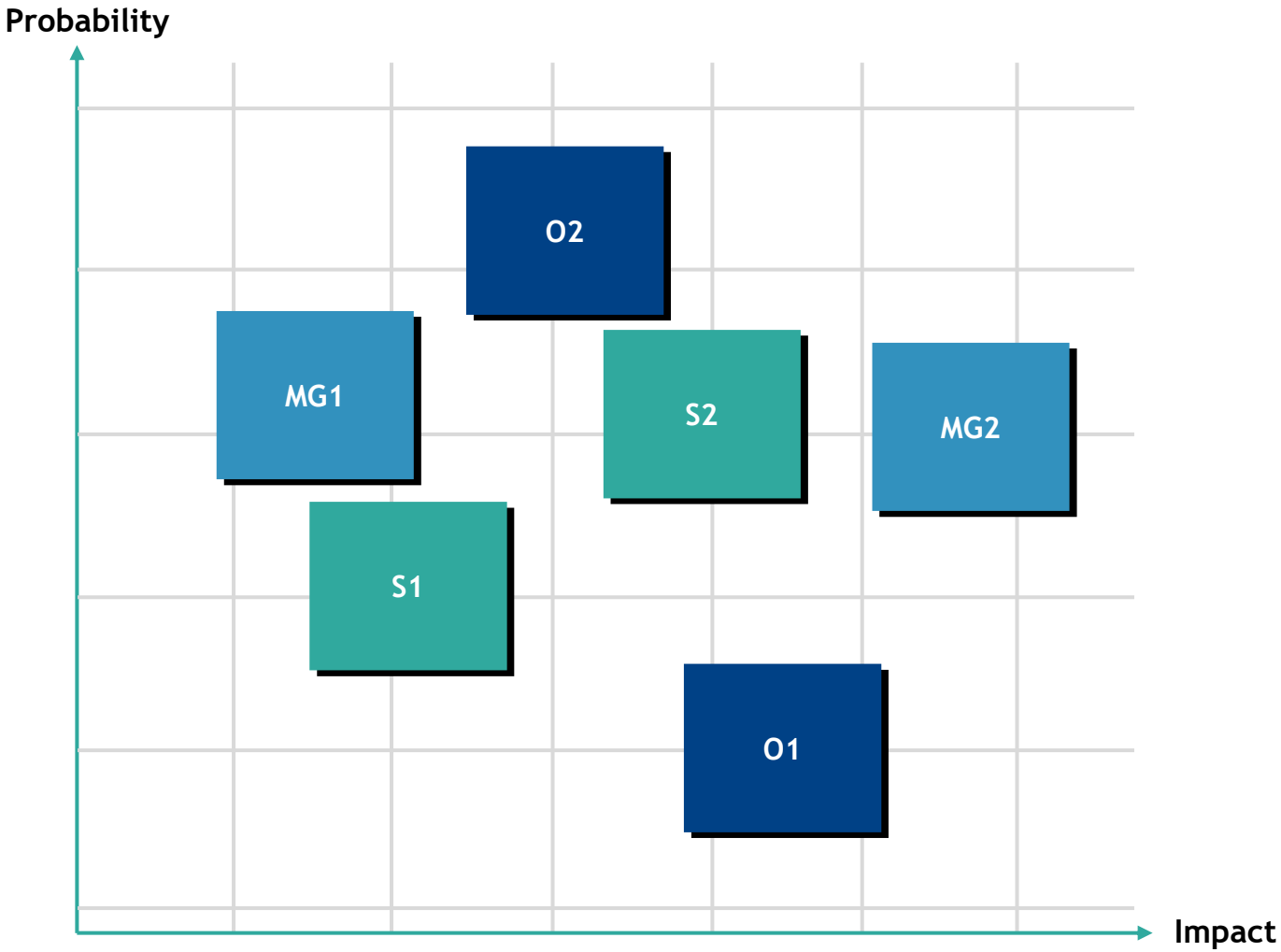
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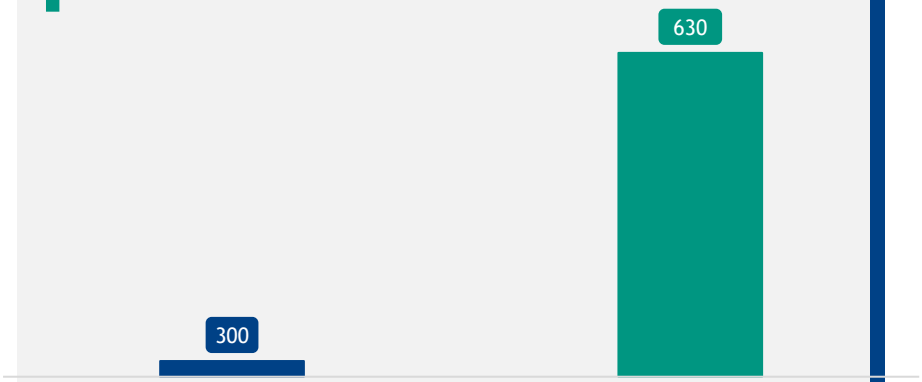


Operational Risks

O2 – Expansion Plan might take longer

Rede D'Or will invest approximately R$10bi in this agressive expansion plan. If it doesn't work, a lot of money will be thrown away.

What is done x what is remaining



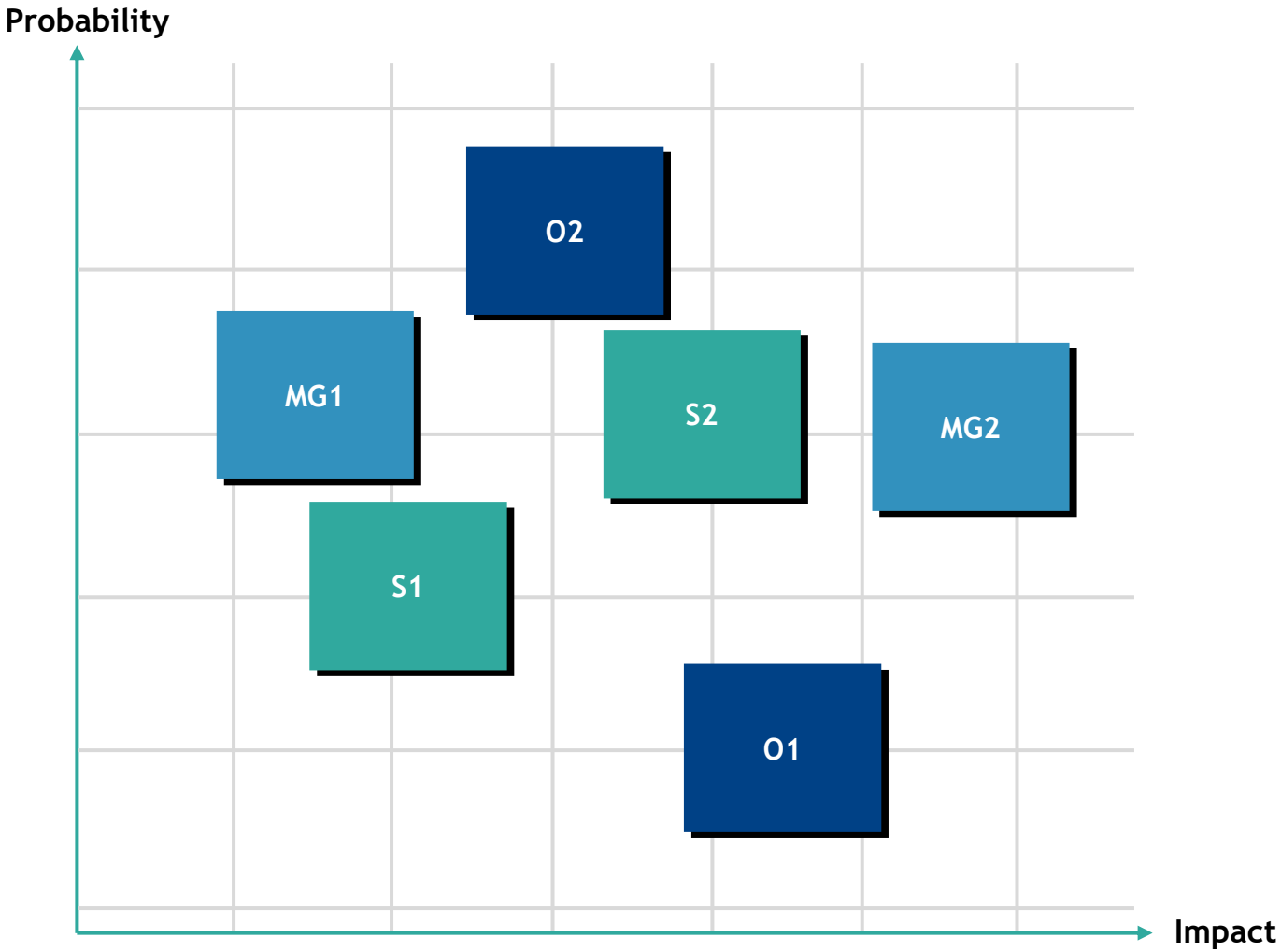
Source: Rede D'Or RI, BofA

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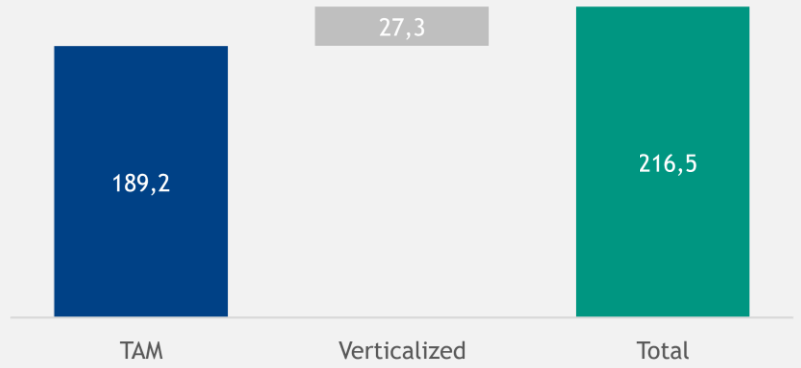


Sectorial Risks

S1 – HC Operators Verticalization

As HC Operators verticalize, it deduces Rede D'Or's addressable market, since all beneficiaries of this Insurarer will now go to these company's hospitals.

Total Healthcare Market and TAM



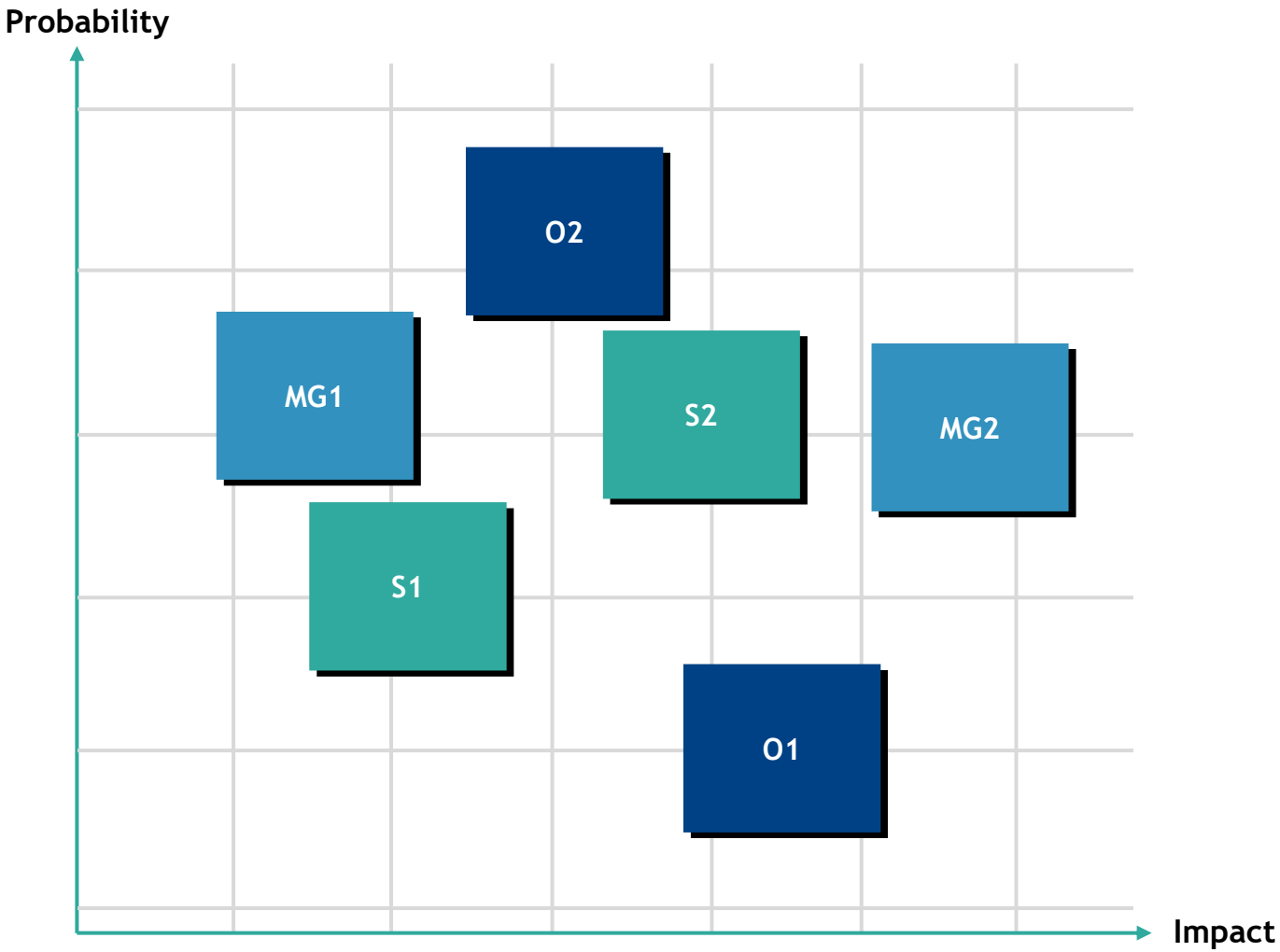
Source: Rede D'Or RI

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Sectorial Risks

S2 – De-accreditation

De-accreditation was something not uncommon to see in the last few years. Rede D'Or was impacted by CNU contracts' suspensions, and it is possible that something like this will happen again in a near future.

www.InfoMoney.com.br

InfoMoney

Unimed de-accreditaded 37 hospitals, affecting Rede D'Or and other listed healthcare companies

Rede D'Or was the most affected, but Hapvida and Kora were also impacted by the de-accreditations.

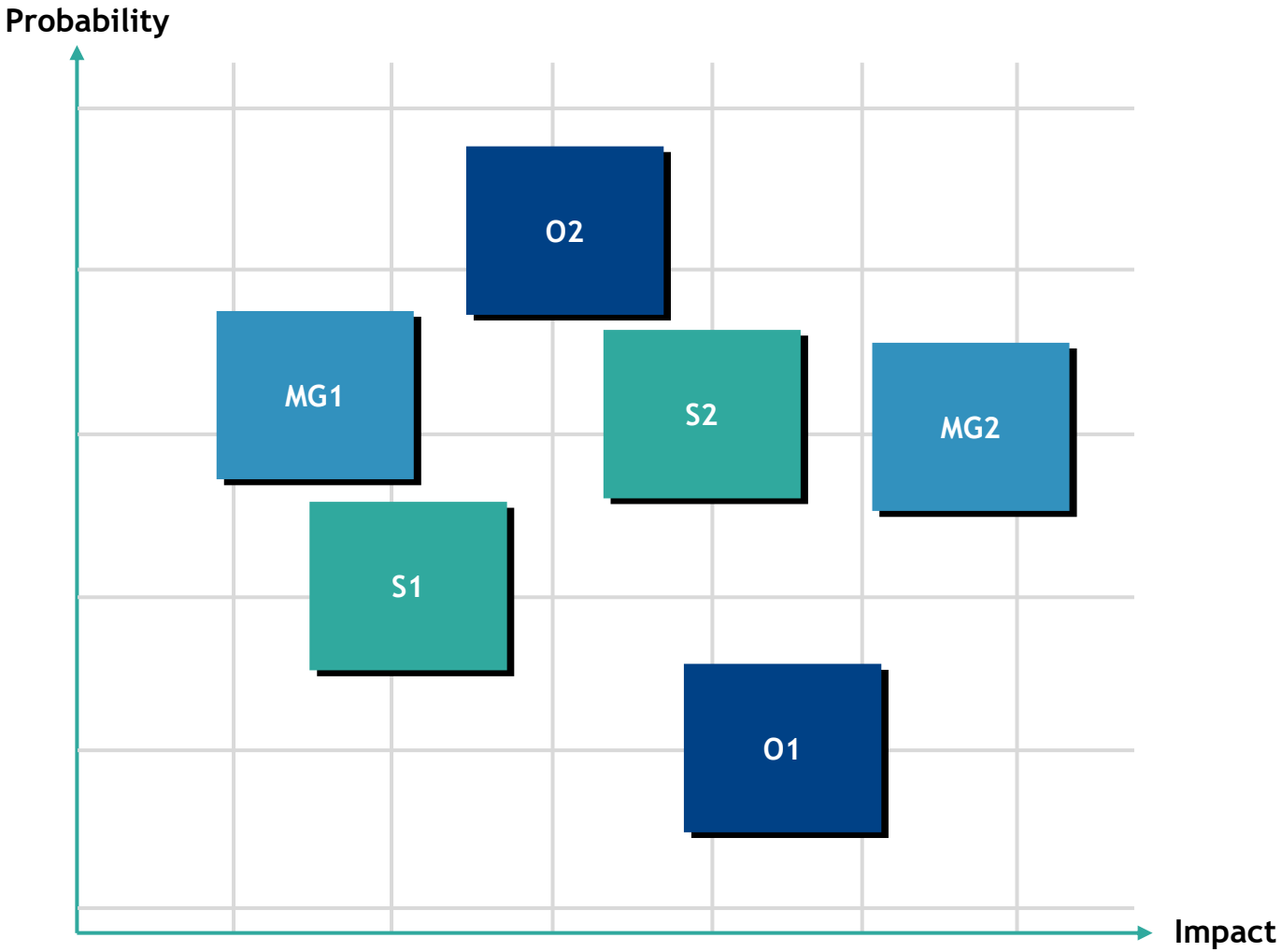
Source: InfoMoney

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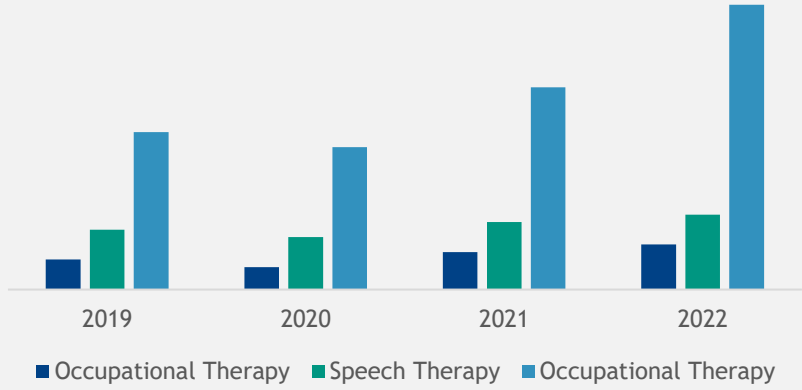


Macro and Governamental Risks

MG1 – Governamental Regulations

There are a lot of regulations that can impact severly Rede D'Or's operation. One of them is the National Law with a minimum salary.

TEA represents already ~10% of claims!



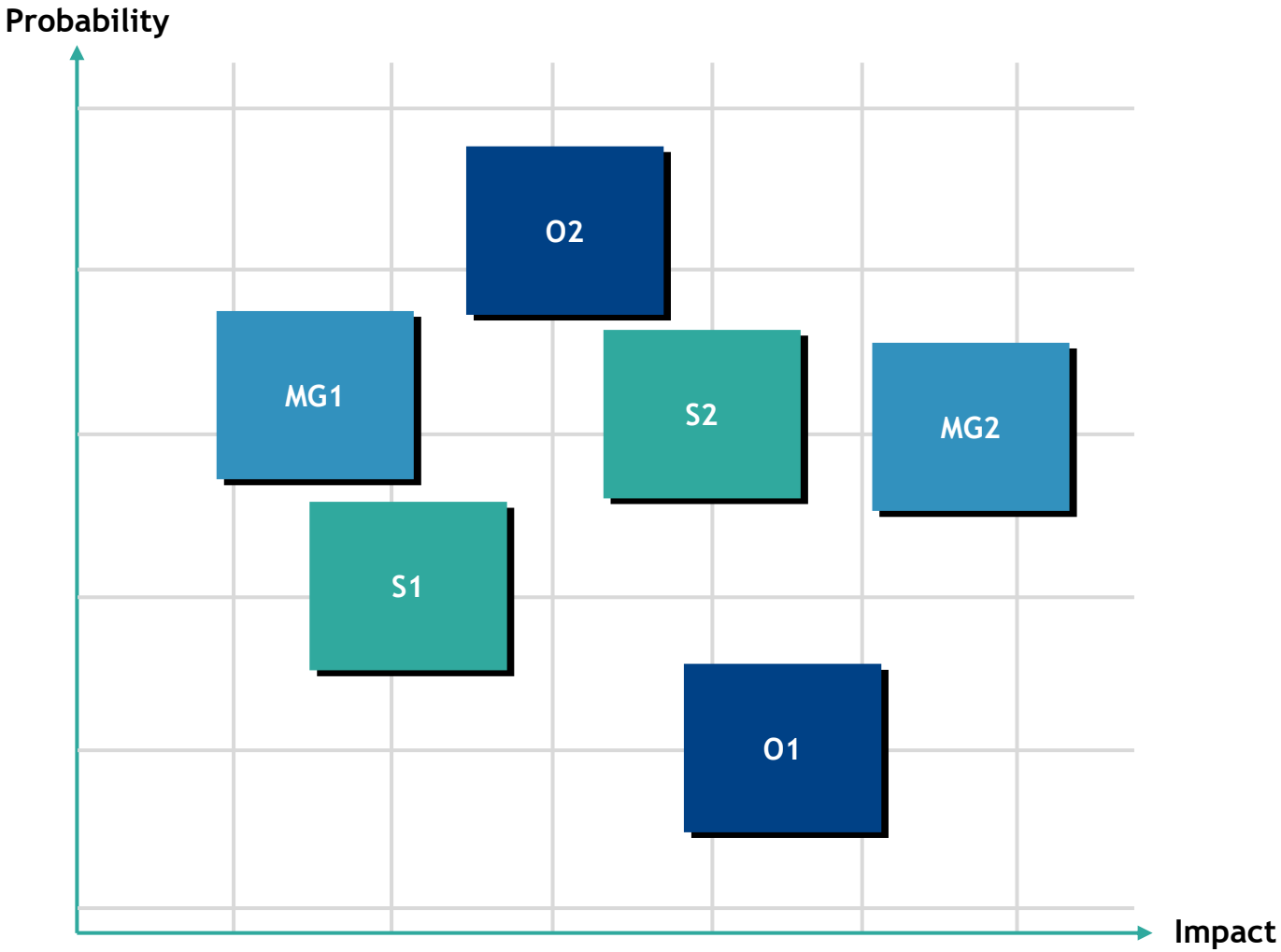
Source: BofA

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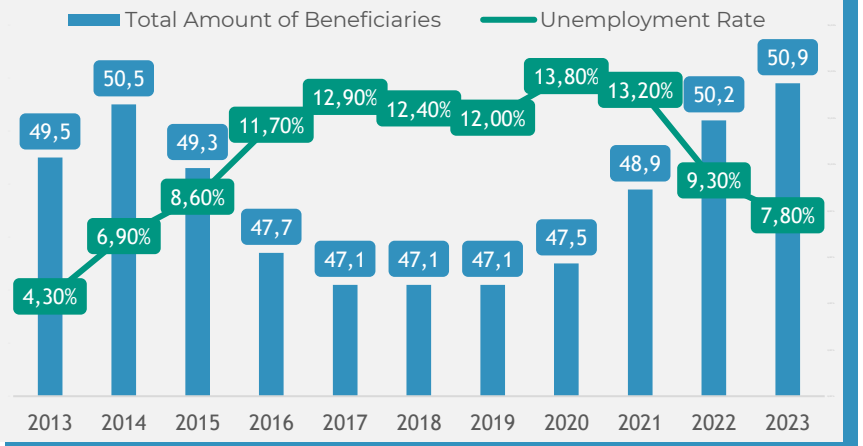


Macro and Governamental Risks

MG2 – High Unemployment Rate

80% of all Healthcare Plans are Corporate, so there is a high correlation between the number of beneficiaries and the unemployment rate.

Total Beneficiaries vs Unemployment



Source: BofA

Q&A



REDE D'OR

Enzo Pellegrini | Isadora Milanez
Head: Pedro Bennecke

Appendix



Enzo Pellegrini | Isadora Milanez
Head: Pedro Bennecke

SulAmérica Acquisition

Unexpectedly, RDOR acquired SULA in 2022. The company was in a complicated moment, so it was on sale for a good discounted price.
The objective of the transaction was to prevent damage - bought before someone else did.

www.cnnbrasil.com.br

CNN

Rede D'Or compra SulAmérica e acelera consolidação no setor de saúde

É a maior aquisição da Rede D'Or desde seu IPO, sendo a seguradora avaliada em cerca de R$13 bilhões

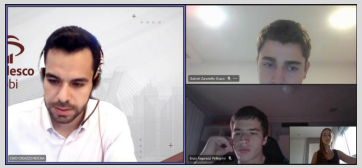
SulAmérica + REDE D'OR

R$ 13 Billion

63% of SULA's 2021 Revenue

Caio Rocha, BBI Healthcare Analyst

"The objective of the acquisition was never a synergy; it was prevention of damage."

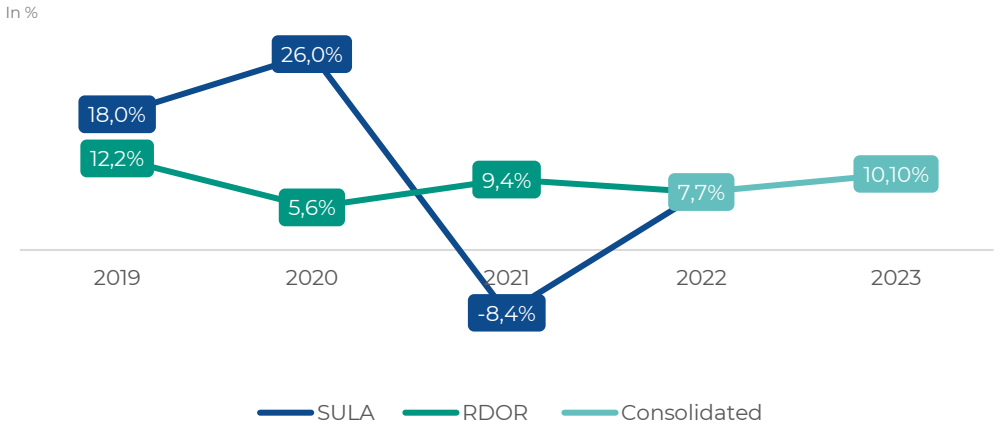


Superficially explored Synergy

Costs: Some synergy, but they still have completely different structures
Purchases: Combination of both RDOR and SULA's benefits, high bargaining power
Taxes: Insurances pay 40%, but when with hospitals, the tax is 34%
Goodwill amortization: Unexplored
Cash: Still have their blocked cash, unnecessarily

SULA's and RDOR's ROIC Before and After the Acquisition

SULA's was volatile and RDOR's more constant – now they are better together



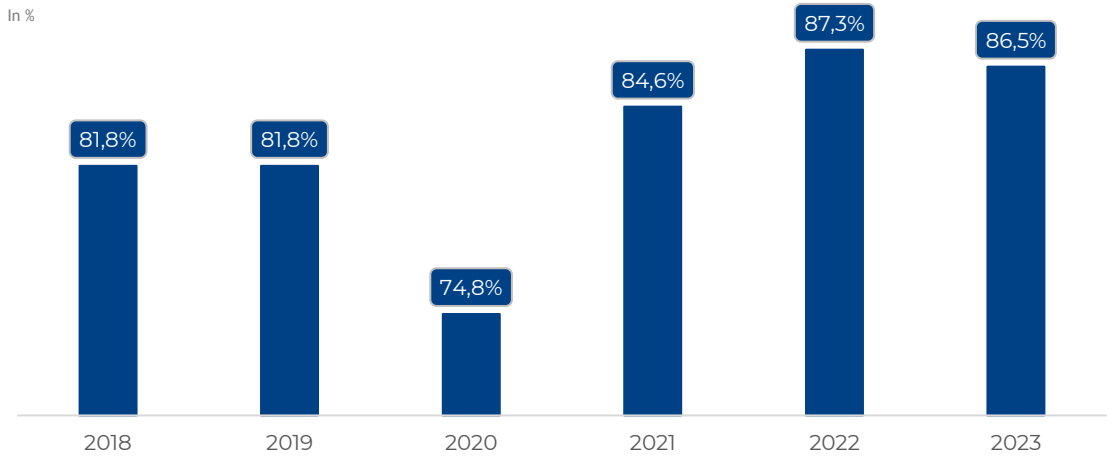
Source: CNN, RI

Challenging scenario for the Healthcare Sector

Since the COVID-19 pandemic, **MLRs have been at an all time high**, pressuring **operators margins** and consequentely compromising **providers working capital**.

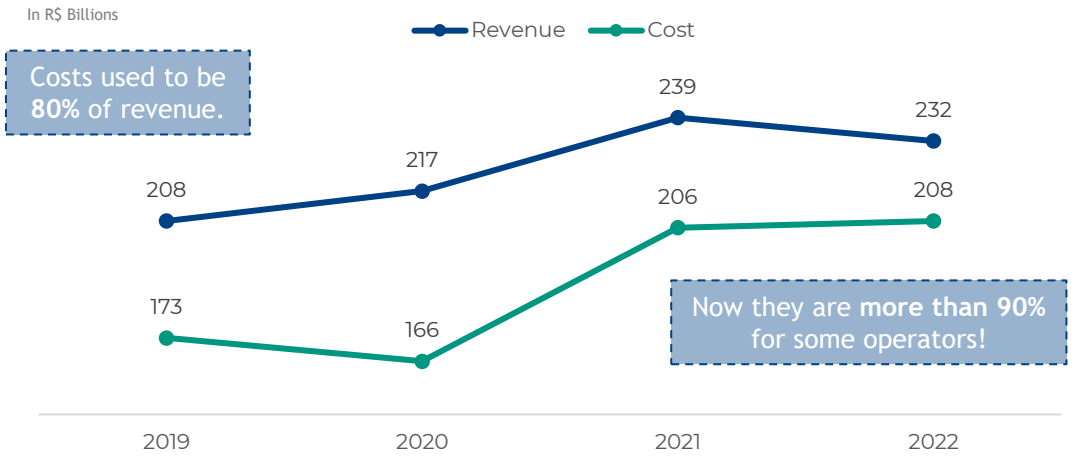
Price readjusment for individual plans

Due to **negative readjusment** in 2021, operators face **rising costs** and **steady revenue**.



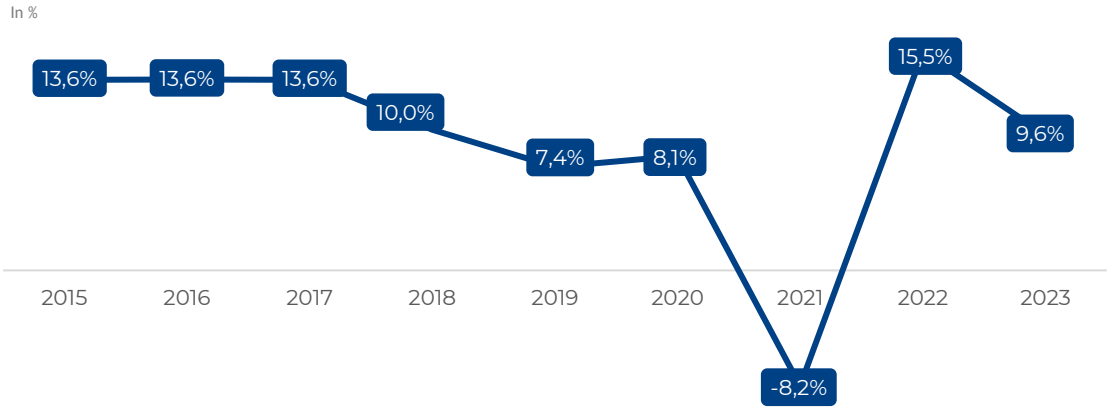
Costs are growing more than revenue for operators

After the COVID-19 pandemic, **operators** have been **struggling to increase margins**.



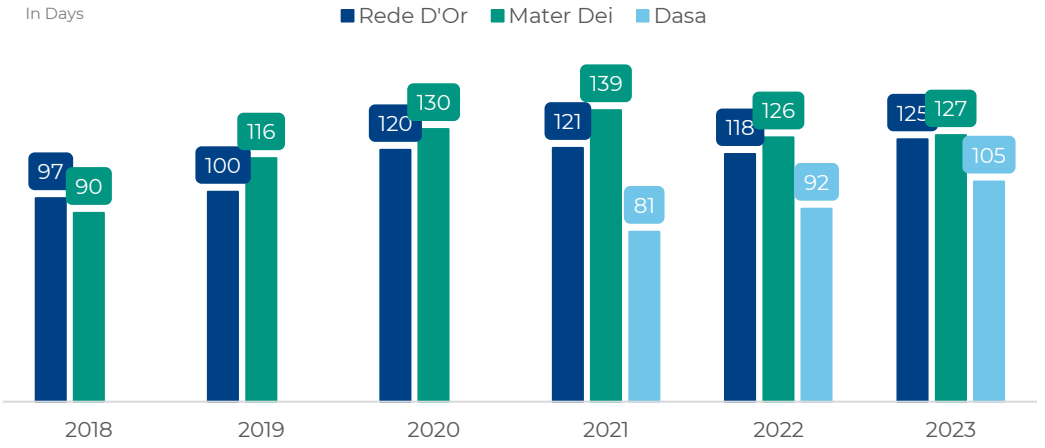
MLRs at highest levels

The **historical average** of MLR is **82%**, after the COVID-19 pandemic, it reached almost **90%**!



Days of Receivable are increasing for hospital players

Days of receivables are **above historical average**, due to operators challenges.



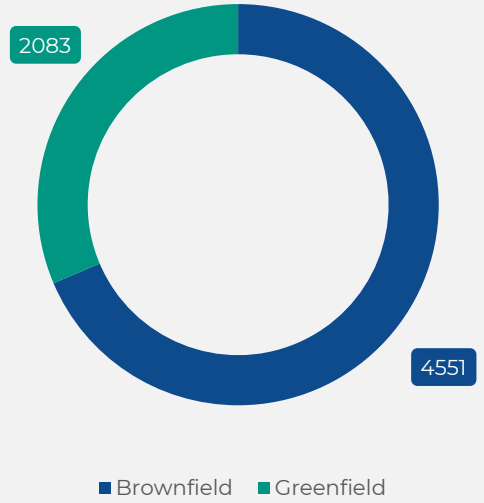
Source: ANAHP, BofA

Rede D'Or has an agressive expansion plan

Rede D'Or plans to open more than **6,5k hospital beds** in the next three years, that is **almost 70%** of what they already have! We think this is **extremely risk** taking into consideration the **sector's current situation**.

RDOR plans to expand via BF and GF

Organic growth is now the strategy.

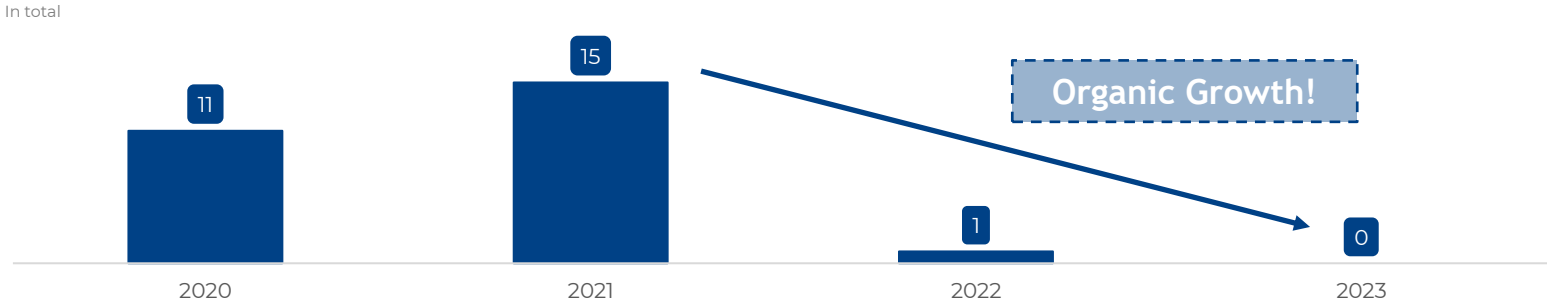


Greenfield: When an hospital is built from scratch.

Brownfield: When an hospital is already there, but an expansion is added.

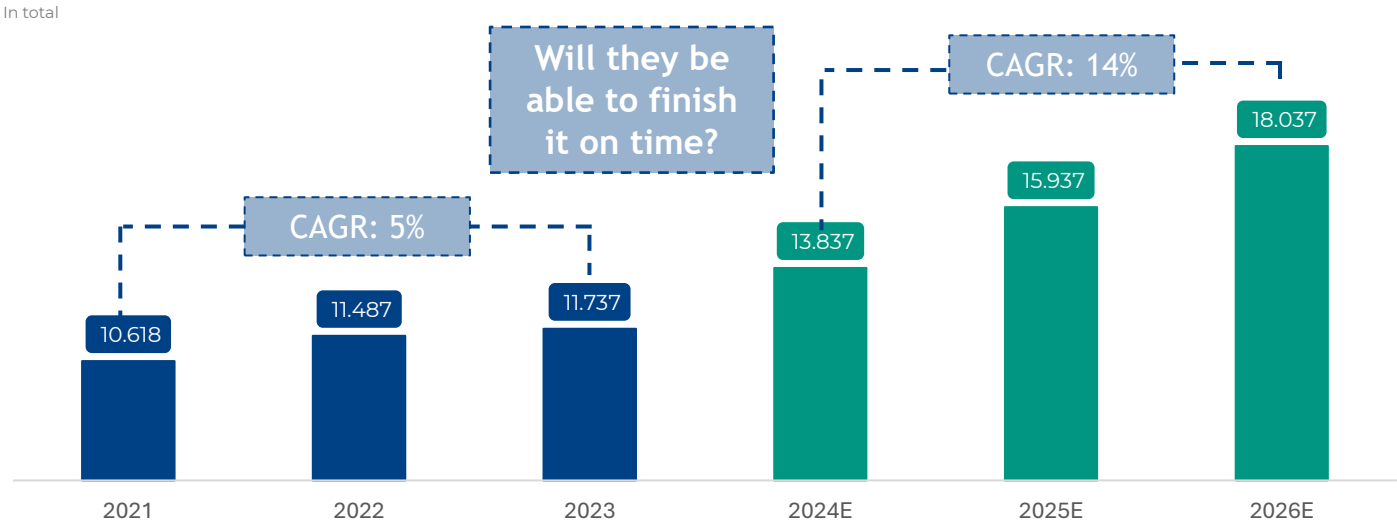
M&As are decreasing

Since most premium assests **were already aquired**, Rede D'Or is changing its strategy for **an organic growth**.



From an almost flat growth in hospital beds to an steep increase

Rede D'Or plans to **expand agressively** in the next few years.



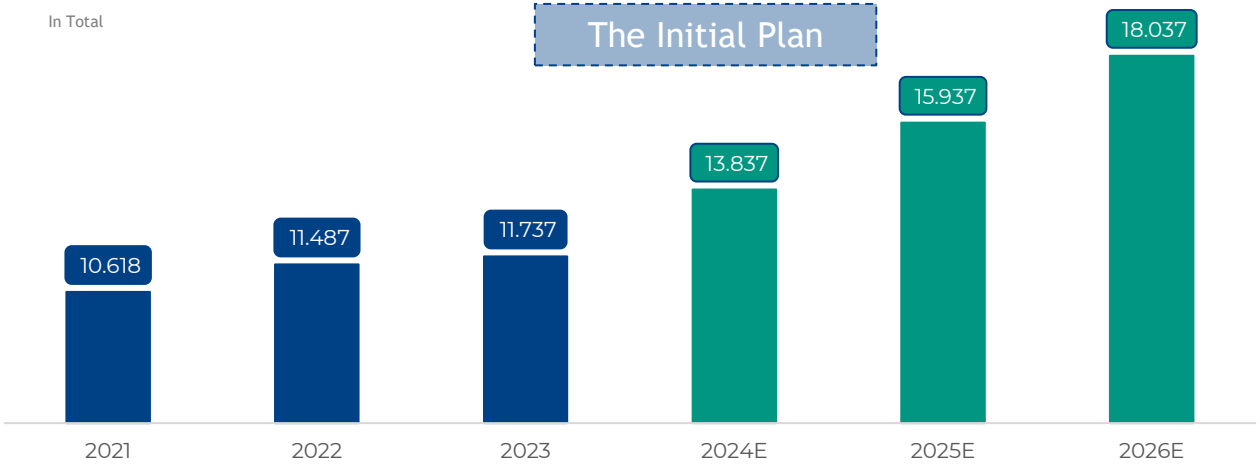
Source: Rede D'Or RI

Important players are making life harder for RDOR

After SulA aquisition, important healthcare operators for Rede D'Or, such as **Bradesco Saúde**, are trying to **reduce their depende** on the Company, making the expansion plan **even harder**.

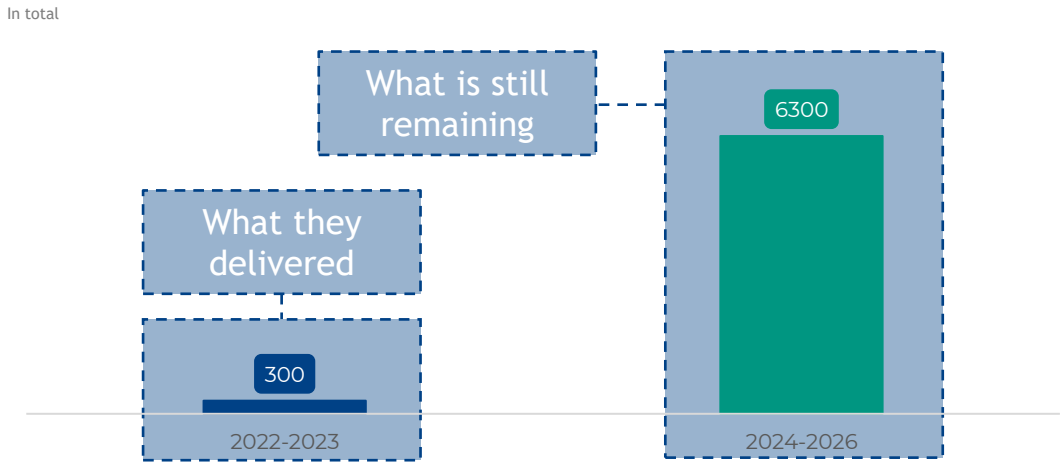
Expectations vs Reality

Rede D'Or planned to open **6600 hospital beds** betwenn 22-26, but their progress is **really slow**.



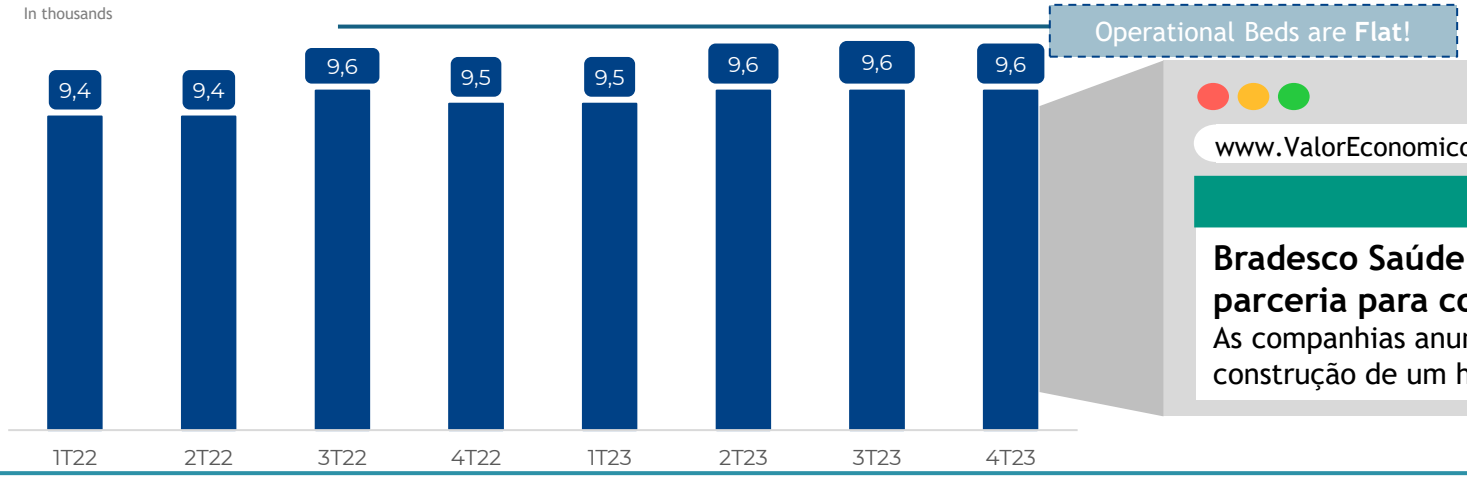
What they delivered and what is remaining

RDOR is having trouble to deliver new hospital beds. **Only 5%** of the plan has been delivered.



Flat Operational Beds

Bradesco Saúde **is not accreditating** new Rede D'Or's hopsitals, and that's why **operational beds are flat**!



www.ValorEconomico.com.br

Valor

Bradesco Saúde e Hospital Albert Einstein formam parceria para construção de hospital.

As companhias anunciaram um investimento de R$600 milhões para a construção de um hospital na Zona Sul de São Paulo.

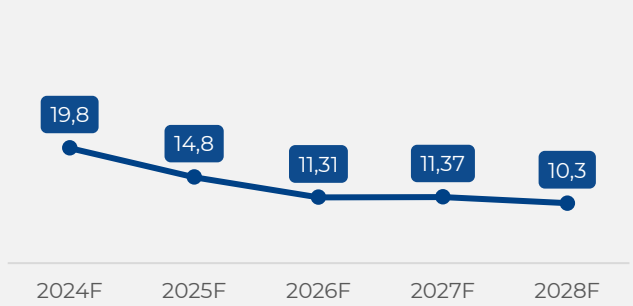
Source: Rede D'Or RI, Valor Econômico

Market has low expectations

The brazilian market also **fears** that Rede D'Or's expansion plan **might fail**, and that can be seen in its expectations for **future earnings**.

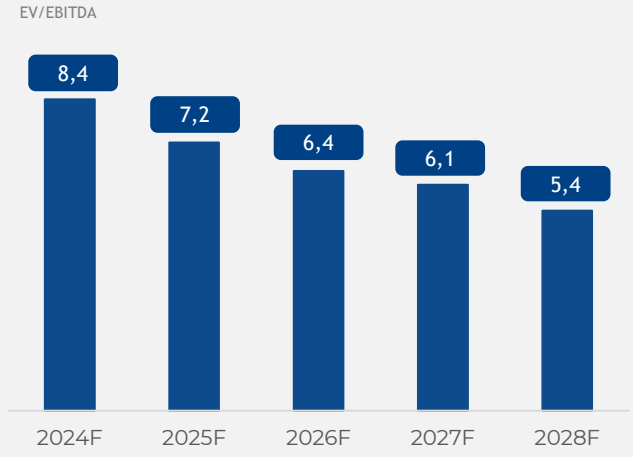
P/E forward slowly decreasing

This means net income **will not improve much**.



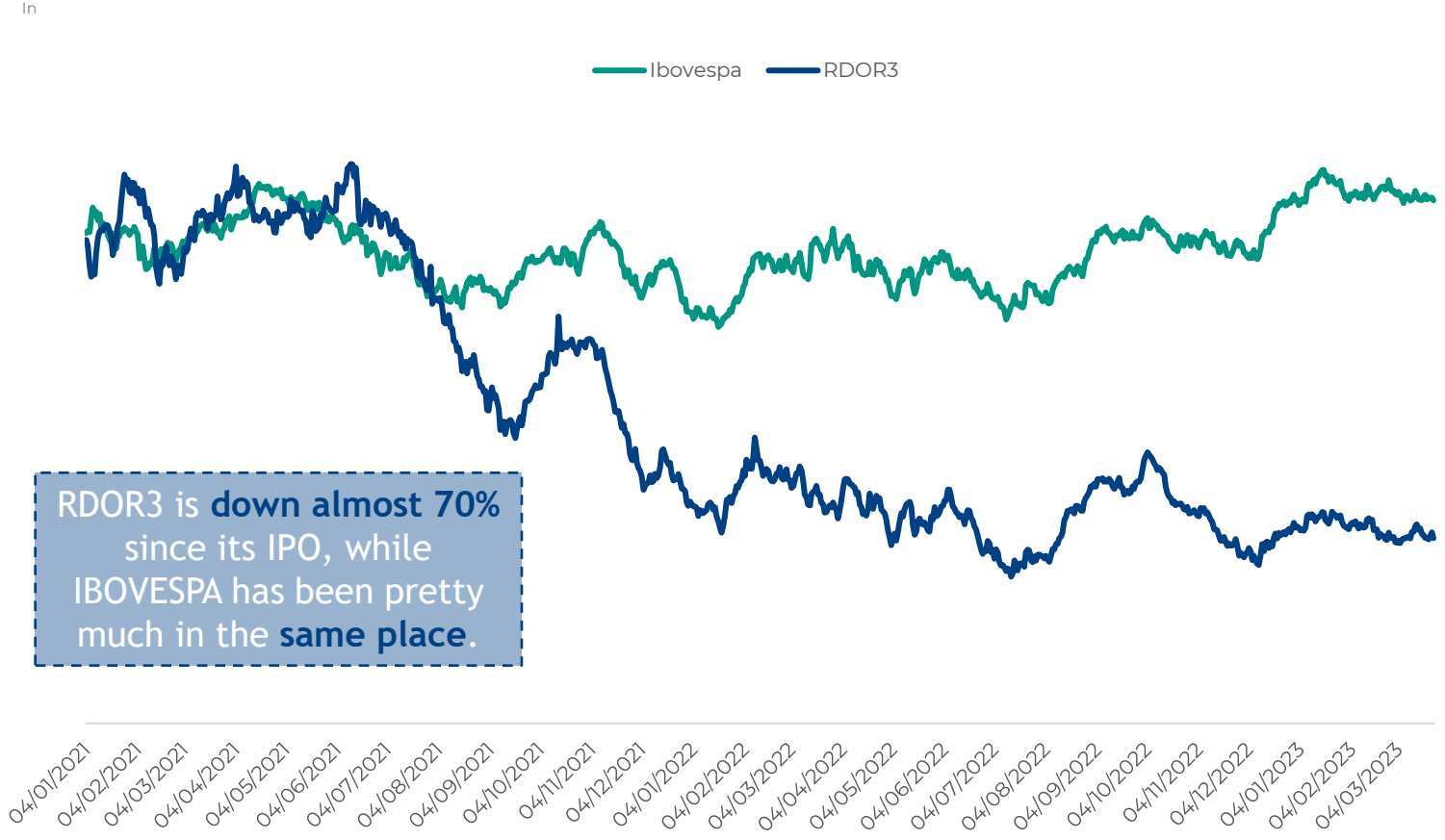
EV/EBITDA following the trend

EV/EBITDA will also **decrease slowly**.



Rede D'Or vs Ibovespa

After Rede D'Or expansion plan, EBIDTA is expected to **grow way less than what it used to be**.



RDOR3 is **down almost 70%** since its IPO, while IBOVESPA has been pretty much in the **same place.**

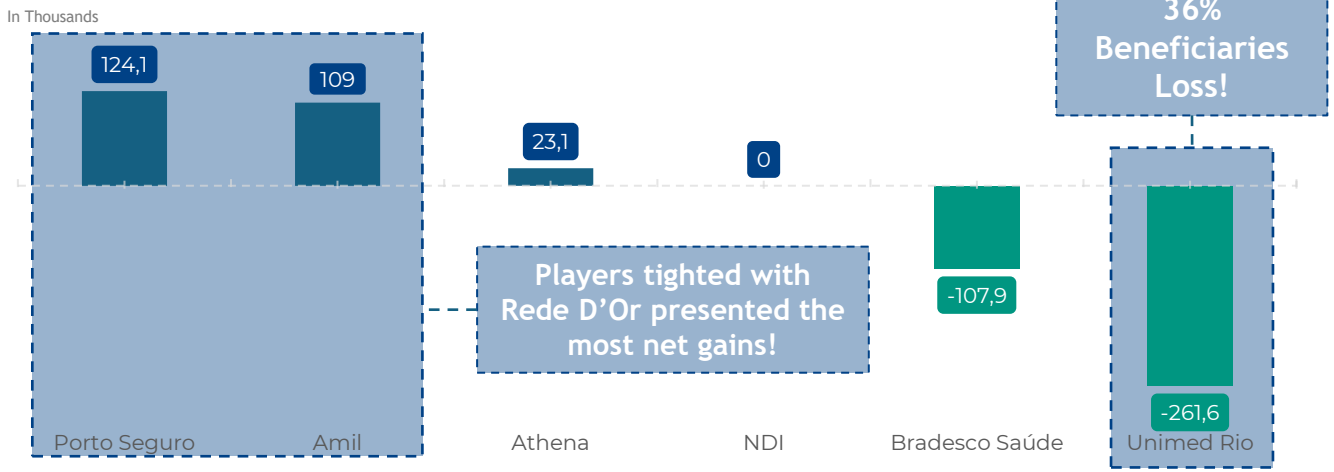
Source: Bloomberg

But challenges are only in the ST and MT

Rede D'Or is the favorite hospital services providers among beneficiaries, and because of that operators need to have the company's hospitals accredited.

Healthcare Insurances Net Add Jan23 - Jan24

RDOR ended contracts with Unimed Rio, which caused a huge beneficiaries loss in a year!



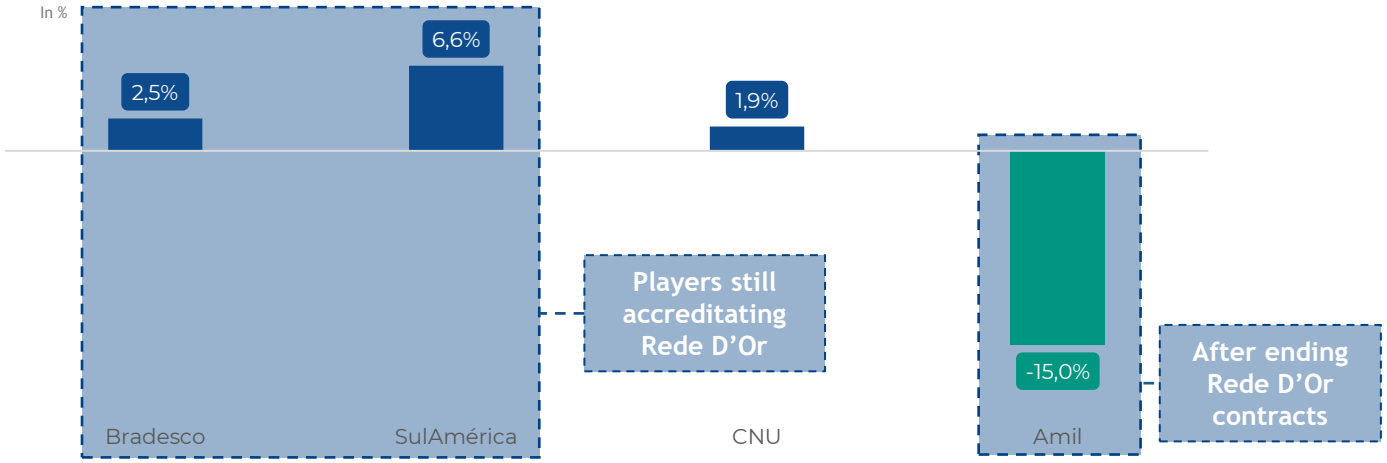
www.g1.globo.com

Rede D'Or encerra contratos com Unimed Rio.

Rede D'Or descredencia planos da Unimed Rio. Entenda o real impacto para os beneficiários.

Healthcare Insurances Beneficiaries Base 2017 vs 2019

After Amil ended its contracts with Rede D'Or, they lost a lot of their 2017 beneficiaries base.



www.g1.globo.com

Amil anuncia descredenciamento de hospitais da Rede D'Or.

Amil anuncia descredenciamento dos hospitais da Rede D'Or em São Paulo e Rio de Janeiro.

Source: G1, JP Morgan, Bofa,

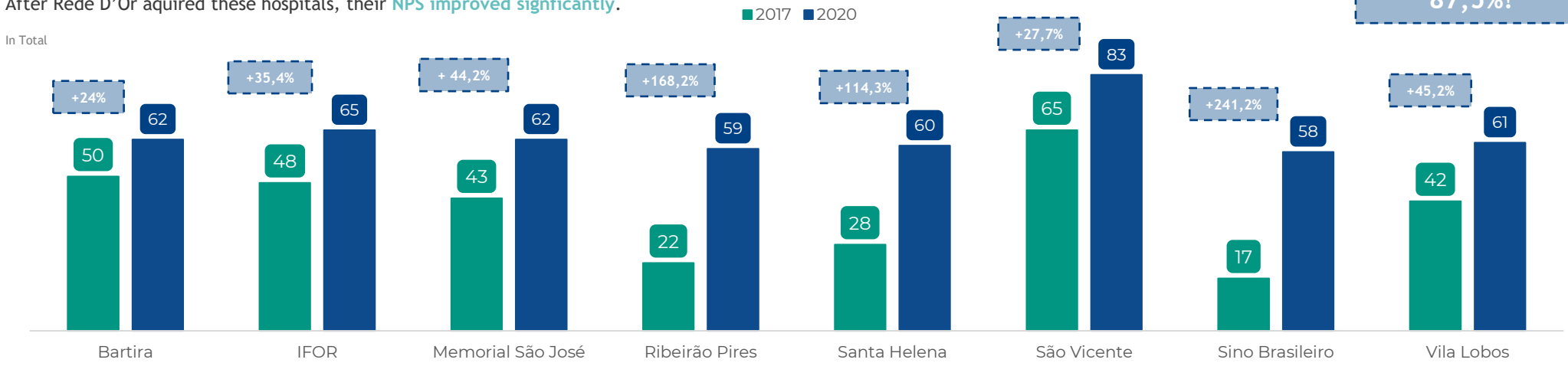
Operators need Rede D'Or, so why fight against?

Rede D'Or has a **powerful bargain power with clients**, with every year readjusts its price above their goals, **IPCA + 1%**. This means that healthcare operators need more Rede D'Or than the opposite.

NPS before and after Rede D'Or's aquisiton

After Rede D'Or aquired these hospitals, their **NPS improved signficantly**.

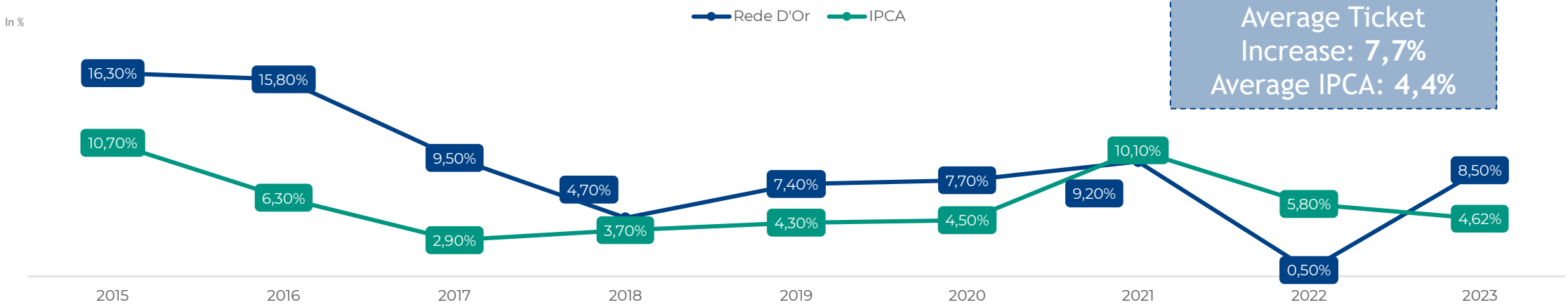
On Average, NPS increased 87,5%!



Rede D'Or price readjusment vs IPCA

Rede D'Or has always been able to reajdust its price above inflation

Average Ticket Increase: 7,7%
Average IPCA: 4,4%



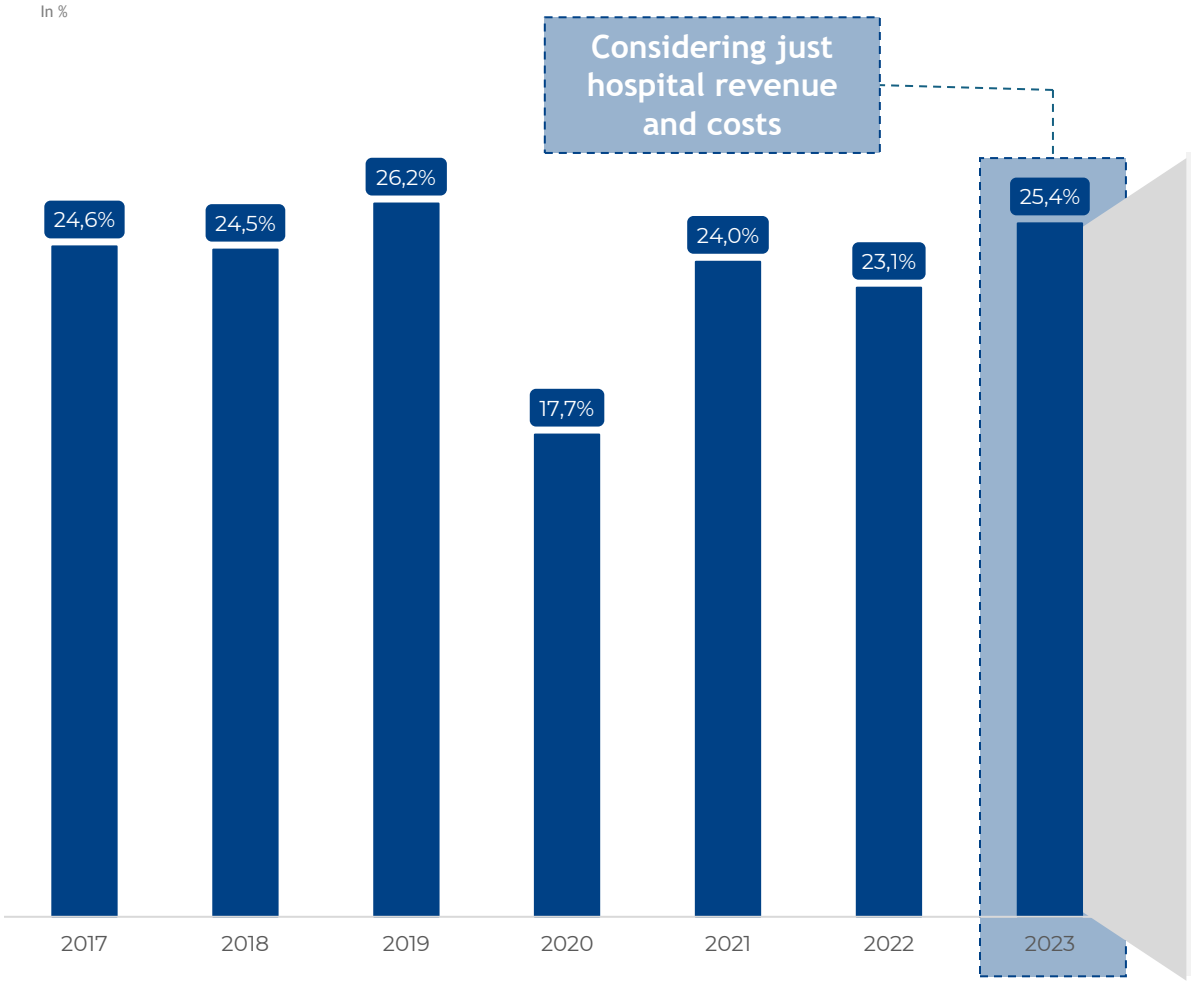
Source: Rede D'Or RI, BofA

Strong bargain power with suppliers

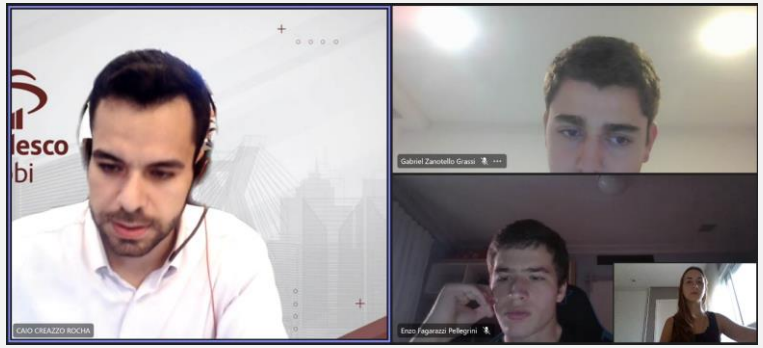
Rede D'Or is by far the **biggest hospital services provider in Brazil**, and because of this they can **reduce their costs signifcantly**, improving margins and having better results.

EBITDA Margin is the same, but it was supposed to be higher

Rede D'Or is currently trying to expand its **operation with GF and BF**, and those put a lot of pressure on operational margins.



Caio Rocha, Bradesco BBI HC Analyst



"Due to Rede D'Or's expansion plan, we can't see margins improving as **greenfields pressure them**. But if they didn't have this bargain power with suppliers, margins **were supposed to be lower**.

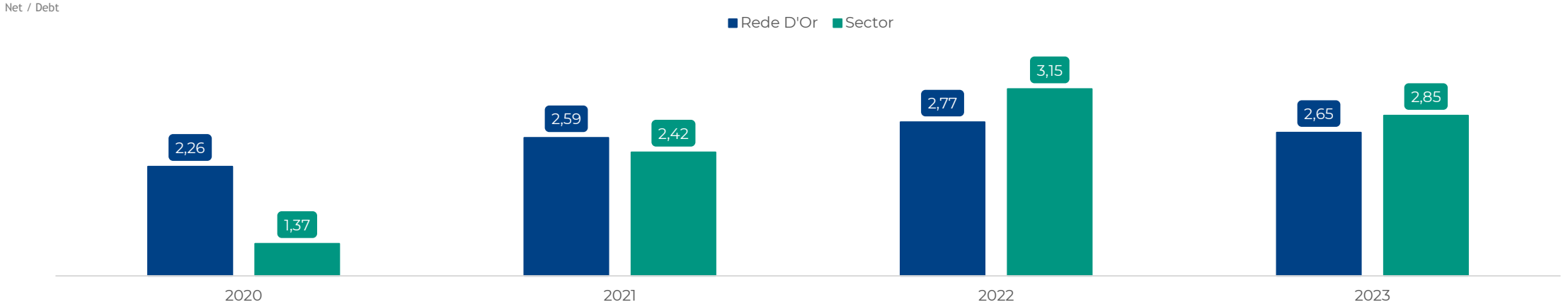
Source: Rede D'Or RI

Good Financial Health

Rede D'Or is **expanding its operations intensively**, and because of that they are contracting plenty of debt. But due to solid results and cash Generation, they can pay those until 2028!

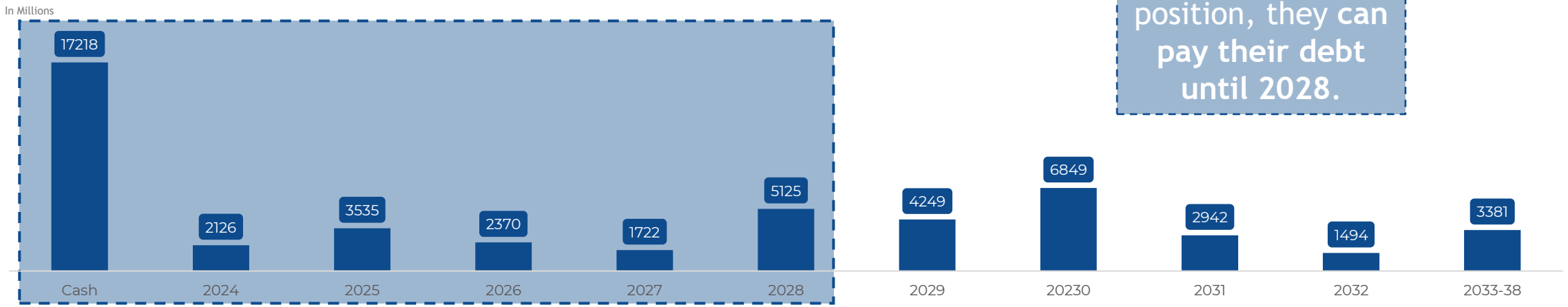
Net. Debt / EBITDA

Rede D'Or managed to keep their debt **below peers average**.



Amortization Calendar

With the current cash position, Rede D'Or can **pay their debt all the way to 2028**.



With current cash position, they can pay their debt until 2028.

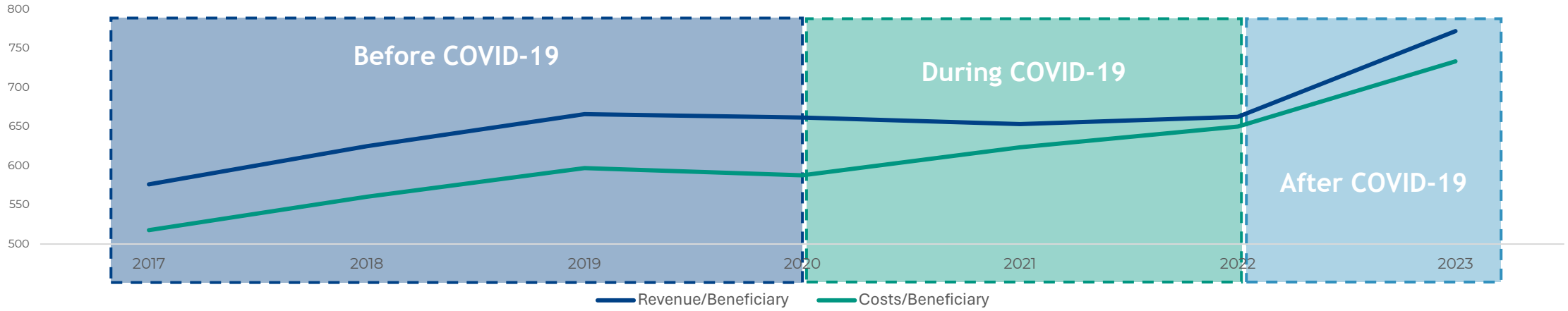
Source: Rede D'Or RI

The Operator's Three Phases

When we analyze the operators background, we can define **three mayor phases**: **Before, During and After COVID-19**. The pandemics **destabilized operational costs** and now operators are trying to **recover its constancy**.

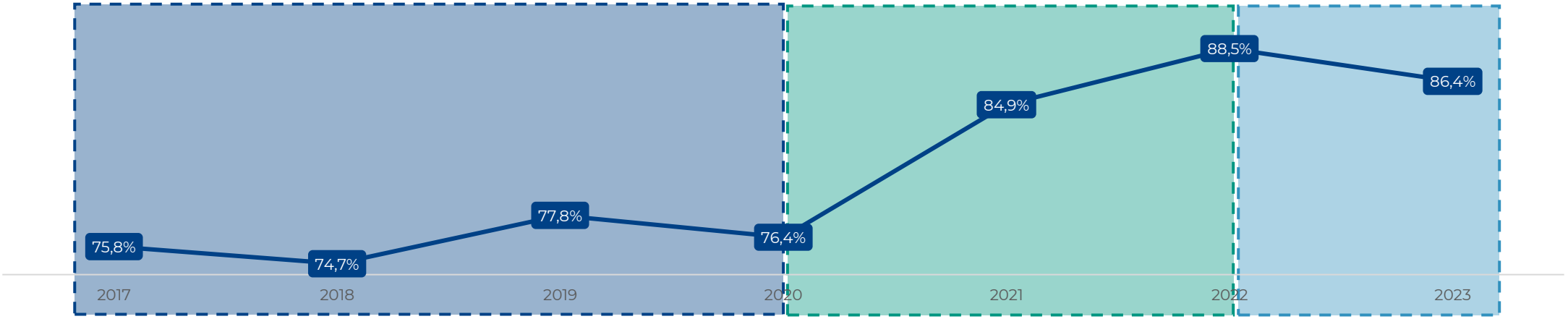
SULA's Historical Revenue and Costs per Beneficiary

After pandemics, **costs raised** and **revenue stayed constant**, SULA faces its **impacts until today**



SULA's Historical MLR (Medical Loss Ratio)

Due to a **high raise in costs**, SULA's **MLR raised in pandemics**, now its objective is to **decrease it**



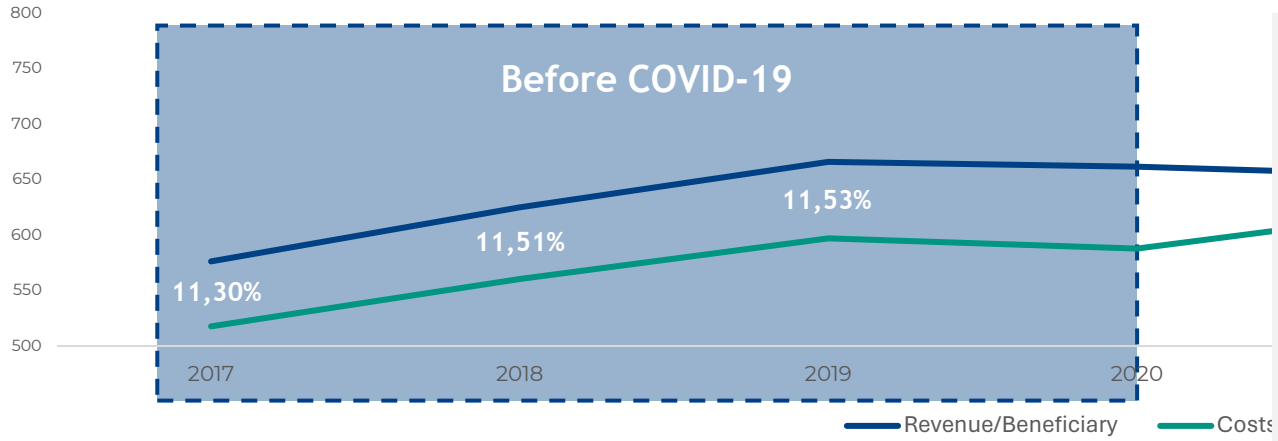
Source: RI

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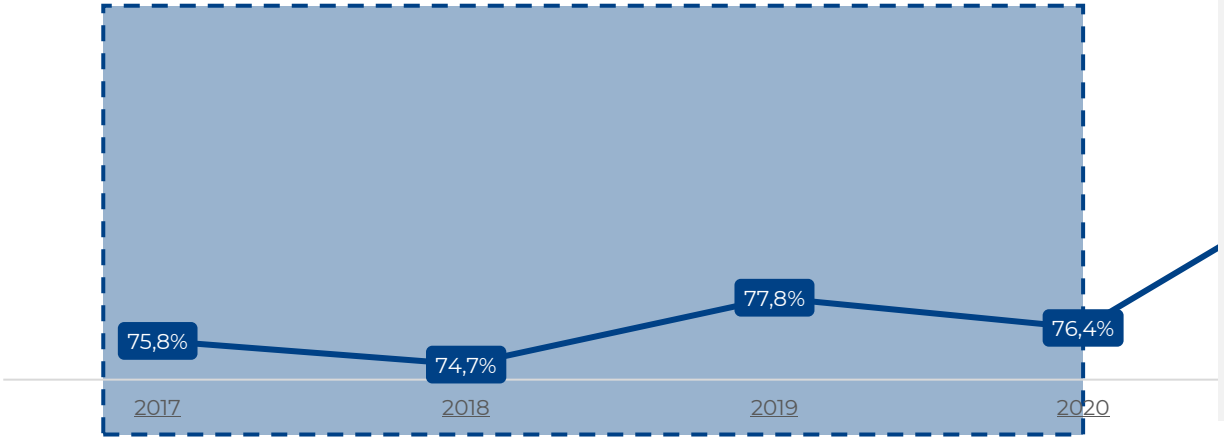
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Before COVID-19

- Constant spread between revenue and costs per beneficiary

$$MLR(\%) = \frac{Claims}{Premiums}$$

- Constant MLR through the years (~75%)

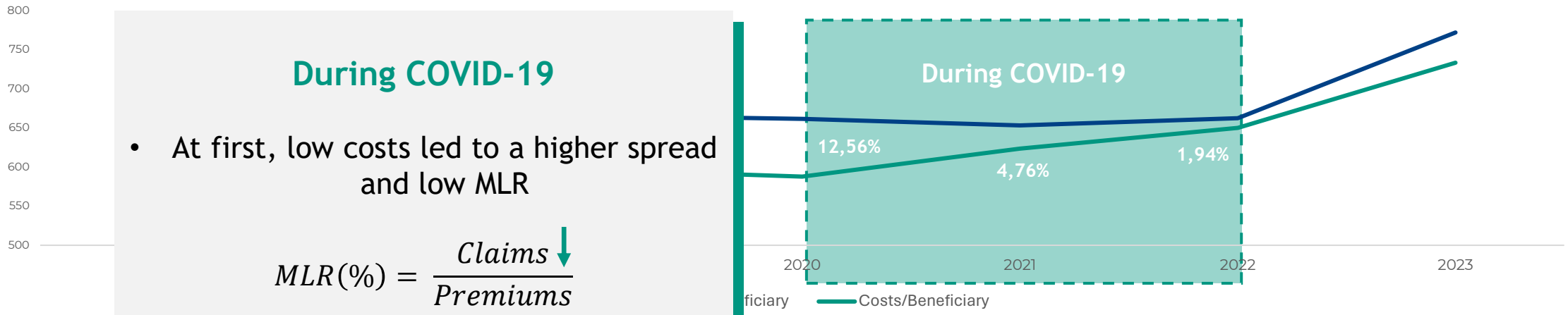
Source: RI

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During COVID-19

- At first, low costs led to a higher spread and low MLR

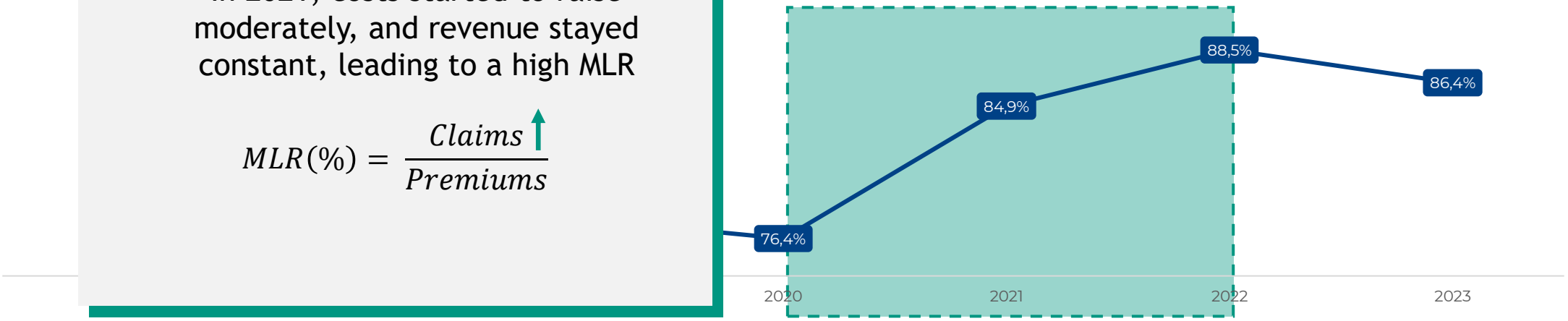
$$MLR(\%) = \frac{Claims \downarrow}{Premiums}$$

- In 2021, costs started to raise moderately, and revenue stayed constant, leading to a high MLR

$$MLR(\%) = \frac{Claims \uparrow}{Premiums}$$

SULA's Histo

Due to a **high ra**



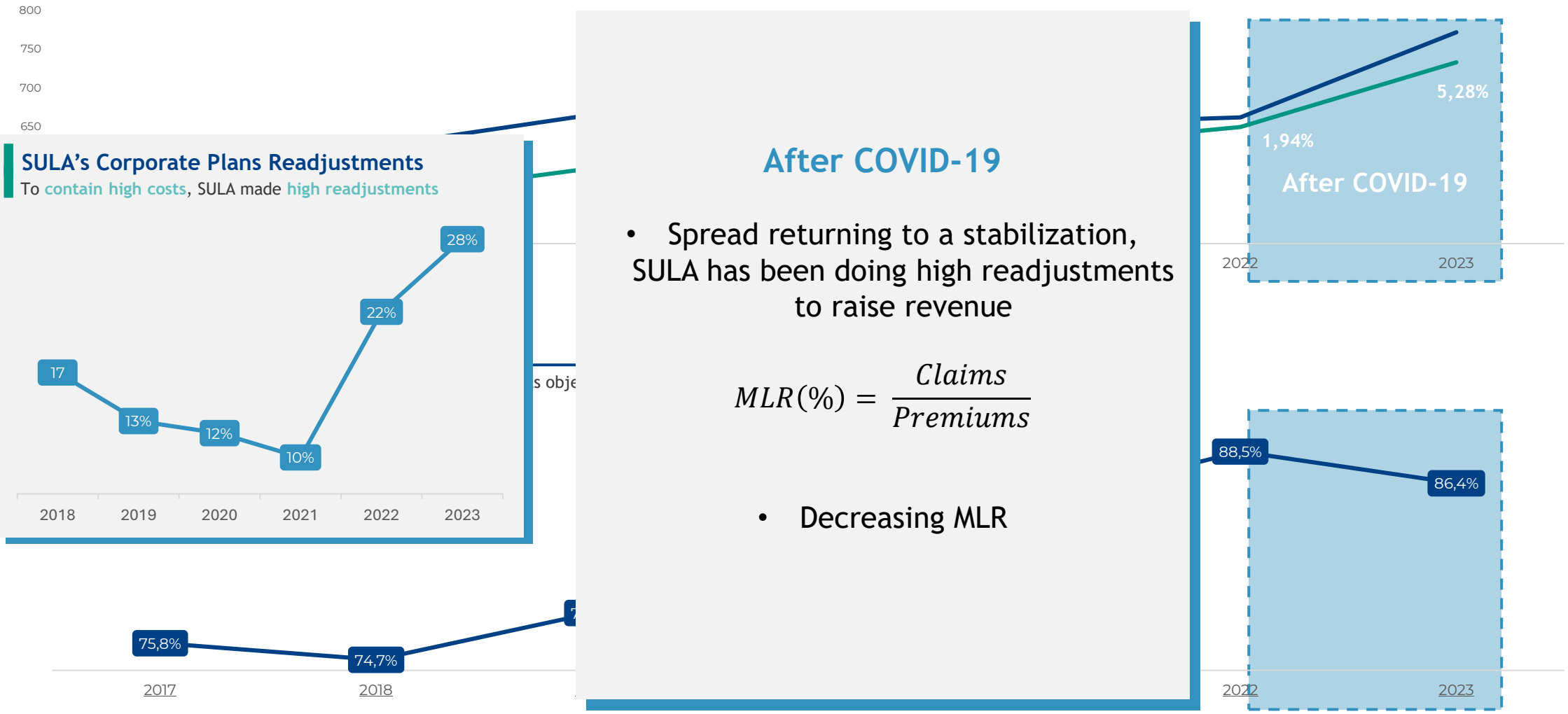
Source: RI

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SULA's Historical Revenue and Costs per Beneficiary

After pandemics, **costs raised** and **revenue stayed constant**, SULA faces its **impacts until today**



SULA's Corporate Plans Readjustments

To **contain high costs**, SULA made **high readjustments**

After COVID-19

- Spread returning to a stabilization, SULA has been doing high readjustments to raise revenue

$$MLR(\%) = \frac{Claims}{Premiums}$$

- Decreasing MLR

Source: RI

The “new normal”

In 2023, costs are high, but not because of the pandemics, but due to other new factors - like the new nursery minimum salary, the new regulation for autism and the raising cancer incidence

www.Uol.com.br

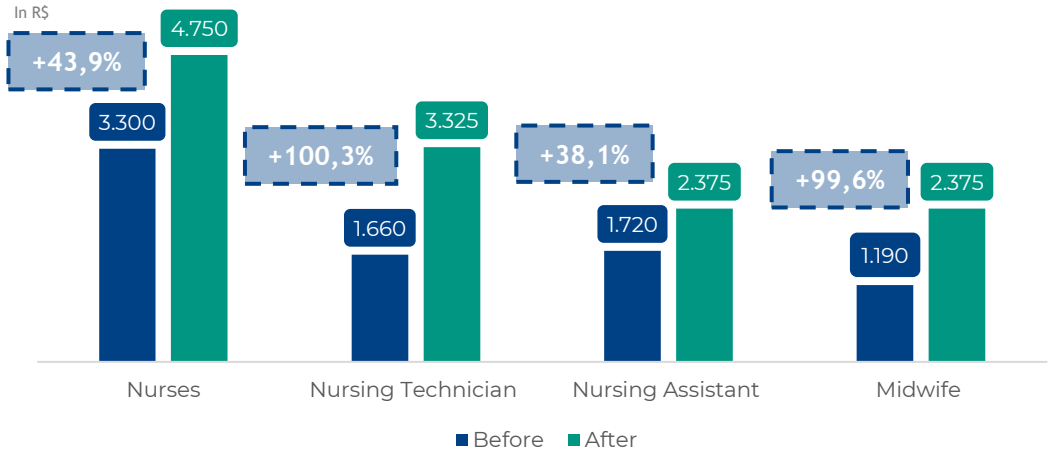
uol

Novo piso salarial de enfermagem aprovado: Salário mínimo subiu em 44%

Nova lei aumentou não só o de enfermeiros, como também de técnicos e auxiliares. Setor sofrerá fortes impactos.

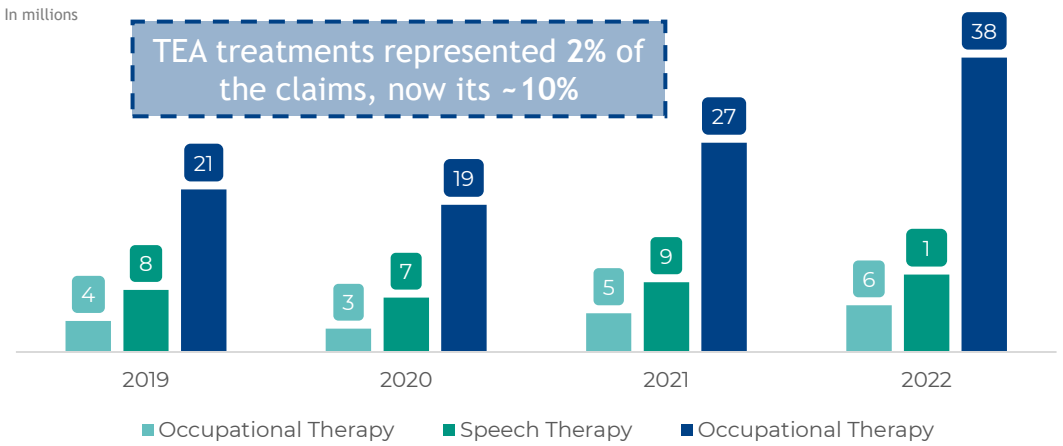
Nursery Salary Before and After the New Regulation

This new regulation widely impacts the operators revenue



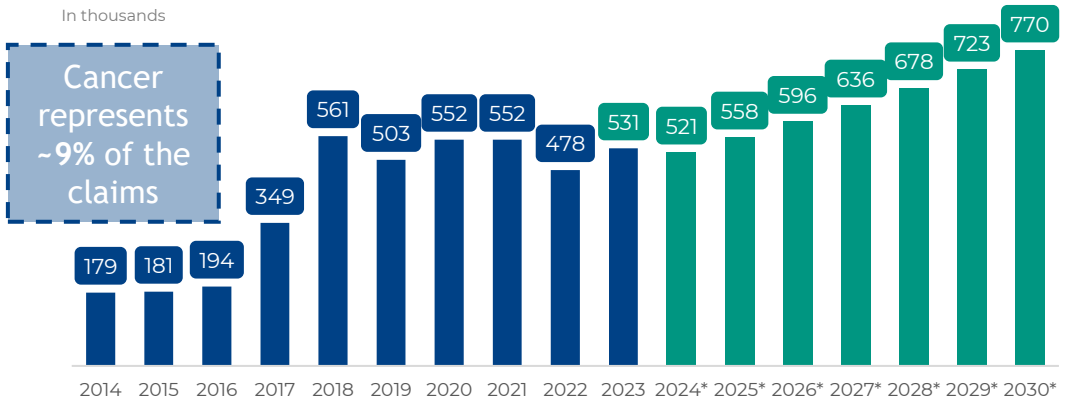
Historical Autism Treatments Attendance

Through the last years, due to a change in the regulation, TEA treatments increased



Historical and Forecasted Cancer Incidence in Brazil

The incidence is already high, and it is expected to raise more, impacting the claims.



Source: BofA, BTG Pactual, Uol

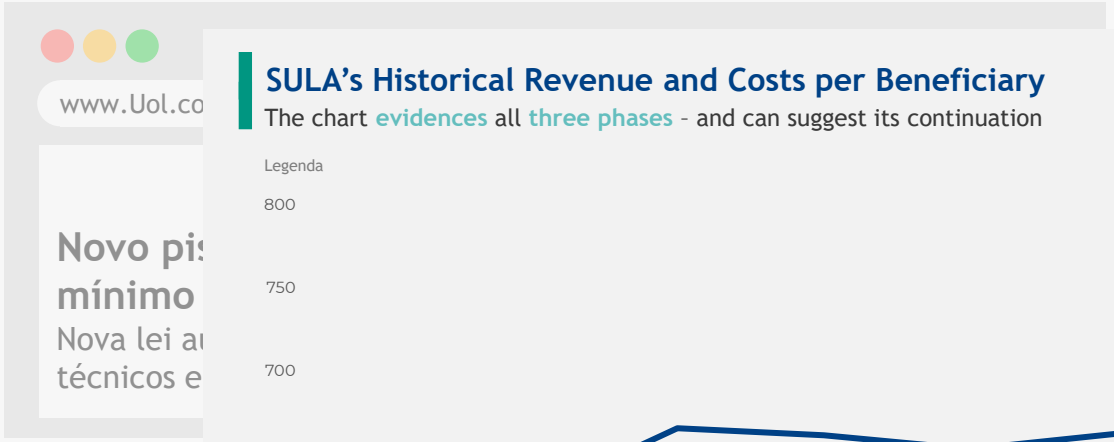
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REDE D'OR

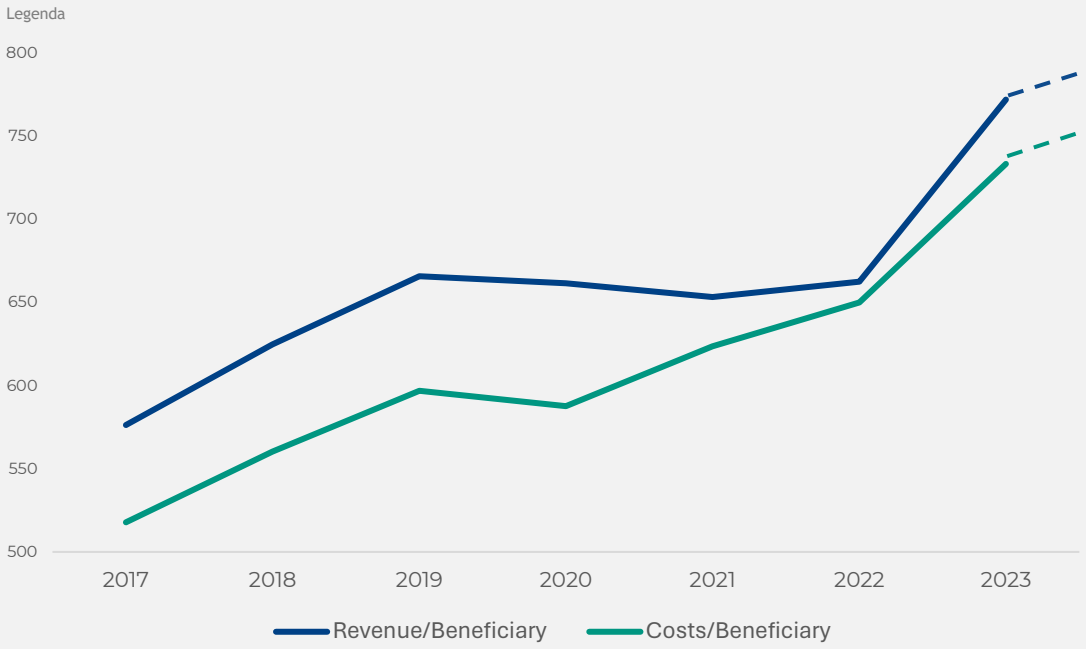
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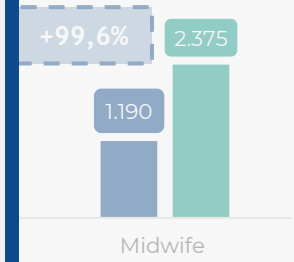
SULA's Historical Revenue and Costs per Beneficiary

The chart evidences all three phases - and can suggest its continuation



Tend to a **stabilization**!

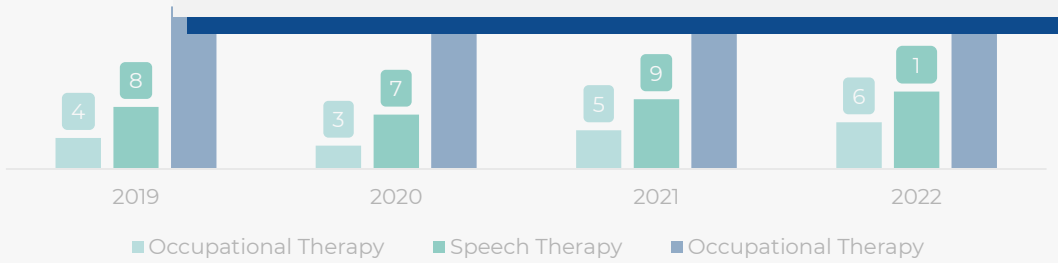
MLR **may never return to ~75%**, due to a **different sector scenario**. Tendency is that a **new standard MLR** will be established and operators will **recover profitability**



Historical Au

Through the last

In millions



Brazil

impacting the claims.



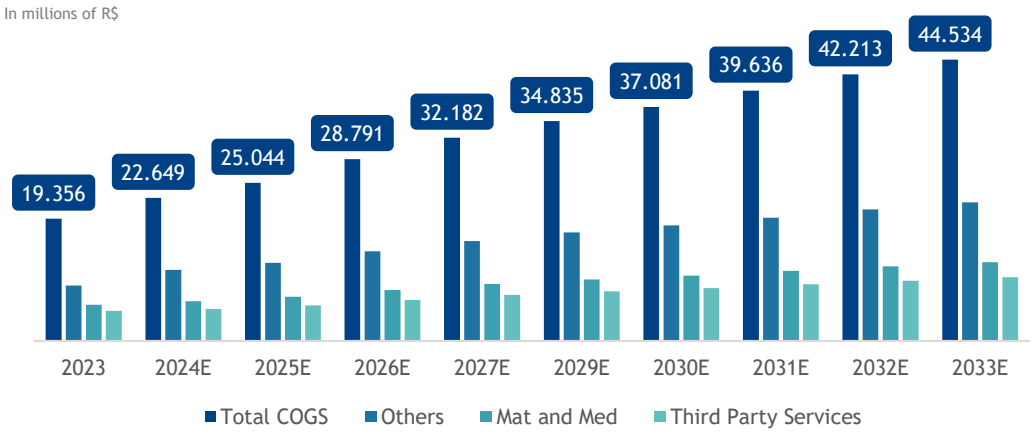
Source: BofA, BTG Pactual, Uol

Analyzing Costs

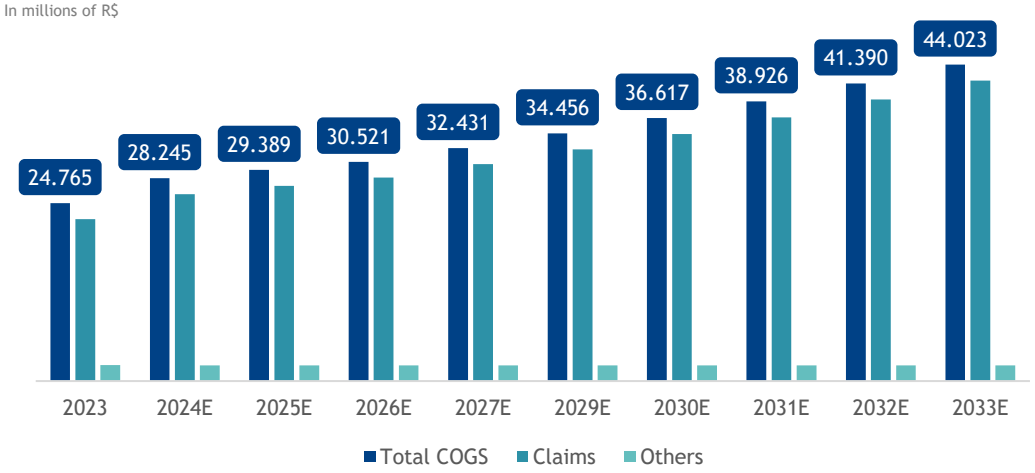
Currently, SULA's costs represent a bigger part of the total COGS than Rede D'Or's, but we project them to be half-half through time. The total COGS is mainly composed by materials, medicines and claims.

I. Separated COGS

Rede D'Or's Historical and Projected COGS

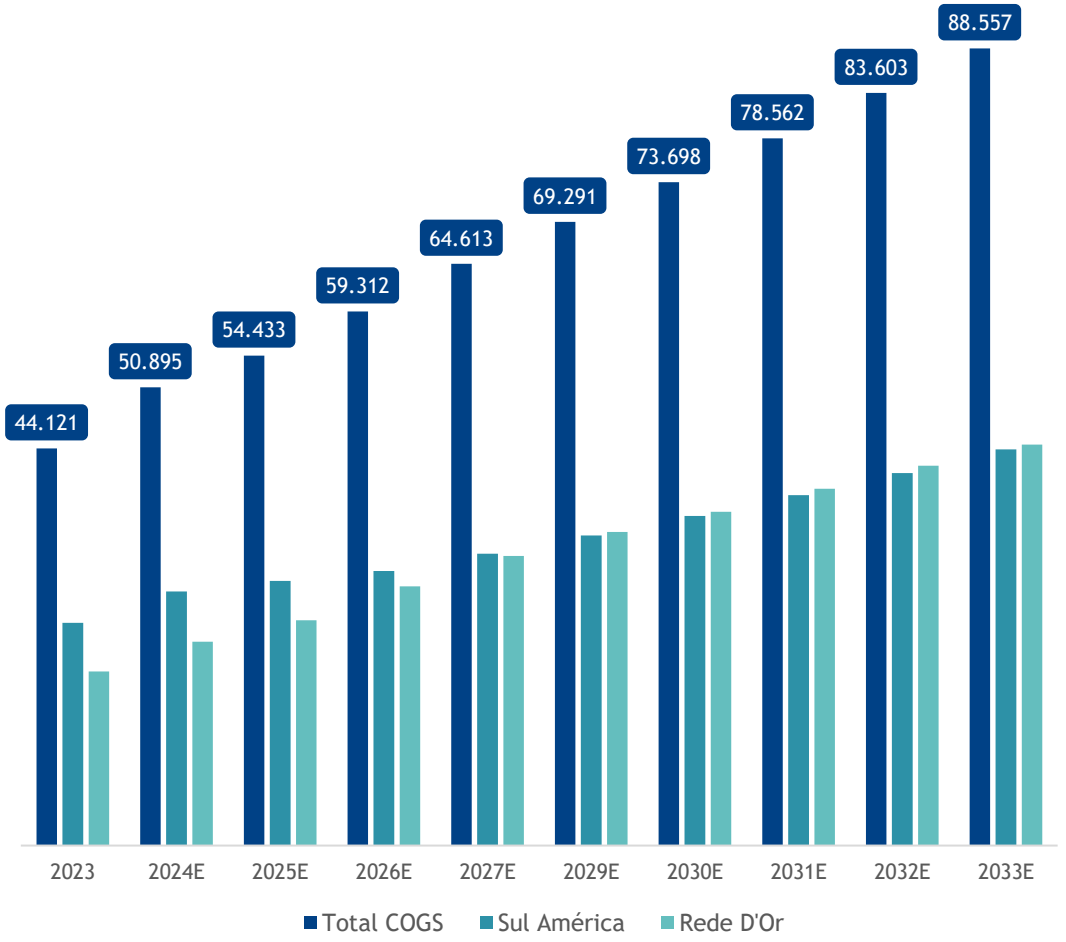


Sul América's Historical and Projected COGS



II. Consolidated COGS

Consolidated Rede D'Or's Historical and Projected COGS



SulAmerica Revenue Build Up

REDE D'OR

Revenue																
Beneficiaries	3.169	3.425	4.071	4.199	4.550	4.934	5.396	5.695	5.929	6.179	6.385	6.601	6.828	7.067	7.319	7.584
Health	2.137	2.212	2.280	2.401	2.562	2.756	2.968	2.987	3.005	3.021	3.038	3.053	3.066	3.080	3.092	3.104
Odontology	1.032	1.213	1.791	1.798	1.988	2.178	2428	2708	2924	3158	3348	3549	3761	3987	4226	4480
YoY (%)		8,1%	18,9%	3,1%	8,4%	8,4%	9,4%	5,5%	4,1%	4,2%	3,3%	3,4%	3,4%	3,5%	3,6%	3,6%
Premiums	17.421	19.655	17.812	18.870	19.876	26.053	31.679	33.582	35.527	37.570	39.714	41.964	44.323	46.818	49.435	52.202
Health	13.540	15.370	16.995	17.998	18.933	25.480	31.010	32.801	34.646	36.576	38.613	40.744	42.972	45.322	47.777	50.366
Odontology	195	239	312	378	419	573	669	780	881	994	1101	1220	1351	1496	1658	1836
Claims	13.337	14.742	14.024	14.529	16.986	22.530	25.977	26.865	28.421	30.056	31.771	33.571	35.459	37.455	39.548	41.761
YoY (%)		10,5%	-4,9%	3,6%	16,9%	32,6%	15,3%	3,4%	5,8%	5,8%	5,7%	5,7%	5,6%	5,6%	5,6%	5,6%
Claims / Premiums	76,6%	75,0%	78,7%	77,0%	85,5%	86,5%	82%	80%	80%	80%	80%	80%	80%	80%	80%	80%
Average Ticket - Health	528	579	621	625	616	770	871	915	961	1009	1059	1112	1168	1226	1288	1352
Readjustments (%)		9,7%	7,3%	0,6%	-1,4%		13,0%	5,1%	5,0%	5,0%	5,0%	5,0%	5,0%	5,0%	5,0%	5,0%
Average Ticket - Odontology	16	16	15	18	18	22	23,0	24,0	25,1	26,2	27,4	28,6	29,9	31,3	32,7	34,2
Readjustments (%)		4,0%	-11,4%	20,7%	0,1%		4,7%	4,6%	4,5%	4,5%	4,5%	4,5%	4,5%	4,5%	4,5%	4,5%
MLR (%)	79,6%	79,2%	78,9%	76,9%	85,0%	86,4%	85%	84%	83%	83%	82%	82%	82%	82%	82%	82%
Net Revenue	17.762	19.831	18.176	19.216	20.363	26.272	32.001	33.901	35.869	37.910	40.053	42.277	44.637	47.145	49.763	52.531
Premiums - Insurance	17.421	19.655	17.812	18.870	19.876	26.053	31.679	33.582	35.527	37.570	39.714	41.964	44.323	46.818	49.435	52.202
Others	341	176	363	346	487	220	322	319	343	339	338	314	314	327	328	329

SulAmerica COGS Build Up

COGS and Operating Revenues/Expenses																
COGS	**(15.735)**	**(17.321)**	**(15.966)**	**(16.605)**	**(19.066)**	**(24.765)**	**(28.195)**	**(29.083)**	**(30.639)**	**(32.274)**	**(33.989)**	**(35.789)**	**(37.677)**	**(39.673)**	**(41.766)**	**(43.979)**
Claims - Insurance	(13.337)	(14.742)	(14.024)	(14.529)	(16.986)	(22.530)	(25.977)	(26.865)	(28.421)	(30.056)	(31.771)	(33.571)	(35.459)	(37.455)	(39.548)	(41.761)
Others	(2.397)	(2.579)	(1.942)	(2.075)	(2.080)	(2.235)	(2.218)	(2.218)	(2.218)	(2.218)	(2.218)	(2.218)	(2.218)	(2.218)	(2.218)	(2.218)
YoY (%)		10,1%	-7,8%	4,0%	14,8%	29,9%	13,9%	3,2%	5,3%	5,3%	5,3%	5,3%	5,3%	5,3%	5,3%	5,3%
Gross Profit	**2.028**	**2.510**	**2.210**	**2.611**	**1.297**	**1.507**	3.806	4.817	5.230	5.635	6.063	6.488	6.960	7.473	7.997	8.551
Gross Margin (%)	11,4%	12,7%	12,2%	13,6%	6,4%	5,7%	11,9%	14,2%	14,6%	14,9%	15,1%	15,3%	15,6%	15,9%	16,1%	16,3%
Operating Revenues/Expenses	**(1.589)**	**(1.746)**	**(1.352)**	**(1.633)**	**(1.577)**	**(1.688)**	**(2.552)**	**(2.704)**	**(2.861)**	**(3.023)**	**(3.194)**	**(3.372)**	**(3.560)**	**(3.760)**	**(3.969)**	**(4.190)**
SG&A	(1.633)	(1.785)	(1.355)	(1.593)	(1.569)	(1.519)	(2.531)	(2.682)	(2.839)	(3.002)	(3.173)	(3.350)	(3.538)	(3.738)	(3.947)	(4.168)
Others	44	39	3	(39)	(8)	(169)	(22)	(22)	(22)	(22)	(22)	(22)	(22)	(22)	(22)	(22)
% of Revenue	8,9%	8,8%	7,4%	8,5%	7,7%	6,4%	8%	8%	8%	8%	8%	8%	8%	8%	8%	8%

SulAmerica Working Capital

Working Capital														
Operating Working Capital	**2.513**	**2.663**	**2.796**	**2.090**	**2.086**									
Δ Operating Working Capital		*150*	*133*	*- 706*	*- 4*									
Current Operating Assets	**2.895**	**3.111**	**3.300**	**2.376**	**2.318**									
Accounts Receivable	1.974	2.164	2.287	1.598	1.324									
Tax Recoverable	225	182	155	178	244									
Other Assets	696	765	858	600	749									
Current Operating Liabilities	**382**	**449**	**504**	**286**	**232**									
Labor and social security obligations	53	54	58	52	55									
Tax obligations	329	395	446	234	176									
PMR, PME, PMP														
Prazo Médio de Recebimento	**41**	**40**	**46**	**30**	**24**	**27**	**27**	**27**	**27**	**27**	**27**	**27**	**27**	**27**	**27**	**27**
Accounts Receivable	1.974	2.164	2.287	1.598	1.324	1.969	2.367	2.508	2.653	2.804	2.963	3.127	3.302	3.487	3.681	3.886
Gross Revenue	17.762	19.831	18.176	19.216	20.363	26.272	32.001	33.901	35.869	37.910	40.053	42.277	44.637	47.145	49.763	52.531

Rede D'Or Revenue Build

REDE D'OR

Revenue Build Up

Operation																		
Operating Hospitals (Final)	35	38	45	52	64	69	70	73	75	76	77	77	77	77	77	77	77	77
Total Hospital Beds (Final)	5.996	6.611	7.662	8.819	10.618	11.487	11.737	12.952	14.232	15.579	15.579	15.579	15.579	15.579	15.579	15.579	15.579	15.579
Operational Beds (Final)	5.224	6.106	6.839	7.393	8.946	9.469	9.598	10.171	11.112	12.350	12.777	12.889	12.961	12.961	12.961	12.961	12.961	12.961
% Occupancy Rate	78,6%	79,5%	77,2%	71,1%	79,3%	79,3%	79,5%	79,0%	79,0%	79,0%	79,0%	79,0%	79,0%	79,0%	79,0%	79,0%	79,0%	79,0%
Operational Beds (Mean)		5.665	6.473	7.116	8.170	9.208	9.534	9.885	10.642	11.731	12.564	12.833	12.925	12.961	12.961	12.961	12.961	12.961
Pacients per Year	1.471.315	1.652.997	1.872.664	1.830.185	2.423.659	2.724.771	2.771.982	2.850.196	3.068.477	3.382.634	3.622.685	3.700.396	3.726.924	3.737.304	3.737.304	3.737.304	3.737.304	3.737.304
Average Ticket	7.118	7.450	8.004	8.620	9.409	9.458	10.256	10.738	11.339	11.963	12.741	13.569	14.586	15.680	16.856	17.952	18.814	
Hospitalization Rate (Op. Beds/Total Beds)	87,12%	92,36%	89,26%	83,83%	84,25%	82,43%	81,78%	78,53%	78,08%	79,27%	82,01%	82,73%	83,20%	83,20%	83,20%	83,20%	83,20%	
Expansion Plan																		
Hospital Beds Delivered - Greenfield						498	15	512	521	270	0	0	0	0	0	0	0	0
Hospital Beds Delivered - Brownfield						238	235	703	759	1077	0	0	0	0	0	0	0	0
Mattured Hospital Beds																		
Greenfield						70	142	288	384	358	202	0	0	0	0	0	0	0
Brownfield						220	235	285	557	880	225	112	72	0	0	0	0	0

Revenue

(=) Gross Revenue	**10.473**	**12.315**	**14.989**	**15.777**	**22.803**	**25.770**	**28.429**	**33.911**	**38.622**	**44.998**	**51.463**	**56.084**	**60.831**	**65.634**	**70.557**	**75.143**	**78.750**	
Hospital Services	9.823	11.532	13.876	14.386	20.991	23.436	25.693	30.605	34.794	40.466	46.155	50.209	54.362	58.602	62.997	67.092	70.312	
Oncology	649	783	1.113	1.390	1.812	2.334	2.736	3.305	3.827	4.532	5.308	5.875	6.469	7.032	7.560	8.051	8.437	
% of Hospital Services	6,6%	6,8%	8,0%	9,7%	8,6%	10,0%	10,7%	10,8%	11,0%	11,2%	11,5%	11,7%	11,9%	12,0%	12,0%	12,0%	12,0%	
(-) Revenue Deductions	(1.055)	(1.400)	(1.669)	(1.747)	(2.421)	(2.782)	(3.093)	(3.662)	(4.171)	(4.860)	(5.558)	(6.057)	(6.570)	(7.089)	(7.620)	(8.115)	(8.505)	
(-) Gloss	(476)	(662)	(834)	(834)	(1.103)	(1.290)	(1.523)	(1.729)	(1.970)	(2.295)	(2.625)	(2.860)	(3.102)	(3.347)	(3.598)	(3.832)	(4.016)	
% of Gross Revenue	-4,5%	-5,4%	-5,6%	-5,3%	-4,8%	-5,0%	-5,4%	5,1%	5,1%	5,1%	5,1%	5,1%	5,1%	5,1%	5,1%	5,1%	5,1%	
(-) Taxes	(579)	(738)	(835)	(914)	(1.318)	(1.492)	(1.570)	(1.933)	(2.201)	(2.565)	(2.933)	(3.197)	(3.467)	(3.741)	(4.022)	(4.283)	(4.489)	
% of Gross Revenue	-5,5%	-6,0%	-5,6%	-5,8%	-5,8%	-5,8%	-5,5%	5,7%	5,7%	5,7%	5,7%	5,7%	5,7%	5,7%	5,7%	5,7%	5,7%	
(=) Net Revenue	**9.417**	**10.915**	**13.320**	**14.029**	**20.382**	**22.987**	**25.336**	**30.248**	**34.451**	**40.139**	**45.905**	**50.027**	**54.261**	**58.546**	**62.937**	**67.028**	**70.245**	
% YoY		15,9%	22,0%	5,3%	45,3%	12,8%	10,2%	19,4%	13,9%	16,5%	14,4%	9,0%	8,5%	7,9%	7,5%	6,5%	4,8%	

Rede D'Or Revenue – Base Scenario

Base Scenario														
Hospital Beds Maturation - Greenfield														
Already Delivered 2023		70	142	72	72	44	0	0	0	0	0	0	0	
Done in 2024		0	0	216	168	26	0	0	0	0	0	0	0	
Done in 2025		0	0	0	144	144	130	0	0	0	0	0	0	
Done in 2026		0	0	0	0	144	72	0	0	0	0	0	0	
Done in 2027		0	0	0	0	0	0	0	0	0	0	0	0	
Done in 2028		0	0	0	0	0	0	0	0	0	0	0	0	
Total Greenfield		70	142	288	384	358	202	0	0	0	0	0	0	
Hospital Beds Maturation - Brownfield														
Already Delivered		220	235	0	0	0	0	0	0	0	0	0	0	
Done in 2024		0	0	285	184	85	22	0	0	0	0	0	0	
Done in 2025		0	0	0	373	153	72	40	0	0	0	0	0	
Done in 2026		0	0	0	0	642	131	72	72	0	0	0	0	
Done in 2027		0	0	0	0	0	0	0	0	0	0	0	0	
Done in 2028		0	0	0	0	0	0	0	0	0	0	0	0	
Total Brownfield		220	235	285	557	880	225	112	72	0	0	0	0	

Rede D'Or Revenue – Bull Scenario

Optimistic Scenario													
Hospital Beds Maturation - Greenfield													
Already Delivered 2023	70	142	72	72	44	0	0	0	0	0	0	0	
Done in 2024	0	0	216	168	26	0	0	0	0	0	0	0	
Done in 2025	0	0	0	144	144	130	0	0	0	0	0	0	
Done in 2026	0	0	0	0	144	72	0	0	0	0	0	0	
Done in 2027	0	0	0	0	0	72	33	0	0	0	0	0	
Done in 2028	0	0	0	0	0	0	72	48	0	0	0	0	
Total Greenfield	70	142	288	384	358	274	33	0	0	0	0	0	
Hospital Beds Maturation - Brownfield													
Already Delivered	220	235	0	0	0	0	0	0	0	0	0	0	
Done in 2024	0	0	285	184	85	22	0	0	0	0	0	0	
Done in 2025	0	0	0	373	153	72	40	0	0	0	0	0	
Done in 2026	0	0	0	0	642	131	72	72	0	0	0	0	
Done in 2027	0	0	0	0	0	352	120	33	0	0	0	0	
Done in 2028	0	0	0	0	0	0	671	140	16	0	0	0	
Total Brownfield	220	235	285	557	880	577	903	245	16	0	0	0	

Rede D'Or Revenue – Bear Scenario

Pessimistic Scenario													
Hospital Beds Maturation - Greenfield													
Already Delivered 2023	70	142	72	72	44	0	0	0	0	0	0	0	
Done in 2024	0	0	216	168	26	0	0	0	0	0	0	0	
Done in 2025	0	0	0	144	144	130	0	0	0	0	0	0	
Done in 2026	0	0	0	0	0	0	0	0	0	0	0	0	
Done in 2027	0	0	0	0	0	0	0	0	0	0	0	0	
Done in 2028	0	0	0	0	0	0	0	0	0	0	0	0	
Total Greenfield	70	142	288	384	214	130	0	0	0	0	0	0	
Hospital Beds Maturation - Brownfield													
Already Delivered	220	235	0	0	0	0	0	0	0	0	0	0	
Done in 2024	0	0	285	184	85	22	0	0	0	0	0	0	
Done in 2025	0	0	0	373	153	72	40	0	0	0	0	0	
Done in 2026	0	0	0	0	0	0	0	0	0	0	0	0	
Done in 2027	0	0	0	0	0	0	0	0	0	0	0	0	
Done in 2028	0	0	0	0	0	0	0	0	0	0	0	0	
Total Brownfield	220	235	285	557	238	94	40	0	0	0	0	0	

Rede D'Or COGS

COGS and Operating Revenues/Expenses																	
(-) COGS	**(6.881)**	**(8.109)**	**(9.839)**	**(11.462)**	**(15.572)**	**(17.785)**	**(19.356)**	**(22.868)**	**(25.872)**	**(30.104)**	**(34.337)**	**(37.520)**	**(40.696)**	**(43.909)**	**(47.203)**	**(50.271)**	**(52.824)**
% YoY		17,8%	21,3%	16,5%	35,9%	14,2%	8,8%	18,1%	13,1%	16,4%	14,1%	9,3%	8,5%	7,9%	7,5%	6,5%	5,1%
Mat and Med	(1.779)	(2.197)	(2.798)	(3.363)	(5.011)	(5.305)	(5.737)	(6.352)	(7.235)	(8.429)	(9.640)	(10.506)	(11.395)	(12.295)	(13.217)	(14.076)	(14.751)
% of Revenue	18,9%	20,1%	21,0%	24,0%	24,6%	23,1%	22,6%	21,0%	21,0%	21,0%	21,0%	21,0%	21,0%	21,0%	21,0%	21,0%	21,0%
Third Party Services	(1.506)	(1.866)	(1.999)	(2.461)	(3.439)	(4.295)	(4.808)	(5.142)	(5.857)	(6.824)	(7.804)	(8.505)	(9.224)	(9.953)	(10.699)	(11.395)	(11.942)
% of Revenue	16,0%	17,1%	15,0%	17,5%	16,9%	18,7%	19,0%	17,0%	17,0%	17,0%	17,0%	17,0%	17,0%	17,0%	17,0%	17,0%	17,0%
Others	(3.595)	(4.046)	(5.042)	(5.638)	(7.123)	(8.185)	(8.811)	(11.373)	(12.781)	(14.851)	(16.893)	(18.510)	(20.077)	(21.662)	(23.287)	(24.800)	(26.131)
(=) Gross Profit	**2.536**	**2.806**	**3.481**	**2.567**	**4.810**	**5.202**	**5.980**	**7.381**	**8.578**	**10.035**	**11.568**	**12.507**	**13.565**	**14.636**	**15.734**	**16.757**	**17.421**
% YoY		10,6%	24,1%	-26,2%	87,3%	8,2%	15,0%	23,4%	16,2%	17,0%	15,3%	8,1%	8,5%	7,9%	7,5%	6,5%	4,0%
% Gross Margin	**26,9%**	**25,7%**	**26,1%**	**18,3%**	**23,6%**	**22,6%**	**23,6%**	**24,4%**	**24,9%**	**25,0%**	**25,2%**	**25,0%**	**25,0%**	**25,0%**	**25,0%**	**25,0%**	**24,8%**
(-) Operating Revenues / Expenses	**(529)**	**(528)**	**(705)**	**(930)**	**(1.141)**	**(1.304)**	**(1.309)**	**(1.119)**	**(1.275)**	**(1.485)**	**(1.698)**	**(1.851)**	**(2.008)**	**(2.166)**	**(2.329)**	**(2.480)**	**(2.599)**
SG&A	(324)	(412)	(474)	(721)	(919)	(927)	(735)	(756)	(861)	(1.003)	(1.148)	(1.251)	(1.357)	(1.464)	(1.573)	(1.676)	(1.756)
Others	(205)	(116)	(231)	(209)	(222)	(377)	(574)	(363)	(413)	(482)	(551)	(600)	(651)	(703)	(755)	(804)	(843)

Rede D'Or Working Capital

REDE D'OR

Working Capital

Operating Working Capital	**2.408**	**2.797**	**3.710**	**4.534**	**6.923**	**7.067**	**7.796**	**9.189**	**10.463**	**12.187**	**13.941**	**15.200**	**16.487**	**17.790**	**19.125**	**20.370**	**21.351**
Δ Operating Working Capital		389	913	823	2.389	144	729	1.393	1.274	1.725	1.753	1.259	1.287	1.303	1.335	1.245	981
Current Operating Assets	**3.253**	**3.761**	**4.718**	**6.051**	**8.707**	**8.323**	**9.151**	**10.679**	**12.162**	**14.170**	**16.206**	**17.661**	**19.156**	**20.669**	**22.219**	**23.663**	**24.799**
Operational Cash	188	218	266	281	408	460	507	605	689	803	918	1001	1085	1171	1259	1341	1405
Accounts Receivable of Hospital Serives	2.836	3.259	4.117	5.163	7.564	7.055	7.939	9.291	10.581	12.328	14.099	15.365	16.666	17.982	19.331	20.587	21.575
Inventory	229	284	335	607	735	808	705	783	892	1.039	1.188	1.295	1.405	1.516	1.629	1.735	1.819
Current Operating Liabilities	**845**	**964**	**1.008**	**1.517**	**1.784**	**1.256**	**1.355**	**1.490**	**1.700**	**1.983**	**2.265**	**2.462**	**2.669**	**2.879**	**3.094**	**3.293**	**3.448**
Accounts Payable	475	528	498	846	990	1.256	1.355	1.490	1.700	1.983	2.265	2.462	2.669	2.879	3.094	3.293	3.448
Labor and social security obligations	370	436	510	671	794												
PMR, PME, PMP																	
Prazo Médio de Recebimento	**99**	**97**	**100**	**119**	**121**	**100**	**102**	**100**	**100**	**100**	**100**	**100**	**100**	**100**	**100**	**100**	**100**
Accounts Receivable of Hospital Services	2.836	3.259	4.117	5.163	7.564	7.055	7.939	9.291	10.581	12.328	14.099	15.365	16.666	17.982	19.331	20.587	21.575
Gross Revenue	10.473	12.315	14.989	15.777	22.803	25.770	28.429	33.911	38.622	44.998	51.463	56.084	60.831	65.634	70.557	75.143	78.750
Prazo Médio de Estoque	**47**	**47**	**44**	**66**	**54**	**56**	**45**	**45**	**45**	**45**	**45**	**45**	**45**	**45**	**45**	**45**	**45**
Inventory	229	284	335	607	735	808	705	783	892	1.039	1.188	1.295	1.405	1.516	1.629	1.735	1.819
Mat and Met	1.779	2.197	2.798	3.363	5.011	5.305	5.737	6.352	7.235	8.429	9.640	10.506	11.395	12.295	13.217	14.076	14.751
Prazo Médio de Pagamento	**52**	**47**	**37**	**51**	**42**	**47**	**47**	**47**	**47**	**47**	**47**	**47**	**47**	**47**	**47**	**47**	**47**
Accounts Payable	475	528	498	846	990	1256	1355	1.490	1.700	1.983	2.265	2.462	2.669	2.879	3.094	3.293	3.448
Mat and Met	1.779	2.197	2.798	3.363	5.011	5.305	5.737	6.352	7.235	8.429	9.640	10.506	11.395	12.295	13.217	14.076	14.751
Third Party Services	1.506	1.866	1.999	2.461	3.439	4.295	4.808	5.142	5.857	6.824	7.804	8.505	9.224	9.953	10.699	11.395	11.942
Δ Inventory	45	55	51	272	128	73	(103)	78	109	147	149	107	110	111	114	106	83
Cash Cycle	**94**	**97**	**106**	**135**	**132**	**108**											

Consolidated Revenue

Revenue											
Gross Revenue	**55.396**	**65.912**	**72.522**	**80.868**	**89.372**	**96.137**	**103.108**	**110.271**	**117.702**	**124.906**	**131.281**
Hospitals, oncology and others	28.429	33.911	38.622	44.998	51.463	56.084	60.831	65.634	70.557	75.143	78.750
Insurance and pension	26.967	32.001	33.901	35.869	37.910	40.053	42.277	44.637	47.145	49.763	52.531
(-) Intercompany Eliminations	(5.438)	(6.443)	(7.338)	(8.550)	(9.778)	(10.656)	(11.558)	(12.471)	(13.406)	(14.277)	(14.962)
Rate	19%	19%	19%	19%	19%	19%	19%	19%	19%	19%	19%
Gross Revenue	**49.958**	**59.469**	**65.184**	**72.318**	**79.595**	**85.481**	**91.551**	**97.801**	**104.296**	**110.629**	**116.318**
Hospitals, oncology and others	22.991	27.468	31.284	36.449	41.685	45.428	49.273	53.164	57.151	60.866	63.787
Insurance and pension	26.967	32.001	33.901	35.869	37.910	40.053	42.277	44.637	47.145	49.763	52.531
(-) Deductions from Gross Revenue	**(3.012)**	**(3.870)**	**(4.316)**	**(4.898)**	**(5.490)**	**(5.938)**	**(6.398)**	**(6.868)**	**(7.353)**	**(7.815)**	**(8.204)**
Gloss	1.523	(1.729)	(1.970)	(2.295)	(2.625)	(2.860)	(3.102)	(3.347)	(3.598)	(3.832)	(4.016)
% of Rede D'Or's Gross Revenue	-5,4%	5,1%	5,1%	5,1%	5,1%	5,1%	5,1%	5,1%	5,1%	5,1%	5,1%
Taxes	(1.778)	(2.141)	(2.347)	(2.603)	(2.865)	(3.077)	(3.296)	(3.521)	(3.755)	(3.983)	(4.187)
% of Gross Revenue	3,6%	3,6%	3,6%	3,6%	3,6%	3,6%	3,6%	3,6%	3,6%	3,6%	3,6%
(=) Net Revenue	**46.946**	**55.599**	**60.868**	**67.420**	**74.105**	**79.543**	**85.152**	**90.933**	**96.943**	**102.814**	**108.114**
% YoY		18,4%	9,5%	10,8%	9,9%	7,3%	7,1%	6,8%	6,6%	6,1%	5,2%

Consolidated COGS

COGS and Operating Assets											
COGS	**(44.121)**	**(51.063)**	**(54.956)**	**(60.743)**	**(66.611)**	**(71.510)**	**(76.485)**	**(81.586)**	**(86.875)**	**(92.037)**	**(96.804)**
Hospitals, oncology and others	(19.356)	(22.868)	(25.872)	(30.104)	(34.337)	(37.520)	(40.696)	(43.909)	(47.203)	(50.271)	(52.824)
Insurance and pension	(24.765)	(28.195)	(29.083)	(30.639)	(32.274)	(33.989)	(35.789)	(37.677)	(39.673)	(41.766)	(43.979)
Intercompany Eliminations	5.438	6.443	7.338	8.550	9.778	10.656	11.558	12.471	13.406	14.277	14.962
(-) COGS	**(38.765)**	**(44.620)**	**(47.618)**	**(52.194)**	**(56.833)**	**(60.854)**	**(64.927)**	**(69.116)**	**(73.469)**	**(77.760)**	**(81.841)**
Hospitals, oncology and others	(19.356)	(22.868)	(25.872)	(30.104)	(34.337)	(37.520)	(40.696)	(43.909)	(47.203)	(50.271)	(52.824)
Insurance and pension	(19.327)	(21.752)	(21.745)	(22.090)	(22.496)	(23.333)	(24.231)	(25.206)	(26.267)	(27.489)	(29.017)
Operating costs	**(19.409)**	**(28.195)**	**(29.083)**	**(30.639)**	**(32.274)**	**(33.989)**	**(35.789)**	**(37.677)**	**(39.673)**	**(41.766)**	**(43.979)**
(=) Gross Profit	**8.182**	**10.979**	**13.250**	**15.226**	**17.271**	**18.689**	**20.225**	**21.817**	**23.474**	**25.054**	**26.273**
% Gross Margin	17,4%	19,7%	21,8%	22,6%	23,3%	23,5%	23,8%	24,0%	24,2%	24,4%	24,3%
(+/-) Operational Revenue/Expenses	**(2.997)**	**(3.671)**	**(3.978)**	**(4.346)**	**(4.722)**	**(5.045)**	**(5.379)**	**(5.726)**	**(6.089)**	**(6.449)**	**(6.789)**
SG&A	(2.468)	(3.287)	(3.543)	(3.843)	(4.149)	(4.423)	(4.707)	(5.002)	(5.312)	(5.623)	(5.924)
Others	(529)	(385)	(435)	(503)	(572)	(622)	(673)	(724)	(777)	(826)	(865)

Consolidated Working Capital

Working Capital												
Operating Working Capital		2.504,1	**3.947,8**	**4.816,4**	**6.068,8**	**7.337,5**	**8.163,4**	**9.002,9**	**9.838,6**	**10.683,6**	**11.436,7**	**11.941,1**
Δ Operating Working Capital			**1.443,6**	**868,6**	**1.252,4**	**1.268,7**	**825,9**	**839,5**	**835,8**	**845,0**	**753,0**	**504,5**
Current Operating Assets		**9.645,0**	**12.441,0**	**13.981,0**	**16.020,9**	**18.092,2**	**19.623,5**	**21.198,3**	**22.799,7**	**24.447,6**	**26.003,6**	**27.279,8**
Accounts Receivable of Hospital Services		6.969,7	9.291	10.581	12.328	14.099	15.365	16.666	17.982	19.331	20.587	21.575
Accounts Receivable of Insurance and ASO		1.969,4	2.367	2.508	2.653	2.804	2.963	3.127	3.302	3.487	3.681	3.886
Inventories		705,9	783	892	1.039	1.188	1.295	1.405	1.516	1.629	1.735	1.819
Current Operating Liabilities		**7.140,9**	**8.493,2**	**9.164,6**	**9.952,1**	**10.754,7**	**11.460,1**	**12.195,4**	**12.961,0**	**13.763,9**	**14.566,9**	**15.338,7**
Trade Account Payable		1.355,7	1.490,2	1.699,7	1.983,0	2.265,4	2.461,6	2.669,2	2.879,0	3.094,2	3.293,4	3.447,9
Salaries, Provisions and Social Charges		1.101,2	1304,2	1427,8	1581,4	1738,2	1865,8	1997,4	2133,0	2274,0	2411,7	2536,0
Insurances Liabilities		4.684,0	5.698,9	6.037,1	6.387,7	6.751,0	7.132,7	7.528,8	7.949,1	8.395,7	8.861,9	9.354,8
PMR, PME, PMP												
Prazo Médio de Recebimento		**70**	**77**	**78**	**81**	**83**	**84**	**85**	**85**	**86**	**86**	**86**
Accounts Receivable		8.939,1	11.657,8	13.089,0	14.981,7	16.903,7	18.328,3	19.793,4	21.283,9	22.818,1	24.268,2	25.461,1
Net Revenue		46.946,4	55.599	60.868	67.420	74.105	79.543	85.152	90.933	96.943	102.814	108.114
Prazo Médio de Estoque		**45**	45	45	45	45	45	45	45	45	45	45
Inventory		705,0	783,1	891,9	1.039,2	1.188,5	1.295,2	1.404,9	1.515,8	1.629,5	1.735,4	1.818,7
Mat and Med		5.736,8	6.352	7.235	8.429	9.640	10.506	11.395	12.295	13.217	14.076	14.751
Prazo Médio de Pagamento		**47**	47	47	47	47	47	47	47	47	47	47
Trade Account Payable		1.355,0	1.490,2	1.699,7	1.983,0	2.265,4	2.461,6	2.669,2	2.879,0	3.094,2	3.293,4	3.447,9
Mat and Med		5.736,8	6.352	7.235	8.429	9.640	10.506	11.395	12.295	13.217	14.076	14.751
Third Party Services		4.808	5.142	5.857	6.824	7.804	8.505	9.224	9.953	10.699	11.395	11.942
Δ Invetories		(103)	78	109	147	149	107	110	111	114	106	83
Prazo de Pagamento de Salários		**9**	9	9	9	9	9	9	9	9	9	9
Labor and social security obligations	982,1	1101,2	1304,2	1427,8	1581,4	1738,2	1865,8	1997,4	2133,0	2274,0	2411,7	2536,0
Receita Líquida	Não Existe	46.946,4	55.598,7	60.868,0	67.419,8	74.104,5	79.543,0	85.152,4	90.932,6	96.943,2	102.813,8	108.114,4
Prazo de Passivos de Seguros	63	65	65	65	65	65	65	65	65	65	65	65
Insurances Liabilities	3989	4.684,0	5.698,9	6.037,1	6.387,7	6.751,0	7.132,7	7.528,8	7.949,1	8.395,7	8.861,9	9.354,8
SulAmérica's Net Revenue	23000	26.272,5	32.001,4	33.900,7	35.869,4	37.909,7	40.052,6	42.277,3	44.637,0	47.145,3	49.762,9	52.530,7
Insurances Liabilities Long term		12.458,5	14.247,2	15.092,8	15.969,2	16.877,6	17.831,6	18.822,1	19.872,6	20.989,3	22.154,7	23.387,0
Proportion ST Insurances / LT Insurances		0,4	0,4	0,4	0,4	0,4	0,4	0,4	0,4	0,4	0,4	0,4
Provisões Técnicas - 98% of Total Insurances Liabilities			19.547,2	20.707,3	21.909,8	23.156,1	24.465,0	25.823,9	27.265,3	28.797,4	30.396,3	32.086,9
Cash Cycle		67	75	76	79	81	82	83	83	84	84	84

CAPEX

REDE D'OR

| CAPEX | | |

CAPEX - Base Scenario

REDE D'OR

Base Scenario													
Greenfield - Estimated CAPEX per Hospital													
Already Delivered	**Total CAPEX**												
Itaim (Maternidade) - 2022	217,9			87,2	43,6								
Campinas - 2023	441,3			176,5	176,5	88,3							
Done in 2024													
Memorial Star (Fase 1)	405,4				162,2	162,2	81,1						
Macaé (Fase 1)	226,0				90,4	90,4	45,2						
Alphaville (Fase 1)	392,5				157,2	157,2	78,6						
Done in 2025													
Guarulhos (Fase 1)	446,5						178,6	178,6	89,3				
Novo Barra	513,4						205,4	205,4	102,7				
Done in 2026													
Taubaté (Fase 1)	119,1							47,6	47,6	23,8			
Novo Aviccena	183,7							73,5	73,5	36,7			
Done in 2027													
São Conrado	265,2								0,0	0,0	0,0		
Done in 2028													
Santos	156,8									0,0	0,0	0,0	
Brownfield - Estimated CAPEX per hospital													
Already Delivered													
CEMA (Fase 1) - 2022	10,2			4,1	2,0								
São Vicente (Fase 1) - 2022	61,7			24,7	12,3								
São Rafael (Fase 1) - 2022	34,9			14,0	7,0								
Sino Torre - 2022	184,9			74,0	37,0								
Projetos Diversos - 2022	19,6			7,8	3,9								
Cardio Pulmonar (Fase 2) - 2023	26,7			10,7	10,7	5,3							
CEMA (Fase 2) - 2023	26,5			10,6	10,6	5,3							
Mauá (Fase 1) - 2023	8,5			3,4	3,4	1,7							
São Vicente (Fase 2) - 2023	60,1			24,0	24,0	12,0							
Ribeirão Pires (Fase 1) - 2023	6,1			2,4	2,4	1,2							
São Rafael (Fase 2) - 2023	40,5			16,2	16,2	8,1							
Expansões Diversas - 2023	4,7			1,9	1,9	0,9							
Done in 2024													
Aliança	347,7				139,1	139,1	69,5						
Itaim Torre	282,3				112,9	112,9	56,5						
Serra Mayor (Fase 1)	12,1				4,8	4,8	2,4						
Atibaia (Fase 1)	16,1				6,4	6,4	3,2						
Santa Isabel (Fase 1)	10,0				4,0	4,0	2,0						
Central Leste (Fase 1)	8,0				3,2	3,2	1,6						
Diverse Expansions	461,9				184,8	184,8	92,4						
Done in 2025													
Ribeirão Pires (Fase 2)	38,1					15,2	15,2	7,6					
Assunção Torre (Fase 1)	299,6					119,8	119,8	59,9					
Serra Mayor (Fase 2)	20,1					8,0	8,0	4,0					
Santa Isabel (Fase 2)	27,5					11,0	11,0	5,5					
Oeste	112,0					44,8	44,8	22,4					
Santa Cruz	27,5					11,0	11,0	5,5					
Aeroporto (Fase 1)	35,7					14,3	14,3	7,1					
Expansões Diversas	496,0					198,4	198,4	99,2					
Done in 2026													
São Lucas	236,0						94,4	94,4	47,2				
Brasil Bloco C	561,5						224,6	224,6	112,3				
Atibaia (Fase 2)	112,3						44,9	44,9	22,5				
Santa Isabel (Fase 3)	26,5						10,6	10,6	5,3				
UDI Torre (Fase 1)	265,9						106,4	106,4	53,2				
São Carlos	63,9						25,6	25,6	12,8				
Nova Torre Caxias	125,1						50,0	50,0	25,0				
DF Star (Fase 1)	156,5						62,6	62,6	31,3				
Vivalle	47,7						19,1	19,1	9,5				
Central Leste (Fase 2)	87,8						35,1	35,1	17,6				
Done in 2027													
Ribeirão Pires (Fase 3)	84,5							-	-	0			
Mauá (Fase 2)	277,5							-	-	0			
Proncor	102,5							-	-	0			
Artur Ramos	78,1							-	-	0			
BH Star	306,0							-	-	0			
Done in 2028													
Assunção Torre (Fase 2)	62,8								-	0	0		
DF Star (Fase 2)	162,3								-	0	0		
Projeto Lote 4	174,5								-	0	0		
Nossa Senhora das Neves	90,3								-	0	0		
Circular do Bosque	94,2								-	0	0		
Esperança	74,4								-	0	0		
Santa Cruz (Fase 2)	98,1								-	0	0		
Aeroporto (Fase 2)	133,8								-	0	0		
São Luiz Jabaquara	80,3								-	0	0		
Quinta (Fase 1)	244,7								-	0	0		

CAPEX - Bear Scenario

REDE D'OR

Pessimistic Scenario

Greenfield - Estimated CAPEX per Hospital

| | Total CAPEX | | |

CAPEX - Bull Scenario

REDE D'OR

Optimistic Scenario

Greenfield - Estimated CAPEX per Hospital

	Total CAPEX																							
Already Delivered																								
Itaim (Maternidade) - 2022	217,9			87,2	43,6																			
Campinas - 2023	441,3			176,5	176,5		88,3																	
Done in 2024																								
Memorial Star (Fase 1)	405,4				162,2		162,2		81,1															
Macaé (Fase 1)	226,0				90,4		90,4		45,2															
Alphaville (Fase 1)	392,9				157,2		157,2		78,6															
Done in 2025																								
Guarulhos (Fase 1)	446,5							178,6		178,6		89,3												
Novo Barra	513,4							205,4		205,4		102,7												
Done in 2026																								
Taubaté (Fase 1)	119,1									47,6		47,6		23,8										
Novo Aviccena	183,7									73,5		73,5		36,7										
Done in 2027																								
São Conrado	265,2											106,1		106,1		53,0								
Done in 2028																								
Santos	156,8													62,7		62,7		31,4						

Brownfield - Estimated CAPEX per hospital

Already Delivered																								
CEMA (Fase 1) - 2022	10,2			4,1	2,0																			
São Vicente (Fase 1) - 2022	61,7			24,7	12,3																			
São Rafael (Fase 1) - 2022	34,9			14,0	7,0																			
Sino Torre - 2022	184,9			74,0	37,0																			
Projetos Diversos - 2022	19,6			7,8	3,9																			
Cardio Pulmonar (Fase 2) - 2023	26,7			10,7	10,7		5,3																	
CEMA (Fase 2) - 2023	26,5			10,6	10,6		5,3																	
Mauá (Fase 1) - 2023	8,5			3,4	3,4		1,7																	
São Vicente (Fase 2) - 2023	60,1			24,0	24,0		12,0																	
Ribeirão Pires (Fase 1) - 2023	6,1			2,4	2,4		1,2																	
São Rafael (Fase 2) - 2023	40,5			16,2	16,2		8,1																	
Expansões Diversas - 2023	4,7			1,9	1,9		0,9																	
Done in 2024																								
Aliança	347,7				139,1		139,1		69,5															
Itaim Torre	282,3				112,9		112,9		56,5															
Serra Mayor (Fase 1)	12,1				4,8		4,8		2,4															
Atibaia (Fase 1)	16,1				6,4		6,4		3,2															
Santa Isabel (Fase 1)	10,0				4,0		4,0		2,0															
Central Leste (Fase 1)	8,0				3,2		3,2		1,6															
Diverse Expansions	461,9				184,8		184,8		92,4															
Done in 2025																								
Ribeirão Pires (Fase 2)	38,1						15,2		15,2		7,6													
Assunção Torre (Fase 1)	299,6						119,8		119,8		59,9													
Serra Mayor (Fase 2)	20,1						8,0		8,0		4,0													
Santa Isabel (Fase 2)	27,5						11,0		11,0		5,5													
Oeste	112,0						44,8		44,8		22,4													
Santa Cruz	27,5						11,0		11,0		5,5													
Aeroporto (Fase 1)	35,7						14,3		14,3		7,1													
Expansões Diversas	496,0						198,4		198,4		99,2													
Done in 2026																								
São Lucas	236,0								94,4		94,4		47,2											
Brasil Bloco C	561,5								224,6		224,6		112,3											
Atibaia (Fase 2)	112,3								44,9		44,9		22,5											
Santa Isabel (Fase 3)	26,5								10,6		10,6		5,3											
UDI Torre (Fase 1)	265,9								106,4		106,4		53,2											
São Carlos	63,9								25,6		25,6		12,8											
Nova Torre Caxias	125,1								50,0		50,0		25,0											
DF Star (Fase 1)	156,5								62,6		62,6		31,3											
Vivalle	47,7								19,1		19,1		9,5											
Central Leste (Fase 2)	87,8								35,1		35,1		17,6											
Done in 2027																								
Ribeirão Pires (Fase 3)	84,5										33,8		33,8		16,9									
Mauá (Fase 2)	277,5										111,0		111,0		55,5									
Proncor	102,5										41,0		41,0		20,5									
Artur Ramos	78,1										31,2		31,2		15,6									
BH Star	306,0										122,4		122,4		61,2									
Done in 2028																								
Assunção Torre (Fase 2)	62,8												25,1		25,1		12,6							
DF Star (Fase 2)	162,3												64,9		64,9		32,5							
Projeto Lote 4	174,5												69,8		69,8		34,9							
Nossa Senhora das Neves	90,3												36,1		36,1		18,1							
Circular do Bosque	94,2												37,7		37,7		18,8							
Esperança	74,4												29,8		29,8		14,9							
Santa Cruz (Fase 2)	98,1												39,2		39,2		19,6							
Aeroporto (Fase 2)	133,8												53,5		53,5		26,8							
São Luiz Jabaquara	80,3												32,1		32,1		16,1							
Quinta (Fase 1)	244,7												97,9		97,9		48,9							

PP&E and Depreciation

PP&E												
Old PP&E												
PP&E BoP			11.106,0	12.909,0	12.149,6	11.390,3	10.630,9	9.871,6	9.112,2	8.352,9	7.593,5	6.834,2	6.074,8
(-) Depreciation				(759,4)	(759,4)	(759,4)	(759,4)	(759,4)	(759,4)	(759,4)	(759,4)	(759,4)	(759,4)
(-) Baixas													
(+) Adições													
PP&E EoP		11.106,0	12.909,0	12.149,6	11.390,3	10.630,9	9.871,6	9.112,2	8.352,9	7.593,5	6.834,2	6.074,8	5.315,5
New PP&E													
PP&E BoP					2551	4501	5600	6313	7507	8733	9989	11275	12573
(-) Depreciation					(150)	(274)	(354)	(417)	(512)	(614)	(724)	(842)	(968)
(+) Adições				2551	2100	1373	1067	1611	1738	1870	2010	2141	2244
PP&E EoP				2551	4.500,9	5.600,4	6.312,6	7.506,6	8.732,7	9.988,6	11.274,7	12.573,3	13.848,6
Depreciation													
2024					(150)	(150)	(150)	(150)	(150)	(150)	(150)	(150)	(150)
2025						(124)	(124)	(124)	(124)	(124)	(124)	(124)	(124)
2026							(81)	(81)	(81)	(81)	(81)	(81)	(81)
2027								(63)	(63)	(63)	(63)	(63)	(63)
2028									(95)	(95)	(95)	(95)	(95)
2029										(102)	(102)	(102)	(102)
2030											(110)	(110)	(110)
2031												(118)	(118)
2032													(126)
2033													
2034													
2035													
2036													
Useful Life	17,00												
Total PP&E													
PP&E BoP				12909	14528	15536	15682	15431	15649	15888	16144	16416	16687
(-) Depreciation				(932)	(1.092)	(1.226)	(1.318)	(1.392)	(1.499)	(1.614)	(1.738)	(1.870)	(2.011)
(-) Baixas				0	0	0	0	0	0	0	0	0	0
(+) Adições				2.551	2.100	1.373	1.067	1.611	1.738	1.870	2.010	2.141	2.244
PP&E EoP				14.528	15.536	15.682	15.431	15.649	15.888	16.144	16.416	16.687	16.920

Intangible and Dividends

Intangible										
Old Intangible										
Intangible BoP	16.450	15799	15088	14445	13912	13659	13599	13599	13599	13599
(+) Acquisition of Intangible	0	0	0	0	0	0	0	0	0	0
(-) Goodwill Amortization	(651)	(711)	(643)	(533)	(253)	(60)	0	0	0	0
Intangible EoP	15.799	15.088	14.445	13.912	13.659	13.599	13.599	13.599	13.599	13.599
Dvidends										
Dividends	**1.572**	**2.388**	**2.882**	**8.512**	**9.658**	**11.681**	**11.373**	**18.835**	**14.056**	**14.382**
% of Net Profit	40%	40%	40%	100%	100%	110%	100%	150%	110%	110%

Debt

D eb t											
Gross Debt	34.586	47.460	50.174	53.428	57.866	60.474	64.982	70.474	71.663	76.647	85.353
EBITDA	6.359	9.492	11.668	13.357	15.228	16.798	18.566	20.135	21.716	23.226	24.387
Gross Debt/EBITDA	**5,4**	5,0	4,3	4,0	3,8	3,6	3,5	3,5	3,3	3,3	3,5
Gross Debt	34.586	47.460	50.174	53.428	57.866	60.474	64.982	70.474	71.663	76.647	85.353
Liabilities - Short Term	2.918	6.170	6.523	6.946	7.523	7.862	8.448	9.162	9.316	9.964	11.096
% of Gross Debt	8,4%	13%	13%	13%	13%	13%	13%	13%	13%	13%	13%
Liabilities - Long Term	31.668	41.290	43.652	46.482	50.344	52.612	56.535	61.312	62.347	66.682	74.257
% of Gross Debt	91,6%	87%	87%	87%	87%	87%	87%	87%	87%	87%	87%
Gross Debt BoP		34.586	47.460	50.174	53.428	57.866	60.474	64.982	70.474	71.663	76.647
(-) Amortization		(2.918)	(6.170)	(6.523)	(6.946)	(7.523)	(7.862)	(8.448)	(9.162)	(9.316)	(9.964)
(+) Contractions		15.792	8.884	9.777	11.384	10.130	12.370	13.939	10.350	14.300	18.671
Gross Debt EoP	34.586	47.460	50.174	53.428	57.866	60.474	64.982	70.474	71.663	76.647	85.353
Equity Value	56.000	83.197	90.021	97.374	101.041	105.344	110.073	117.679	120.481	130.314	142.614
E/(D+E)	61,8%	64%	64%	65%	64%	64%	63%	63%	63%	63%	63%
Debt	34.586	47.460	50.174	53.428	57.866	60.474	64.982	70.474	71.663	76.647	85.353
D/(D+E)	38,2%	36%	36%	35%	36%	36%	37%	37%	37%	37%	37%
	2,7	**2,2**	**1,7**	**1,3**	**1,3**	**1,3**	**1,4**	**1,4**	**1,7**	**1,7**	**1,7**

Consolidated Income Statement

Income Statement												
(=) Gross Revenue	**49.644**	**59.469**	**65.184**	**72.318**	**79.595**	**85.481**	**91.551**	**97.801**	**104.296**	**110.629**	**116.318**
(-) Deductions from Gross Revenue	**(3.012)**	(3.870)	(4.316)	(4.898)	(5.490)	(5.938)	(6.398)	(6.868)	(7.353)	(7.815)	(8.204)
(=) Net Revenue	**46.946**	**56.200**	**61.461**	**67.980**	**74.634**	**80.074**	**85.686**	**91.474**	**97.495**	**103.385**	**108.727**
% YoY		19,7%	9,4%	10,6%	9,8%	7,3%	7,0%	6,8%	6,6%	6,0%	5,2%
(-) COGS	**(38.765)**	**(44.620)**	**(47.618)**	**(52.194)**	**(56.833)**	**(60.854)**	**(64.927)**	**(69.116)**	**(73.469)**	**(77.760)**	**(81.841)**
(=) Gross Profit	**8.182**	**11.580**	**13.844**	**15.787**	**17.800**	**19.221**	**20.759**	**22.358**	**24.025**	**25.625**	**26.886**
% Gross Margin	17,4%										
(+/-) Operational Revenue/Expenses	**(2.997)**	**(3.671)**	**(3.978)**	**(4.346)**	**(4.722)**	**(5.045)**	**(5.379)**	**(5.726)**	**(6.089)**	**(6.449)**	**(6.789)**
SG&A	(2.468)	(3.287)	(3.543)	(3.843)	(4.149)	(4.423)	(4.707)	(5.002)	(5.312)	(5.623)	(5.924)
Others	(529)	(385)	(435)	(503)	(572)	(622)	(673)	(724)	(777)	(826)	(865)
(=) EBIT	**5.565**	7.909	9.865	11.441	13.079	14.175	15.380	16.632	17.937	19.176	20.097
% EBIT Margin	11%	14,1%	16,1%	16,8%	17,5%	17,7%	17,9%	18,2%	18,4%	18,5%	18,5%
(-) D&A	1.500	1.583	1.803	1.916	1.947	1.769	1.691	1.755	1.890	2.033	2.186
(=) EBITDA	**6.359**	**9.492**	**11.668**	**13.357**	**15.025**	**15.944**	**17.071**	**18.387**	**19.826**	**21.210**	**22.283**
% EBITDA Margin	13,5%	16,9%	19,0%	19,6%	20,1%	19,9%	19,9%	20,1%	20,3%	20,5%	20,5%
(+/-) Financial Result	**(3.013)**	**(1.956)**	**(820)**	**(523)**	**(238)**	**84**	**(112)**	**(457)**	**(135)**	**(1.059)**	**(1.540)**
Financial Revenue	4.447	3094	4518	4895	5552	5904	5947	6069	6499	6039	6368
Financial Expense	(7.460)	(5.050)	(5.339)	(5.418)	(5.789)	(5.820)	(6.058)	(6.526)	(6.634)	(7.097)	(7.908)
(=) EBT	**2.552**	5.953	9.045	10.918	12.841	14.259	15.268	16.175	17.801	18.118	18.557
% EBT Margin											
(+/-) Tax	(463)	(2.024)	(3.075)	(3.712)	(4.366)	(4.848)	(5.191)	(5.499)	(6.052)	(6.160)	(6.309)
Effective Tax rate (%)	17%	34,0%	34,0%	34,0%	34,0%	34,0%	34,0%	34,0%	34,0%	34,0%	34,0%
(=) Net Income	**2.089**	**3.929**	**5.970**	**7.206**	**8.475**	**9.411**	**10.077**	**10.675**	**11.749**	**11.958**	**12.248**
% Net Income Margin	4,4%	7,0%	9,7%	10,6%	11,4%	11,8%	11,8%	11,7%	12,1%	11,6%	11,3%

Rede D'Or Income Statement

Income Statement																	
(=) Gross Revenue	**10.473**	**12.315**	**14.989**	**15.777**	**22.803**	**25.770**	**28.429**	**33.911**	**38.622**	**44.998**	**51.463**	**56.084**	**60.831**	**65.634**	**70.557**	**75.143**	**78.750**
Hospital Services	9.823	11.532	13.876	14.386	20.991	23.436	25.693	30.605	34.794	40.466	46.155	50.209	54.362	58.602	62.997	67.092	70.312
Oncology	649	783	1.113	1.390	1.812	2.334	2.736	3.305	3.827	4.532	5.308	5.875	6.469	7.032	7.560	8.051	8.437
YoY %		17,6%	21,7%	5,3%	44,5%	13,0%	10,3%	19,3%	13,9%	16,5%	14,4%	9,0%	8,5%	7,9%	7,5%	6,5%	4,8%
(-) Deductions from Gross Revenue	**(1.055)**	**(1.400)**	**(1.669)**	**(1.747)**	**(2.421)**	**(2.782)**	**(3.093)**	(3.662)	(4.171)	(4.860)	(5.558)	(6.057)	(6.570)	(7.089)	(7.620)	(8.115)	(8.505)
Gloss	(476)	(662)	(834)	(834)	(1.103)	(1.290)	(1.523)	(1.729)	(1.970)	(2.295)	(2.625)	(2.860)	(3.102)	(3.347)	(3.598)	(3.832)	(4.016)
Taxes	(579)	(738)	(835)	(914)	(1.318)	(1.492)	(1.570)	(1.933)	(2.201)	(2.565)	(2.933)	(3.197)	(3.467)	(3.741)	(4.022)	(4.283)	(4.489)
(=) Net Revenue	**9.417**	**10.915**	**13.320**	**14.029**	**20.382**	**22.987**	**25.336**	**30.248**	**34.451**	**40.139**	**45.905**	**50.027**	**54.261**	**58.546**	**62.937**	**67.028**	**70.245**
% YoY		15,9%	22,0%	5,3%	45,3%	12,8%	10,2%	19,4%	13,9%	16,5%	14,4%	9,0%	8,5%	7,9%	7,5%	6,5%	4,8%
(-) COGS	**(6.881)**	**(8.109)**	**(9.839)**	**(11.462)**	**(15.572)**	**(17.785)**	**(19.356)**	**(22.868)**	**(25.872)**	**(30.104)**	**(34.337)**	**(37.520)**	**(40.696)**	**(43.909)**	**(47.203)**	**(50.271)**	**(52.824)**
(=) Gross Profit	**2.536**	**2.806**	**3.481**	**2.567**	**4.810**	**5.202**	**5.980**	**7.381**	**8.578**	**10.035**	**11.568**	**12.507**	**13.565**	**14.636**	**15.734**	**16.757**	**17.421**
% Gross Margin	26,9%	25,7%	26,1%	18,3%	23,6%	22,6%	23,6%	24,4%	24,9%	25,0%	25,2%	25,0%	25,0%	25,0%	25,0%	25,0%	24,8%
(+/-) Operational Revenue/Expenses	**(529)**	**(528)**	**(705)**	**(930)**	**(1.141)**	**(1.304)**	**(1.309)**	**(1.119)**	**(1.275)**	**(1.485)**	**(1.698)**	**(1.851)**	**(2.008)**	**(2.166)**	**(2.329)**	**(2.480)**	**(2.599)**
SG&A	(382)	(436)	(498)	(745)	(956)	(963)	(902)	(756)	(861)	(1.003)	(1.148)	(1.251)	(1.357)	(1.464)	(1.573)	(1.676)	(1.756)
Others	(147)	(92)	(207)	(185)	(185)	(340)	(407)	(363)	(413)	(482)	(551)	(600)	(651)	(703)	(755)	(804)	(843)
(=) EBIT	**2.007**	**2.278**	**2.776**	**1.637**	**3.669**	**3.899**	**4.671**	**6.261**	**7.304**	**8.550**	**9.870**	**10.656**	**11.558**	**12.470**	**13.406**	**14.277**	**14.822**
% EBIT Margin	21,3%	20,9%	20,8%	11,7%	18,0%	17,0%	18,4%	20,7%	21,2%	21,3%	21,5%	21,3%	21,3%	21,3%	21,3%	21,3%	21,1%
(-) D&A	(307)	(393)	(708)	(844)	(1.228)	(1.404)	(1.675)	(1.410)	(1.620)	(1.723)	(1.742)	(1.553)	(1.463)	(1.515)	(1.635)	(1.765)	(1.903)
(=) EBITDA	**2.314**	**2.671**	**3.484**	**2.481**	**4.897**	**5.303**	**6.346**	7.672	8.924	10.272	11.612	12.209	13.021	13.985	15.041	16.042	16.725
% EBITDA Margin	24,6%	24,5%	26,2%	17,7%	24,0%	23,1%	25,0%	25,4%	25,9%	25,6%	25,3%	24,4%	24,0%	23,9%	23,9%	23,9%	23,8%
(+/-) Financial Result	**(583)**	**(631)**	**(1.077)**	**(1.154)**	**(1.636)**	**(2.574)**											
Financial Expenses	(764)	(1.575)	(2.644)	(9.322)	(7.335)	(8.257)											
Financial Revenue	181	944	1.567	8.168	5.699	5.683											
(=) EBT	**1.424**	**1.647**	**1.699**	**483**	**2.033**	**1.325**											
% EBT Margin	15%	15%	13%	3%	10%	6%											
(+/-) Tax	(446)	(466)	(507)	(24)	(355)	(63)											
Effective Tax rate (%)																	
(=) Net Income	**978**	**1.181**	**1.192**	**459**	**1.678**	**1.262**											
% Net Income Margin	10%	11%	9%	3%	8%	5%											

Financial results in the consolidated

Sul América Income Statement

(=) Net Revenue	**17.762**	**19.831**	**18.176**	**19.216**	**20.363**	**26.272**	**32.001**	**33.901**	**35.869**	**37.910**	**40.053**	**42.277**	**44.637**	**47.145**	**49.763**	**52.531**
Premiums - Insurance	17.421	19.655	17.812	18.870	19.876	26.053	31.679	33.582	35.527	37.570	39.714	41.964	44.323	46.818	49.435	52.202
Others	571	635	794	889	783	797	322	319	343	339	338	314	314	327	328	329
% YoY		11,6%	-8,3%	5,7%	6,0%	29,0%	21,8%	5,9%	5,8%	5,7%	5,7%	5,6%	5,6%	5,6%	5,6%	5,6%
(-) COGS	**(15.735)**	**(17.321)**	**(15.966)**	**(16.605)**	**(19.066)**	**(24.765)**	**(28.195)**	**(29.083)**	**(30.639)**	**(32.274)**	**(33.989)**	**(35.789)**	**(37.677)**	**(39.673)**	**(41.766)**	**(43.979)**
(=) Gross Profit	**2.028**	**2.510**	**2.210**	**2.611**	**1.297**	**1.507**	**3.806**	**4.817**	**5.230**	**5.635**	**6.063**	**6.488**	**6.960**	**7.473**	**7.997**	**8.551**
% Gross Margin	11,4%	12,7%	12,2%	13,6%	6,4%	5,7%	11,9%	14,2%	14,6%	14,9%	15,1%	15,3%	15,6%	15,9%	16,1%	16,3%
(+/-) Operational Revenue/Expenses	**(1.589)**	**(1.746)**	**(1.352)**	**(1.633)**	**(1.577)**	**(1.688)**	**(2.552)**	**(2.704)**	**(2.861)**	**(3.023)**	**(3.194)**	**(3.372)**	**(3.560)**	**(3.760)**	**(3.969)**	**(4.190)**
SG&A	(1.633)	(1.785)	(1.355)	(1.593)	(1.569)	(1.519)	(2.531)	(2.682)	(2.839)	(3.002)	(3.173)	(3.350)	(3.538)	(3.738)	(3.947)	(4.168)
Others	44	39	3	(39)	(8)	(169)	(22)	(22)	(22)	(22)	(22)	(22)	(22)	(22)	(22)	(22)
(=) EBIT	**439**	**764**	**858**	**979**	**(280)**	**(58)**	**1.254**	**2.114**	**2.369**	**2.612**	**2.869**	**3.117**	**3.400**	**3.713**	**4.028**	**4.362**
% EBIT Margin	2,5%	3,9%	4,7%	5,1%	-1,4%	-0,2%	3,9%	6,2%	6,6%	6,9%	7,2%	7,4%	7,6%	7,9%	8,1%	8,3%
(-) D&A	120	51	120	127	147	71	172,6	182,8	193,5	204,5	216,0	228,0	240,8	254,3	268,4	283,3
% of Net Revenue	0,7%	0,3%	0,7%	0,7%	0,7%	0,3%	0,5%	0,5%	0,5%	0,5%	0,5%	0,5%	0,5%	0,5%	0,5%	0,5%
(=) EBITDA	**559**	**815**	**977**	**1.105**	**-133**	**13**	**1.427**	**2.297**	**2.563**	**2.816**	**3.085**	**3.345**	**3.641**	**3.967**	**4.296**	**4.645**
% EBITDA Margin	3,1%	4,1%	5,4%	5,8%	-0,7%	0,0%	4,5%	6,8%	7,1%	7,4%	7,7%	7,9%	8,2%	8,4%	8,6%	8,8%
(+/-) Financial Result	**817**	**616**	**462**	**124**	**280**											
Financial Revenue	2.081	2.126	2.096	3.452	3.072											
Financial Expenses	(1.264)	(1.510)	(1.635)	(3.328)	(2.792)											
(=) EBT	**1.256**	**1.380**	**1.319**	**1.102**	**(0)**											
(-) IR/CSLL	(480)	(475)	(285)	(305)	333											
%																
(=) Net Income	**776**	**905**	**1.182**	**2.347**	**333**											
% Net Margin	4,4%	4,6%	6,5%	12,2%	1,6%											

Consolidated Balance Sheet

REDE D'OR

Balance Sheet												
Current Assets	**40.624**	**43.123**	**60.528**	**67.250**	**76.206**	**81.986**	**83.967**	**86.826**	**92.957**	**89.759**	**94.785**	**103.290**
New cash and cash equivalents			**17.876**	**23.058**	**29.974**	**33.683**	**34.133**	**35.417**	**39.946**	**35.100**	**38.570**	**45.799**
Cash and Cash Equivalents	1.110	3.267										
Financial Investments	29.237	28.464	28.464	28.464	28.464	28.464	28.464	28.464	28.464	28.464	28.464	28.464
Accounts Receivable	7.911	8.939	11.658	13.089	14.982	16.904	18.328	19.793	21.284	22.818	24.268	25.461
Inventory	809	706	783	892	1.039	1.188	1.295	1.405	1.516	1.629	1.735	1.819
Tax Recoverable	657	1.003	1.003	1.003	1.003	1.003	1.003	1.003	1.003	1.003	1.003	1.003
Derivatives	252	50	50	50	50	50	50	50	50	50	50	50
Other Assets	649	695	695	695	695	695	695	695	695	695	695	695
Non-Current Assets	**46.054**	**47.219**	**48.187**	**49.278**	**49.563**	**49.161**	**49.143**	**49.351**	**49.645**	**49.958**	**50.271**	**50.543**
Deferred Tax Assets	3.366	3.600	3.600	3.600	3.600	3.600	3.600	3.600	3.600	3.600	3.600	3.600
Investments	2.553	2.564	2.564	2.564	2.564	2.564	2.564	2.564	2.564	2.564	2.564	2.564
PP&E	11.106	12.909	14.528	16.330	17.258	17.389	17.624	17.892	18.186	18.499	18.812	19.084
Intangibles	16.478	16.450	15.799	15.088	14.445	13.912	13.659	13.599	13.599	13.599	13.599	13.599
Derivatives	2.488	1.918	1.918	1.918	1.918	1.918	1.918	1.918	1.918	1.918	1.918	1.918
Other Assets	10.063	9.778	9.779	9.779	9.779	9.779	9.779	9.779	9.779	9.779	9.779	9.779
Total Assets	**86.678**	**90.342**	**108.714**	**116.528**	**125.769**	**131.147**	**133.111**	**136.178**	**142.601**	**139.717**	**145.055**	**153.833**
Current Liabilities	**14.751**	**14.238**	**18.841**	**19.866**	**21.076**	**22.356**	**23.100**	**24.141**	**25.506**	**26.448**	**27.844**	**29.656**
Fornecedores	1.257	1.356	1.490	1.700	1.983	2.265	2.462	2.669	2.879	3.094	3.293	3.448
Revolver												
Debt	4.973	2.918	6.170	6.523	6.946	7.422	7.462	7.767	8.366	8.505	9.099	10.139
Labor and social security obligations	982	1.101	1.304	1.428	1.581	1.738	1.866	1.997	2.133	2.274	2.412	2.536
Tax obligations	788	758	758	758	758	758	758	758	758	758	758	758
Liabilities of insurance contracts	3.913	4.684	5.699	6.037	6.388	6.751	7.133	7.529	7.949	8.396	8.862	9.355
Derivatives	828	640	640	640	640	640	640	640	640	640	640	640
Other Liabilities	2.011	2.781	2.781	2.781	2.781	2.781	2.781	2.781	2.781	2.781	2.781	2.781
Non-Current Liabilities	**49.219**	**52.269**	**63.680**	**66.887**	**70.595**	**74.694**	**75.912**	**78.946**	**84.005**	**86.053**	**91.191**	**99.382**
Debt	27.910	31.668	41.290	43.652	46.482	49.673	49.937	51.981	55.990	56.921	60.893	67.852
Deferred Tax Liabilities	241	200	200	200	200	200	200	200	200	200	200	200
Passivos de Contratos de Seguros	11.229	12.459	14.247	15.093	15.969	16.878	17.832	18.822	19.873	20.989	22.155	23.387
Derivatives	1.131	571	571	571	571	571	571	571	571	571	571	571
Other Liabilities	8.709	7.372	7.372	7.372	7.372	7.372	7.372	7.372	7.372	7.372	7.372	7.372
Equity	**22.708**	**23.836**	**26.193**	**29.775**	**34.098**	**34.098**	**34.098**	**33.090**	**33.090**	**27.216**	**26.020**	**24.796**
Capital Social	15.711	15.711	15.711	15.711	15.711	15.711	15.711	15.711	15.711	15.711	15.711	15.711
Reservas de Capital	4.915	4.915	4.915	4.915	4.915	4.915	4.915	4.915	4.915	4.915	4.915	4.915
Reservas de Lucros	1.300	1.914	4.271	7.853	12.176	12.176	12.176	11.169	11.169	5.294	4.099	2.874
Participação de Acionistas não Controladores	1.265	1.296	1.296	1.296	1.296	1.296	1.296	1.296	1.296	1.296	1.296	1.296
Total Equity and Liabilities	**86.678**	**90.342**	**108.715**	**116.528**	**125.769**	**131.148**	**133.111**	**136.178**	**142.602**	**139.717**	**145.056**	**153.833**

Rede D'Or Balance Sheet

Balance Sheet					
Current Assets	**6.614**	**8.055**	**9.729**	**22.432**	**21.890**
Cash and cash equivalents	140	192	69	147	125
Marketable securities	3.120	3.865	4.701	15.580	12.430
Accounts receivable	2.837	3.259	4.118	5.164	7.565
Inventories	229	284	335	608	735
Tax Recoverable	116	117	91	298	423
Derivative financial instruments	9	82	117	266	182
Receivables from disposal of properties	-	18	40	18	19
Other Assets	161	238	258	350	412
Non-Current Assets	**8.099**	**10.974**	**16.870**	**23.225**	**30.591**
Deferred Tax Assets	113	196	319	529	792
Investments	90	145	1.227	1.089	2.326
PP&E	3.956	4.995	6.439	7.369	9.097
Intangibles	3.557	4.813	5.365	7.810	10.631
Other Assets	383	827	3.520	6.428	7.745
Total Assets	**14.713**	**19.029**	**26.600**	**45.657**	**52.481**
Current Liabilities	**2.135**	**2.181**	**2.693**	**3.861**	**5.149**
Trade Accounts Payable	476	529	498	847	991
Debt	588	608	585	663	1.555
Labor and social security obligations	370	437	510	671	794
Tax obligations	272	344	314	365	592
Dividends	275	9	287	347	65
Derivatives	69	98	93	325	469
Other Liabilities	85	157	405	644	684
Non-Current Liabilities	**8.097**	**12.320**	**18.465**	**27.794**	**32.654**
Debt	7.137	11.239	14.821	23.276	26.075
Deferred Tax Liabilities	218	263	302	236	593
Derivatives	44,8	0	0	0	0
Other Liabilities	697	818	3.342	4.282	5.986
Equity	**4.481**	**4.528**	**5.442**	**14.002**	**14.678**
Capital Social	868	868	868	6.473	7.322
Reservas de Capital	2.334	2.344	2.345	4.680	4.476
Reservas de Lucros	1.450	1.593	2.468	2.789	1.600
Participação de Acionistas não Controladores	165	192	232	389	1.095
Total Equity and Liabilities	**14.713**	**19.029**	**26.600**	**45.657**	**52.481**

Sul América Balance Sheet

REDE D'OR

Balance Sheet					
Current Assets	**17.014**	**18.712**	**20.270**	**18.990**	**19.699**
Cash and Cash Equivalents	641	629	745	956	1.805
Financial Investments	13.478	14.972	16.225	15.836	15.820
Accounts Receivable	1.974	2.164	2.287	1.598	1.324
Tax Recoverable	225	182	155	178	244
Other Assets	696	765	858	600	749
Non-Current Assets	**6.435**	**6.991**	**8.142**	**8.879**	**9.366**
Deferred Tax Assets	6.027	6.567	7.548	7.845	8.245
Investments	132	99	75	106	88
PP&E	59	56	72	110	110
Intangibles	217	269	447	818	922
Total Assets	**23.450**	**25.704**	**28.412**	**27.869**	**29.065**
Current Liabilities	**8.804**	**9.881**	**10.376**	**8.412**	**8.785**
Debt	300	448	178	579	606
Labor and social security obligations	53	54	58	52	55
Tax obligations	329	395	446	234	176
Other Obligations	1.621	1.870	2.174	1.200	1.285
Provisions	6.500	7.114	7.520	6.347	6.662
Non-Current Liabilities	**9.005**	**9.535**	**10.888**	**11.354**	**12.141**
Debt	1.285	1.023	1.572	1.011	2.661
Other Obligations	124	131	330	306	236
Provisions	7.596	8.381	8.986	10.037	9.244
Equity	**5.640**	**6.288**	**7.148**	**8.104**	**8.138**
Capital Social	3.320	3.320	3.320	3.620	4.620
Reservas de Capital	270	259	241	- 454	- 567
Reservas de Lucros	2.035	2.701	3.583	4.997	4.240
Ajustes de Avaliação Patrimonial	- 1	6	3	- 61	- 157
Participação de Acionistas não Controladores	18	1	2	2	3
Total Equity and Liabilities	**23.450**	**25.704**	**28.412**	**27.869**	**29.065**

Consolidated Cash Flow Statement

Cash Flow Statement												
Operational Cash Flow	1.318,3	395,9	5.857	7.750	8.746	10.061	11.308	11.919	12.646	13.910	14.403	15.161
Net Income	1.325,2	2.089,0	3.929	5.970	7.206	8.475	9.411	10.077	10.675	11.749	11.958	12.248
(+) D&A	1.404,1	1.500,0	1.583	1.803	1.916	1.947	1.769	1.691	1.755	1.890	2.033	2.186
(+/-) Δ Working Capital	(1.826,2)	(1.348,9)	(1.444)	(869)	(1.252)	(1.269)	(826)	(839)	(836)	(845)	(753)	(504)
Recoverable Taxes			-	-	-	-	-	-	-	-	-	-
Outros	3.693,3	2.407,1	-	-	-	-	-	-	-	-	-	-
Resultado Financeiro	(2.911,1)	(4.250,9)										
Delta Long Term Insurances Liabilities			1.789	846	876	908	954	990	1.051	1.117	1.165	1.232
Investment Cash Flow	(2.969,2)	1.750,4	(2.551)	(2.895)	(2.201)	(1.545)	(1.751)	(1.899)	(2.049)	(2.203)	(2.346)	(2.459)
CAPEX	(2.476,4)	(2.470,2)	(2.551)	(2.895)	(2.201)	(1.545)	(1.751)	(1.899)	(2.049)	(2.203)	(2.346)	(2.459)
Outros	(492,8)	4.220,6	-	-	-	-	-	-	-	-	-	-
Financial Cash Flow	2.636,0	11,2	11.302	327	372	(4.807)	(9.107)	(8.736)	(6.068)	(16.553)	(8.588)	(5.474)
Distribution of dividends and interest on equity			(1.572)	(2.388)	(2.882)	(8.475)	(9.411)	(11.085)	(10.675)	(17.623)	(13.154)	(13.472)
Borrowing, financing and debentures	5.085,5	6.003,3	15.792	8.884	9.777	10.613	7.726	9.811	12.375	9.437	13.071	17.098
Revolver												
Loan payments, financing and debentures	(1.447,9)	(4.490,1)	(2.918,4)	(6.169,8)	(6.522,6)	(6.945,7)	(7.422,4)	(7.461,9)	(7.767,3)	(8.366,3)	(8.505,4)	(9.099,0)
Others	(1.001,6)	(1.502,0)										
Variation in cash and cash equivalents	985,1	2157,5	14.609	5.182	6.916	3.709	450	1.284	4.529	(4.846)	3.470	7.229
Caixa BoP	124,6	1109,7	3.267,2	17.875,8	23.057,6	29.974,0	33.682,9	34.132,8	35.416,9	39.945,7	35.100,2	38.569,8
Caixa EoP	1109,7	3.267,2	17.875,8	23.057,6	29.974,0	33.682,9	34.132,8	35.416,9	39.945,7	35.100,2	38.569,8	45.799,2
Financial Investments												
Cash			31.731	46.340	51.521	58.438	62.147	62.597	63.881	68.410	63.564	67.034
Selic		**11,75%**	9,75%	9,75%	9,50%	9,50%	9,50%	9,50%	9,50%	9,50%	9,50%	9,50%
% Return on Financial Investments			**100,0%**	**100,0%**	**100,0%**	**100,0%**	**100,0%**	**100,0%**	**100,0%**	**100,0%**	**100,0%**	**100,0%**
Financial Revenue			**3.094**	**4.518**	**4.895**	**5.552**	**5.904**	**5.947**	**6.069**	**6.499**	**6.039**	**6.368**

Rede D'Or Cash Flow Statement

Cash Flow Statement					
Operational Cash Flow	**738**	**789**	**782**	**(77)**	**(122)**
Net Income Before Taxes	**1.425**	**1.645**	**1.699**	**483**	**2.033**
(+) D&A	308	393	709	845	1.229
(+) Provisão para Glosas	513	662	834	834	1.103
Variation on Assets and Liabilities					
Accounts Receivable	(1.183)	(918)	(1.643)	(1.532)	(3.283)
Inventories	(41)	(37)	(43)	(230)	(100)
Fornecedores	41	(62)	(71)	231	61
Salários e Encargos Sociais	(7)	14	54	(54)	(331)
Outros	547	7	506	711	935
Pagamento de Juros	(527)	(521)	(774)	(1.146)	(1.408)
Pagamento de IR e Contribuição Social	(340)	(394)	(489)	(218)	(361)
Investment Cash Flow	(1.609)	(2.758)	(4.109)	(13.388)	(1.652)
Compra participações societárias	-	-	(1.091)	-	-
Venda participações societárias	-	-	-	-	-
Compra de Imobilizado	(1.024)	(1.461)	(1.792)	(945)	(2.127)
Venda de Imobilizado	0	251	-	-	23
Compra de Intangível	(89)	(93)	(248)	(177)	(163)
Venda de Intangível	-	-	-	-	-
Aquisição de Títulos e Valores Mobiliários	(24.893)	(30.945)	(19.265)	(47.193)	(40.974)
Resgate de Títulos e Valores Mobiliários	24.524	30.419	18.603	37.313	44.437
Outros	(127)	(4.587)	(7.901)	(24.391)	(455)
Financial Cash Flow	891	2.021	3.204	13.543	1.751
Captação de Empréstimos, finaciamentos e debêntures	4.453	6.537	5.174	6.600	7.070
Pagamento de Empréstimos, financiamentos e debêntures	(2.167)	(3.058)	(1.903)	(1.342)	(4.063)
Outros	(1.395)	(1.459)	(67)	8.285	(1.256)
Increase (Reduction) in cash and cash equivalents	19	52	(123)	78	(22)
Cash and Cash Equivalents at the beggining of the period	121	140	192	69	147
Cash and Cash Equivalents at the end of the period	140	192	69	147	124

Sul América Cash Flow Statement

Cash Flow Statement					
Operational Cash Flow	**(220)**	**426**	**394**	**(589)**	**(370)**
Net Income			1.556	3.449	(0)
(+) D&A	120	51	120	127	147
Variação da necessidade de capital de giro		190	123	(689)	(274)
Contas a receber		190	123	(689)	(274)
Investment Cash Flow	**(71)**	**(91)**	**(253)**	**2.505**	**(190)**
Compra participações societárias	(15)	(22)	(148)	(488)	-
Venda participações societárias	-	3	-	3.172	-
Compra de imobilizados e intangíveis	(57)	(73)	(106)	(179)	(191)
Venda de imobilizados e intangíveis	1	2	1	-	1
Financial Cash Flow	**(347)**	**0**	**(26)**	**(1.705)**	**1.408**
Empréstimos e linhas de crédito	500	-	699	499	2.202
Amortização de empréstimos	(310)	(123)	(428)	(657)	(571)
Compra de ações próprias para manutenção em tesouraria	(25)	(32)	(37)	(678)	(130)
Venda de ações em tesouraria	5.349	7	8	10	6
Recompra de ações no mercado	-	(5)	-	-	-
Dividendos e juros sobre o capital próprio pagos	(165)	(185)	(215)	(828)	(53)
Refinanciamento fiscal - REFIS	(4)	(6)	(5)	(8)	8
Leasing financeiro	1	(2)	(4)	(2)	(0)
Pagamento de arrendamentos	-	-	(44)	(42)	(37)

WACC

Cost of Capital			
Risk Free Rate	10,50%	*Tesouro Selic*	
Country Risk Premium	4,40%	*Damodaran*	
Beta	1,12		
Equity Risk Premium	9,00%	*Damodaran*	
Cost of Capital (Ke) in R$	**15,65%**		
Tax Rate (%)	34,00%		
Net Cost of Debt	11,34%	<= CDI + 1,7%	<=== Última Debênture Emitida
Cost of Debt (Kd)	**7,48%**		
Debt	34.585,9		
Equity	67.555,0		
D/(E+D)	33,9%		
E/(E+D)	66,1%		
WACC	**12,02%**		

Valuation - FCFF

REDE D'OR

FCFF Explicit Cash Flow										
EBIT Rede D'Or	6.261	7.304	8.550	9.870	10.656	11.558	12.470	13.406	14.277	14.822
Cash Tax Rate (%)	34,0%	34,0%	34,0%	34,0%	34,0%	34,0%	34,0%	34,0%	34,0%	34,0%
EBIT SulAmérica	1254	2114	2369	2612	2869	3117	3400	3713	4028	4362
Cash Tax Rate (%)	34,0%	34,0%	34,0%	34,0%	34,0%	34,0%	34,0%	34,0%	34,0%	34,0%
NOPAT	4.960	6.215	7.206	8.238	8.926	9.685	10.475	11.298	12.081	12.661
(+/-) Δ Working Capital	(1.444)	(869)	(1.252)	(1.269)	(826)	(839)	(836)	(845)	(753)	(504)
(-) CAPEX	(2.551)	(2.895)	(2.201)	(1.545)	(1.751)	(1.899)	(2.049)	(2.203)	(2.346)	(2.459)
(+) D&A	1.583	1.803	1.916	1.947	1.769	1.691	1.755	1.890	2.033	2.186
FCFF	2.549	4.255	5.669	7.371	8.118	8.637	9.345	10.140	11.015	11.884
WACC	12,02%	12,02%	12,02%	12,02%	12,02%	12,02%	12,02%	12,02%	12,02%	12,02%
Periods	1	2	3	4	5	6	7	8	9	10
FCFF Present Value	2.275	3.391	4.033	4.681	4.602	4.371	4.222	4.089	3.966	3.819

FCFF Perpetuity	
Perpetuity SulAmerica's EBIT	4362
Perpetuity Cash Tax Rate	34%
Perpetuity Rede D'Or EBIT	14.822
Perpetuity Cash Tax Rate	34%
Perpetuity NOPAT	12.661
Variation on Working Capital	(504)
CAPEX	(2.459)
D&A	2.186
Growth (g)	5,3%
WACC	12,02%
FCFF	11.884
Perpetuity	186.190
Last Year	10
PV of Perpetuity	59.835

Valuation - FCFE

REDE D'OR

FCFE Explicit Cash Flow											
Date	31/12/2023	31/12/2024	31/12/2025	31/12/2026	31/12/2027	31/12/2028	31/12/2029	31/12/2030	31/12/2031	31/12/2032
EBT	5.953	9.045	10.918	12.841	14.259	15.268	16.175	17.801	18.118	18.557
Cash Tax Rate (%)	34%	34%	34%	34%	34%	34%	34%	34%	34%	34%
Net Income	3.929	5.970	7.206	8.475	9.411	10.077	10.675	11.749	11.958	12.248
(+/-) Δ Working Capital	(1.444)	(869)	(1.252)	(1.269)	(826)	(839)	(836)	(845)	(753)	(504)
(-) CAPEX	(2.551)	(2.895)	(2.201)	(1.545)	(1.751)	(1.899)	(2.049)	(2.203)	(2.346)	(2.459)
(+) D&A	1.583	1.803	1.916	1.947	1.769	1.691	1.755	1.890	2.033	2.186
(+/-) Debt Amortization	(6.170)	(6.523)	(6.946)	(7.422)	(7.462)	(7.767)	(8.366)	(8.505)	(9.099)	(10.139)
FCFE	(4.652)	(2.513)	(1.277)	185	1.141	1.262	1.180	2.085	1.793	1.332
Cost of Capital	15,6%	15,6%	15,6%	15,6%	15,6%	15,6%	15,6%	15,6%	15,6%	15,6%
Periods	1	2	3	4	5	6	7	8	9	10
PV of FCFE	- 4.022,6	- 1.879,1	- 825,9	103,7	551,7	527,6	426,5	651,8	484,6	311,3

FCFE Perpetuity	
Perpetuity EBT	18.557
Perpetuity Cash Tax Rate	34%
Perpetuity Net Income	18.557
Working Capital	(504)
CAPEX	(2.459)
D&A	2.186
Debt Amortization	(10.139)
Growth (g)	5,0%
Cost of Equity	15,65%
FCFF	17.780
Perpetuity	75.360
Last Year	10
PV of Perpetuity	17.612

Valuation – EV and Upside

Enterprise Value and Equity Value	
Enterprise Value	**99.284,48**
(-) Net Debt	16.854,70
Equity Value	**82.429,78**
Number of Shares	2290
Value per Share	**36,00**
Price	30,36
Upside	**18,6%**

WACC	g = 5,1%	g = 5,2%	g = 5,3%	g = 5,4%	g = 5,5%
11,42%	39,67	40,17	40,69	41,22	41,77
11,72%	37,33	37,78	38,23	38,71	39,19
12,02%	35,20	35,60	36,00	36,42	36,86
12,32%	33,25	33,60	33,97	34,34	34,73
12,62%	31,45	31,77	32,10	32,43	32,78

WACC	g = 5,1%	g = 5,2%	g = 5,3%	g = 5,4%	g = 5,5%
11,42%	30,7%	32,3%	34,0%	35,8%	37,6%
11,72%	23,0%	24,4%	25,9%	27,5%	29,1%
12,02%	15,9%	17,2%	18,6%	20,0%	21,4%
12,32%	9,5%	10,7%	11,9%	13,1%	14,4%
12,62%	3,6%	4,6%	5,7%	6,8%	8,0%

Valuation - Multiples

REDE D'OR

DCF Multiples

Enterprise Value										
2024E	2.275	3.391	4.033	4.681	4.602	4.371	4.222	4.089	3.966	3.819
2025E		4.255	5.061	5.874	5.775	5.485	5.298	5.131	4.976	4.793
2026E			5.669	6.580	6.470	6.144	5.935	5.748	5.574	5.369
2027E				7.371	7.247	6.883	6.648	6.439	6.245	6.014
2028E					8.118	7.711	7.447	7.213	6.995	6.737
2029E						8.637	7.711	7.447	7.213	6.995
2030E							9.345	8.342	8.080	7.836
2031E								10.140	9.052	8.778
2032E									11.015	9.833
2033E										11.884
Perpetuity	186.190	186.190	186.190	186.190	186.190	186.190	186.190	186.190	186.190	186.190
Period	10	9	8	7	6	5	4	3	2	1
PV of Perpetuity	59.835	67.028	75.086	84.112	94.223	105.550	118.238	132.452	148.374	166.210
Explicit Enterprise Value	99.284	104.202	108.868	113.862	119.292	126.016	134.334	144.326	156.159	170.029
Equity Value	78.617	84.842	91.968	95.757	100.024	104.325	111.122	113.666	122.804	134.214
EBITDA	9.492	11.668	13.357	15.025	15.944	17.071	18.387	19.826	21.210	22.283
EV/EBITDA	10,46	8,93	8,15	7,58	7,48	7,38	7,31	7,28	7,36	7,63
EV/EBITDA Consensus	9,62	8,09	6,74	6,46	6,29					
Net Income	3.929	5.970	7.206	8.475	9.411	10.077	10.675	11.749	11.958	12.248
P/E	20,0	14,2	12,8	11,3	10,6	10,4	10,4	9,7	10,3	11,0
P/E Consensus	23	16,7	12,8	11,5	11,5					

Valuation - IRR

TI
R

Dividends		1.572	2.388	2.882	8.475	9.411	11.085	10.675	17.623	13.154	13.472
Amount of Shares		2290	2290	2290	2290	2290	2290	2290	2290	2290	2290
Dividends / Share		0,69	1,04	1,26							
Main		-30,4	0	39,8							
Stock Price											
Earnings per Share											
Total		29,67	1,04	41,09							
Exit Multiple P/E	12,8										
Revenue 2026	67.420										
Net Margin	10,6%										
Earnings 2026	7146										
Earnings per Share 2026	3,1										
Price 2026	39,8										
TIR	**19,4%**										

		Multiples				
		12,2	12,5	12,8	13,1	13,4
	10,0%	13,7%	15,0%	16,3%	17,6%	18,9%
	10,3%	15,3%	16,7%	18,0%	19,3%	20,6%
Net Margin	10,6%	16,9%	18,3%	19,6%	20,9%	22,3%
	10,9%	18,5%	19,8%	21,2%	22,6%	23,9%
	11,2%	20,0%	21,4%	22,8%	24,2%	25,5%

Valuation - ROIC

ROIC (Only Rede D'Or)											
NOPAT	**3.083**	**4.133**	**4.820**	**5.643**	**6.514**	**7.033**	**7.628**	**8.230**	**8.848**	**9.423**	**9.782**
Rede D'Or EBIT	4.671	6.261	7.304	8.550	9.870	10.656	11.558	12.470	13.406	14.277	14.822
		34,0%	16,6%	17,1%	15,4%	8,0%	8,5%	7,9%	7,5%	6,5%	3,8%
Invested Capital	**33.130**	**39.118**	**41.486**	**43.513**	**44.880**	**46.117**	**47.608**	**49.198**	**50.836**	**52.379**	**53.605**
PP&E	12.909	14.528	16.330	17.258	17.389	17.624	17.892	18.186	18.499	18.812	19.084
Intangible	16.450	15.799	15.088	14.445	13.912	13.659	13.599	13.599	13.599	13.599	13.599
Net Working Capital	2.504	7.279	8.346	9.803	11.284	12.333	13.404	14.486	15.592	16.617	17.410
Operational Cash	1.267	1.512	1.723	2.007	2.295	2.501	2.713	2.927	3.147	3.351	3.512
% NOPAT Margin	**6,6%**	**7,4%**	**7,8%**	**8,3%**	**8,7%**	**8,8%**	**8,9%**	**9,0%**	**9,1%**	**9,1%**	**9,0%**
% YoY		12,0%	6,7%	5,8%	5,1%	0,6%	1,4%	1,1%	0,9%	0,4%	-1,3%
Invested Capital Turnover	**1,42**	**1,44**	**1,48**	**1,56**	**1,66**	**1,74**	**1,80**	**1,86**	**1,92**	**1,97**	**2,03**
% YoY		1,4%	3,1%	5,5%	6,4%	4,4%	3,7%	3,3%	3,1%	2,9%	2,8%
ROIC	**9,3%**	**10,6%**	**11,6%**	**13,0%**	**14,5%**	**15,2%**	**16,0%**	**16,7%**	**17,4%**	**18,0%**	**18,2%**
EVA Spread	-2,72%	-1,46%	-0,40%	0,95%	2,49%	3,23%	4,00%	4,71%	5,38%	5,97%	6,23%